Alberta Policy Discussion

Exploring Innovative Approaches for Governance

Engaging Citizens in Policy Development

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Apr 20, 2026
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What Accountable Government Looks Like

A drafted policy package for Alberta — two bills, why they were written, and what they could be worth.

A note from the drafter

I am a private citizen, not a lawyer or legislative drafter. I watched three Alberta policy decisions consume somewhere between two hundred and three hundred million dollars of our money without any of them being a "scandal" in the usual sense, and I went looking for the rules that were supposed to catch this kind of thing.

The rules I found were thin and designed for a different problem.

So I drafted what I thought the rules should look like, costed it, made a philosophical case for it, and tried to break it from the inside. An accountability regime that only disciplines the other party isn't accountability; it's a weapon. The design test was whether every provision could survive being applied to a government I happen to like.

The package is two bills. One covers how officials behave; the other covers how advantage flows through the system. They are meant to apply to an NDP government in 2027, to a UCP government, and to whatever party we haven't yet met.

The package is not finished. Constitutional review, Indigenous co-development, and Treasury Board fiscal validation all need to happen before any of this is tabled. Part VI names those gaps. I won't pretend they don't exist.

What follows is released under Creative Commons Attribution-ShareAlike. Adapt it, improve it, table it, build on it. Attribution and same-licence are the only conditions. The bills were drafted to be used.

If you came here for the bills, they are in Appendices A and B. If you came here for the case for the bills, Parts I through VII are the case.

AT A GLANCE

Three Alberta decisions, recently:

CASE	COST TO TAXPAYERS	WHAT THE RULE DIDN'T REACH
DynaLIFE lab buyback (2022–23)	**~$109M (AG, Nov 2025)**	*Records that didn't have to exist*
Turkish Tylenol procurement (2022)	**$80M; ~$21M actually approved**	*Emergency authority with no written reason*
Canadian Energy Centre (2019–24)	**est. $60–100M lifetime**	*Corporate structure deliberately outside FOIP*

Two bills:

- **The Honest Government Act:** how Ministers, senior officials, and MLAs behave. Lobbying, appointments, duty to document, procurement disclosure, whistleblower protection, proportional penalties, random audits.
- **The Open Books Act:** how advantage flows through the system. Disclosure for narrow legislation, regulatory approvals, concessional arrangements, and ministerial exemptions; an annual Auditor General report on enforcement equity.

What it costs: ~$5 million per year, roughly one one-hundredth of one percent of the provincial budget.

What it doesn't yet do: constitutional review, Indigenous co-development, Treasury Board fiscal validation, legislative drafting review. Each named in Part VI.

If you want to send something to your MLA: there's a draft email at the end of Part VII. Replace the name and the riding. That's it.

Part I — What This Costs You

Three decisions. None of them dramatic enough to occupy the front page for more than a news cycle. Together, somewhere between $200 and $300 million of our money.

A lab system that didn't work

In December 2022, Alberta Health Services launched a privatized community lab service under a long-term contract with DynaLIFE Medical Labs. The company was insolvent within months. AHS took the operation back in August 2023. In November 2025, the provincial Auditor General estimated the total taxpayer cost at approximately $109 million: roughly $32 million for the buyback inclusive of liabilities, plus roughly $77 million in sunk costs from the failed procurement.

Here is the part of the story that matters for this brief.

When the Auditor General sought records of how the contract was negotiated and how the failures were managed, key documents were unavailable. Some had been destroyed despite explicit preservation requests. Some decisions had been made orally and never written down. The documentary trail a serious review needed was not there.

Nothing was illegal in the technical sense. There is no rule in Alberta that says decisions must be documented, or that oral briefings can't substitute for written ones. The system worked exactly as it was designed to work.

Eighty million dollars of acetaminophen

Late 2022. A children's Tylenol shortage across Canada. Parents were splitting adult tablets, calling pharmacy after pharmacy, watching their kids run fevers without relief. Premier Danielle Smith announced a deal to import children's acetaminophen from Turkey.

The total cost, including the product, logistics, and administration, came in around $80 million. Health Canada eventually approved roughly $21 million worth of the supply for actual use. The rest sits in storage; the province has discussed sending it to Ukraine.

The decision was made under emergency authority. There is no requirement, under current Alberta law, that emergency procurements at this scale carry a written, contemporaneous explanation of why this supplier, why this amount, why these terms. The reasoning was reconstructed afterward in response to questions.

We have a story. We don't have evidence.

A communications agency designed to be invisible

In late 2019, Alberta launched the Canadian Energy Centre. Its job was to communicate the provincial position on energy and resource policy. Initial budget: $30 million per year. Reduced to roughly $12 million annually by 2022. Wound down in June 2024 after persistent questions about effectiveness. Lifetime cost: estimated at $60 to $100 million.

The agency was incorporated as a private corporation, not a Crown agency. That structural choice was the point. A Crown agency falls under the Freedom of Information and Protection of Privacy Act. A private corporation that the Crown funds does not.

Premier Kenney's press secretary, Christine Myatt, addressed this publicly at the time of incorporation: subjecting the centre to FOIP, she said, would "provide a tactical and/or strategic advantage to the very foreign-funded special interests the CEC is looking to counter." The structural choice was deliberate. Whatever its stated reason, its effect was to keep the centre outside the disclosure regime that would have applied to a Crown agency doing the same work.

The structure did its job for the agency's entire operational life.

What these have in common

You can argue any of these on the merits, and people do. None of them, individually, is the point.

None was prevented by Alberta's accountability machinery, because that machinery was not designed to reach the kinds of decisions these were. The DynaLIFE buyback turned on records that didn't have to exist. The Tylenol procurement turned on emergency authority that needed no contemporaneous written reason. The CEC turned on a corporate structure deliberately chosen to be outside the rules.

These aren't loopholes. Loopholes get closed. These are the spaces between the rules — the spaces where decisions involving very large amounts of public money actually get made, by people doing what they think is the right thing, under structural conditions that allow the result to be unreviewable later.

None of it was stolen. All of it was spent in rooms we couldn't see into.

$200–300M

ACROSS THREE ALBERTA DECISIONS

The combined cost: somewhere between $200 and $300 million. The operating expense of an accountability framework that hasn't kept pace with how power actually moves.

It is worth giving the three structural failures names, because the rest of the brief refers back to them:

- The **oral-briefing loophole** — decisions made in rooms with no minute-taker, reasoning reconstructed afterward. DynaLIFE.
- The **unreasoned emergency procurement** — emergency authority used without contemporaneous written justification. Turkish Tylenol.
- The **Crown-corp end-run** — public functions performed through private corporate structures specifically chosen to fall outside the disclosure regime that would otherwise apply. The Canadian Energy Centre.

The bills are designed to reach all three.

A note on case selection

The three cases above all sit inside the recent UCP era because the verifiable record close to the present is what an honest brief can use without speculation. The structural patterns these cases illustrate, oral-briefing decision-making, unreasoned procurement, Crown-corp end-runs, and opaque concessional arrangements, are older than the UCP and have appeared in different forms under PC, NDP, Kenney UCP, and Smith UCP governments. The regime has to bind a future NDP government in 2027 as readily as it would have applied to these three cases.

Part II — Why The Tools We Have Don't Reach

Alberta has accountability law: the Conflicts of Interest Act, the Lobbyists Act, the Public Interest Disclosure Act, the Election Finances and Contributions Disclosure Act, an Ethics Commissioner, an Auditor General, an Information and Privacy Commissioner. All of them do important work.

Each was designed for a narrower problem than the one we have.

The framework was built for individual misconduct

The Conflicts of Interest Act asks: did this Minister benefit personally from a decision they made in office? It catches the case where a member of cabinet votes on a contract their family member's company is bidding on.

It does not ask: did this Minister's decision benefit a political donor whose connection to the decision is one corporate shell removed? That isn't the question the Act was designed to answer.

The Lobbyists Act asks: who is being paid to influence government, and on whose behalf? In Alberta, in-house lobbyists must register if their lobbying activities total at least 50 hours per year. Consultant lobbyists register from the first communication. The 50-hour threshold has produced a working answer for some in-house arrangements: stay below it. The arrangement is not illegal. It uses the rule as written.

The Public Interest Disclosure Act protects whistleblowers from retaliation. The federal version of the same regime has produced a documented record of very few completed reprisal cases in nearly two decades of operation, by widely reported accounts.

The federal Ethics Commissioner has, since the 2007 *Conflict of Interest Act*, twice found a sitting Prime Minister in personal breach: the *Trudeau Report* (2017, on the Aga Khan vacation) and the *Trudeau II Report* (2019, on the SNC-Lavalin matter). The federal regime has investigated and reported on ministers across both Conservative and Liberal governments at various times in its operation; the *Trudeau Report* and *Trudeau II Report* are the two findings of personal breach against a sitting Prime Minister. The Act specifies no penalty for breach. The findings are published. The rest is up to voters.

This is not a story about bad commissioners. It is a story about laws written for a smaller problem, deployed against a world where most of the value moves through structural choices that don't break any rule.

Where the largest value actually moves

If you watch where money flows from public to private hands in any Canadian jurisdiction, the largest amounts don't move through ordinary procurement. Procurement is competitive and audited. The press covers it. The Auditor General reviews it.

Larger amounts move through other channels.

Legislation written narrowly enough to benefit specific parties. A private bill, or a public bill where the practical beneficiaries are a handful of identifiable companies. Legislatures do this for legitimate reasons: implementing a treaty, recognizing a settlement, transitioning a regulated industry. The question is whether the public can see who benefits and by how much.

Regulatory approvals. Pipelines, utility licences, major land-use decisions. The financial value of a single major regulatory approval can dwarf any procurement contract. If a regulator approves a billion-dollar project, that is a billion-dollar transfer of public value. Procurement disclosure rules don't apply.

Concessional arrangements. Royalty reductions, tax abatements, loan guarantees, debt forgiveness. Individual deals between the Crown and a specific recipient, negotiated rather than bid for. The CEC was funded through arrangements like this. Many resource-sector concessions have been. None of these are scandals; most have a defensible rationale. We just don't have a routine way to see them, individually, at the moment they happen.

Enforcement choices. A regulator that vigorously inspects one company while leaving its competitor's violations unaddressed has moved value just as surely as a regulator that approves a permit. The pattern of *which* enforcement happens is itself a policy decision, almost entirely invisible. No Canadian provincial regime systematically asks whether similarly-situated parties get similar enforcement.

Corporate structures. A function performed by a Crown agency falls under FOIP and the procurement rules. The same function performed by a private corporation that the Crown funds may not. The CEC chose. Many have chosen since.

These channels are not five separate problems. They are the same problem expressed five ways: decisions that move public value through points the existing framework was not built to see.

This is where Bill 2, the Open Books Act, is aimed.

Why most of this isn't criminal

Looking at the cost figures in Part I, you might ask: surely some of this must be criminal.

Mostly it isn't, and mostly it can't be. Criminal law has specific elements that have to be proven beyond reasonable doubt. Fraud requires deception causing harm. Breach of trust requires a senior public officer abusing their position for personal benefit or a prohibited purpose. Bribery requires a corrupt agreement. Obstruction requires intentional interference with justice.

The destroyed records, the unreasoned procurement, the corporate shell: most of what Part I describes does not meet those elements. Sometimes because the conduct genuinely isn't criminal. More often because the documentary trail required to prove it is exactly the trail that doesn't exist.

You can criminalize more, but the criminal law is a coarse tool. It imposes consequences appropriate to criminal conviction (imprisonment, criminal record, lasting collateral damage) and procedural protections appropriate to that level of consequence. Most public servants acting in good faith should not face criminal prosecution. They should face accountability proportional to what they actually did.

The space between "nothing happens" and "criminal prosecution" is enormous. That space is what the bills are for.

A note on the people inside the system

Most public servants in Alberta are trying to do their jobs well, under real constraints, in a complex system. Most Ministers want to leave the office better than they found it. The accountability problem is not that these people are corrupt. It is that the system's accountability machinery was designed for a smaller problem than the one we have, and the structural patterns where the largest value moves are largely unreached.

The regime that follows is not built to terrorize public service. It includes a robust good-faith defence: a Minister or official acting on reasonable legal advice, on published guidance, on documented practice in their field, is not subject to penalty. The protections are real and load-bearing.

What the regime cannot do is shield anyone from the political consequences of decisions made in public. Those consequences are the point.

Part III — Designing For Whoever Wins

There is one design test that matters before any provision: would you want this regime applied to a government you politically agree with? If your answer is yes for the regime as a whole, the design is partisan-neutral. If your answer is yes except for the parts that would hit your side, the design is a campaign document.

The historical record on regimes written by one faction to discipline another is not encouraging. Some are walked back when their own writers get caught. Others are weakened, hollowed out, or selectively enforced once the other side takes office. The cost of partisan neutrality is real. It means provisions that discipline my own preferences, too. The design has to live with that cost or it does not deserve the name.

Sunshine over criminalization

The regime is built around disclosure rather than new crimes.

Disclosure generates information that the political process, the press, regulators, courts, voters, and future commissioners can each act on. Criminalization, by contrast, requires proof beyond reasonable doubt, secured through prosecutors with discretion not to charge. Most of what the bills target wouldn't meet criminal standards even if it should be exposed. And criminalizing political conduct creates the risk that political opponents weaponize the criminal law against each other, a risk we have watched play out elsewhere and have no need to import.

Justice Brandeis put the underlying intuition into a phrase a century ago: sunlight is the best of disinfectants. Make decisions visible. Make the people making them accountable for showing their work. Let the political process and the courts and the press do what they already exist to do.

You cannot consent to what you cannot see

We give a small number of people the power to make decisions on our behalf. In return, we keep the right to know what they are deciding, why, and on whose behalf.

You cannot consent to what you cannot see.

You might consent to a Minister conferring $50 million in benefit to a specific party once you understand the reasons. You cannot consent to it if you don't know it happened. You cannot meaningfully consent to a regulatory framework where the decisions that move the most value are routinely made in rooms whose contents leave no record.

Three principles that run through the bills

Bind whoever holds power. Random audit selection uses verifiable randomness, so no commissioner can pick targets. Penalty thresholds index to inflation, so the framework doesn't erode silently. Court confirmation is required for large penalties against non-Members. Assembly disallowance is preserved for regulations.

Protect good faith. Public servants, volunteer board members, and records officers are protected throughout. The good-faith defence at §26 is the moral architecture of the entire regime. A person acting on reasonable legal advice, on published guidance, on documented practice in their field, is not subject to penalty. The burden of proving bad faith rests on the Commissioner. If the defence is invoked on the basis of legal advice, the respondent has to disclose every legal opinion they obtained on the same question, not only the one they liked. A pattern of getting four opinions, three of which said "this is impermissible," and acting on the fourth is evidence of willful blindness, not exoneration.

Defer to existing institutions. The regime does not replace courts, the Assembly, criminal justice, or existing regulators. Civil and criminal matters go to courts. Electoral consequences go to the Assembly. The Commissioner investigates and reports. The Assembly decides.

Part IV — The Honest Government Act: How Officials Behave

Bill 1 covers Ministers, senior officials, and Members of the Legislative Assembly. The full text is in Appendix A.

Lobbying that actually has to register

Alberta's current rule registers in-house lobbyists at fifty hours of lobbying activity per year. The threshold has produced a working answer for paid consultant lobbying: keep the clock low. The bill closes this for paid consultants. A consultant lobbyist registers regardless of time spent: from the moment money changes hands for the work, registration is required. For employees lobbying inside their own organization, the threshold is restructured rather than removed. The bill replaces the fifty-hour annual clock with a twenty-percent-of-working-time-per-calendar-quarter test plus a position-description test: lobbying captured because it is structurally part of the job, not because somebody hit a stopwatch.

Citizen advocates emailing their MLA are not captured. Volunteer advocates working through community organizations are not captured. The bill is explicit about this. It is aimed at paid persuasion that currently structures itself to avoid the registry.

A graduated ladder of consequence

Most accountability legislation, when it works at all, operates on one rung: a finding, then nothing, or a finding, then a referral. The middle is missing.

The bill builds three rungs.

A **Public Report of Findings** is the first. The Commissioner finds conduct that contravenes the Act. The Report is tabled in the Assembly. For most cases, this is the correct response: disclosure is the consequence, and the political process handles the rest.

A **Compliance Order** is the second. Where conduct is ongoing or its effects need to be reversed, the Commissioner can issue a written order requiring specific corrective steps: return of a benefit, change to a practice, recusal from future decisions. Compliance is verifiable. Non-compliance escalates.

A **Certificate of Malfeasance** is the third. The most serious tool, reserved for conduct that is persistent, incurable, or of such severity that lesser measures would be inadequate. A Certificate against a sitting Member triggers an obligation in the Legislative Assembly to deal with it within thirty sitting days, by referral to law enforcement, expulsion, recall, or censure. The Assembly cannot ignore a Certificate.

Who appoints the Commissioner

The strongest accountability regime in the world is defeated, before it opens its first investigation, by an appointment process that produces a Commissioner aligned with the people the Commissioner is supposed to investigate. This is the mechanism by which Canadian and other Westminster commissioners have been weakened.

Currently, the Commissioner is appointed on the recommendation of the Legislative Assembly, with Standing Committee input but no supermajority requirement. A government with a working majority can appoint its preferred candidate.

The bill replaces this. Appointment requires two-thirds in the Standing Committee on Legislative Offices and two-thirds in the full Assembly. The term is seven years, non-renewable, so the Commissioner cannot court favour for reappointment. Anyone who held elected office or a party executive position within the previous seven years is ineligible. Removal requires the same two-thirds standard. If the position sits vacant for 120 days, the Chief Justice of King's Bench fills it.

A government with two-thirds of the Assembly, which has happened in Alberta, can still appoint its preferred candidate. The supermajority raises the cost of capture; it does not eliminate the option.

The same protections apply to the Auditor General, who carries the Enforcement Equity Report under Bill 2.

When Cabinet confidence reaches too far

Cabinet confidence is a real and important constitutional principle. Decisions in Cabinet have to be candid; ministers have to be able to argue with each other without their disagreements ending up in tomorrow's news.

It can also become a shield wider than its purpose. In the SNC-Lavalin matter, the federal Ethics Commissioner reported that nine witnesses were constrained from giving him their full evidence because the Privy Council Clerk had refused to broaden the Cabinet confidence waiver. The Commissioner reached findings without complete evidence.

Bill 1 amends Alberta's Access to Information Act to draw a sharper line. Factual, statistical, and operational data (what a program cost, how many people received a benefit, what the timeline of events was) is no longer protected by Cabinet confidence in the same way. Deliberative content, what a minister actually said in cabinet, remains protected. The amendment also flips two specific document classes from default-secret to default-disclose: Treasury Board Decision Summaries within 180 days of execution, and Ministerial Mandate Letters at session end or eighteen months, whichever is sooner. Withholdings are recorded in a public register. The line is not perfect; it will be litigated. The current line is too wide for the accountability function to operate.

Decisions that have to be written down

There is no rule in Alberta that says decisions have to be documented. The Auditor General can ask for records that exist. The Information and Privacy Commissioner can review withheld records. Neither has authority to require records to be created. If a decision was made orally, in a room with no minute-taker, neither commissioner can summon a document that doesn't exist.

This is the gap the DynaLIFE situation exposed. It is what allows reasoning to be reconstructed years later, when the people involved have moved on or the political moment has passed.

The bill creates a duty to document. Decisions that would be subject to disclosure under either the Access to Information Act or the Open Books Act have to be written down. Standards (what counts as adequate documentation, what timing applies) are set by the Information and Privacy Commissioner by regulation. Willful or repeated failure is penalty-tracked. Oral-briefing-only decision-making is the violation, not the workaround.

> **Applied to DynaLIFE.** This is the provision that addresses the oral-briefing loophole. A duty to document would have required the contract negotiation and the failure-management decisions to be on paper at the time. The Auditor General would not have arrived three years later to find missing records and destroyed notebooks. Whether the decisions themselves would have been different is unprovable. Whether the documentary record would have existed for review is not. *Scenario analysis, not prediction.*

Procurement that can be cross-referenced

Public procurement is well-regulated. The bill does not redesign procurement; it adds one piece.

For contracts above a threshold, the bidding entity has to file a return identifying every individual with significant control: every ISC.

ISC is shorthand for a defined term in federal corporate law. It means the natural human beings who actually own or control the entity, not the corporate names on the registry. If a numbered company owns the bidding company, and a holding company owns the numbered company, and a person owns the holding company, that person is the ISC. The point of the term is to find the actual humans behind any chain of corporate structures.

In plain language: *who actually owns this.*

Where the contract is large enough, the awarding body cross-references the ISC return against the political contributions registry. If an ISC has personally made political contributions above a match threshold within the previous four years, or holds executive office in a registered party, the match is referred to the Commissioner. The Commissioner conducts an initial review within ten business days; only if a potential substantive conflict is identified is the award stayed for a further twenty business days for full investigation. The Commissioner can clear, condition, or recommend setting aside.

The cross-reference is not a ban. The Act is explicit: a bidder is not excluded from public contracts because of an ISC's contribution history. The cross-reference triggers a review, the connection becomes a public record, and the procurement decision is then made with that record visible.

How the cross-reference is conducted matters. The Registrar reduces both the contributions registry data and the ISC return to cryptographic hashes — think of a hash as a wax seal. Alter a single character of the underlying record and the seal no longer matches. The Registrar compares the seals. The awarding body sees only "match" or "no match." If there is no match, no contribution history is disclosed at any level. If there is a match, the Registrar confirms the specific match to the Commissioner, who reviews the underlying records under strict confidentiality rules.

Most bidders' political histories, including those of every Albertan who has ever donated to any party, never become visible to anyone in procurement. The system surfaces only the matches that warrant Commissioner review. This privacy architecture reduces but does not eliminate re-identification risk; the records and the regime that holds them remain subject to PIPEDA and Alberta's PIPA. The architecture is a procedural protection, not a mathematical guarantee.

The bill includes an identity-consistency requirement that prevents the same person from showing up under three different name spellings across three different ISC returns to evade matching. The full architecture is in Appendix A. The principle is straightforward: a person doing business with the Crown represents themselves consistently. Cultural naming practices, recent legal name changes, and transliteration variations are protected; deliberate fragmentation is not.

Cooling-off that respects public service

Former Ministers and senior officials cannot, for eighteen months after leaving office, take board seats or paid roles with firms that received a discretionary provincial contract or grant above threshold during their tenure, where the official had direct or indirect decision-making authority over that contract or grant.

The eighteen-month period balances two real concerns. A revolving door, Minister leaves cabinet on Friday and takes a seat on the board of a regulated company on Monday, corrodes public trust. A bar that lasts too long pushes good people out of public service for fear of what comes after.

Arms-length public entities (Alberta Health Services, universities, municipalities) are carved out. A former Minister taking a role at a university hospital should not be treated as if they took a role at a private contractor.

Whistleblowers, with the burden in the right place

The Public Interest Disclosure Act in its current form requires whistleblowers to prove that adverse employment action against them was retaliation for their disclosure. The proof is hard, because employers control the documentary record, and most retaliation is dressed up as performance management or restructuring. The reprisal record under the federal version of the regime, noted in Part II, is the consequence.

The bill reverses the burden, in line with the burden-shifting framework established by *Ontario Human Rights Commission v Simpsons-Sears* and refined in *Moore v British Columbia (Education)*. Once an employee establishes that a protected disclosure was made and an adverse employment action followed within twenty-four months, the employer must prove, on a balance of probabilities, that the adverse action was unrelated to the disclosure. The burden goes where the evidence lives.

There is also personal liability for managers who direct, authorize, or carry out a reprisal in bad faith or with knowledge that the action is a reprisal — capped at six months of compensation or a regulatory amount, whichever is less, and not indemnifiable from public funds.

The bill creates a preservation order authority. When a disclosure is made and an investigation commenced, the Commissioner can freeze the documentary record and the employment status of complainants and witnesses pending determination. Status quo, not reinstatement. Records cannot be destroyed; the people involved cannot be fired in the meantime. Disclosure protection was strong; evidence preservation was absent. This closes the gap.

A safe harbour exists for direct disclosure to MLAs or journalists under any of four conditions: where there is imminent risk to public health or safety; where the discloser reasonably believes internal disclosure will trigger destruction or alteration of evidence; where prior protected disclosure has met retaliation; or where the Commissioner has declined to investigate or has not commenced within sixty days. The conditions are tight, and they should be: most disclosures should still go through internal channels first.

Penalties that aren't ruinous to the poor or trivial to the rich

A $10,000 fine means something entirely different to a Minister with $3 million in assets and a junior staffer earning $48,000 a year. Equal numbers, wildly unequal effects.

The bill scales penalties to capacity. The lowest-paid public servants are protected by a minimum floor; the wealthiest are not exempt. Utilitarian and Rawlsian arguments both support proportionality; defenders of strict identical-dollar equality have their own case. The full argument and the calibration formula are in Appendix D.

For large penalties above a regulatory threshold, court confirmation is required before collection. The Commissioner cannot impose financial ruin by administrative fiat against a non-Member. The Court of King's Bench reviews for procedural fairness, jurisdiction, and reasonableness.

Court confirmation is not available for sitting MLAs. Alberta jurisprudence has held, in line with the parliamentary privilege framework set out by the Supreme Court in *Vaid*, that judicial review is unavailable for Ethics Commissioner findings against sitting Members where the matter falls within the Assembly's exclusive disciplinary sphere. The bill respects that ceiling. For sitting Members, large penalties are incorporated into a Certificate of Malfeasance, tabled in the Assembly, and enforced through the Assembly process. That is the cost of operating within parliamentary privilege, not a drafting choice.

Random audits with dice that no one controls

Most accountability regimes that conduct audits do so based on Commissioner discretion. Discretion is the right tool for following a tip; it is the wrong tool for routine audits, because discretionary selection is always plausibly partisan.

The bill removes selection from discretion. A small percentage of officials and contracts in each stratum is selected each year using a publicly verifiable source of randomness — the National Institute of Standards and Technology's randomness beacon, or an equivalent. The methodology is published in advance. The seed is published. The resulting selection list is verifiable. Anyone can check the audit selections were random — the people audited, the parties whose members were audited, journalists.

Audits are tiered. Most start as automated compliance checks (Tier 0) that compare declarations against registries with no human looking at the file. Where the automated check finds no discrepancy, the matter closes. No personal records are accessed. The closure is logged.

If the automated check finds a discrepancy, a documentary review is conducted at Tier 1. If documentary review identifies specific indicators of non-compliance, an active investigation begins at Tier 2. Most audits never reach Tier 2. Most never reach Tier 1.

For audits that close cleanly, the records are destroyed within ninety days, with written confirmation to the audited person. The accountability framework does not become a permanent surveillance apparatus over the people it is supposed to protect.

What this bill leaves open

Constitutional review. Three provisions face material exposure that needs pre-tabling legal opinion: the Commissioner's regulation-making authority at §28, Assembly enforcement of large penalties against sitting Members at §22(5)(b), and the political-contribution cross-reference at §15 (Charter §2(b)). A pre-tabling constitutional opinion is non-negotiable. Counsel will identify issues the drafter missed.

Indigenous co-development. Section 21A includes an internal-governance carve-out, a consultation requirement, and explicit preservation of section 35 rights. *None of that discharges the duty to consult.* The honour of the Crown attaches to the development of legislation that bears on Indigenous governance, not only its application. Co-drafting, not consultation on a draft, needs to happen with First Nations governments, Métis settlements, and the Métis Nation of Alberta before tabling. The carve-out as drafted is a placeholder, structured to absorb the revisions that real co-development will produce.

Operational details. Threshold calibration, what counts as a "large penalty," what counts as a "small bidder," is deferred to regulation under §28. The bill includes initial values where I felt confident. Other specific numbers are best argued by people who have to administer the system.

None of these prevents serious engagement with the bill as drafted.

Part V — The Open Books Act: How Advantage Flows

Bill 1 catches people. Bill 2 catches structures.

The Canadian Energy Centre wasn't corrupt officials. It was a corporate structure, deliberately chosen, that put a public function outside the framework that would have applied to a Crown agency doing the same work. The Crown-corp end-run. That kind of decision is what Bill 2 is for.

> **Applied to the CEC.** Several Bill 2 provisions reach the structure. The Beneficiary Disclosure Statement at §3 would have required, at the moment the enabling legislation or appropriation was introduced, a public record of who was expected to benefit, including ISCs and contribution history. The Concessional Arrangement Disclosure at §5 would have applied to the funding mechanism. The Enforcement Equity Report would have, in time, surfaced any pattern of structural-choice favouring among Crown communications work. None of this would have prevented the CEC from being created if a government wanted to create it. It would have made the structural choice visible at the moment it was made. *Scenario analysis, not prediction.*

The full text is in Appendix B.

Legislation that benefits specific parties

Some bills are general: they apply to everyone meeting objective criteria. Other bills are narrow: they implement a treaty, recognize a settlement, transition a specific industry, or hand a benefit to a small number of identifiable parties. Narrow bills are not inherently wrong. The question is whether the public can see, at the time the bill is introduced, who benefits and by how much.

Bill 2 requires a **Beneficiary Disclosure Statement** for any bill whose benefits are concentrated on a small number of parties. The Statement names the beneficiaries, discloses contribution history above the relevant threshold within the previous four years, and identifies any other discretionary state benefits (contracts, regulatory approvals, concessional arrangements) received within the same period. It quantifies the financial value of the legislation to each beneficiary, where reasonably ascertainable.

The Statement is filed at First Reading and published within five business days. No bill subject to the section can proceed past Second Reading without a complete Statement on the record. The Speaker can determine on application or own motion that a Bill falls within the definition; sponsors can apply for advance ruling. The definition of "named-party legislation" uses a five-or-fewer-parties test, plus a financial-value threshold to exclude trivial cases, plus four safe harbours for legitimate narrow legislation: implementing a treaty or court order, public infrastructure where any private benefit is incidental, transitional legislation giving effect to existing entitlements, and legislation available to all parties meeting objective general criteria. Material protected by solicitor-client privilege, national security, or active law enforcement investigation can be filed in confidence with the Speaker rather than published.

Regulatory approvals that disclose their proponents

A pipeline approval. A utility licence. A major land-use decision. The financial value of a single major regulatory approval can dwarf any procurement contract.

Bill 2 requires a **Proponent Disclosure Record** for every regulatory approval above a threshold. The Record names the proponent entity, identifies its individuals with significant control, discloses contributions and other state benefits received by the ISCs, identifies entities under common ownership with the proponent, and includes the estimated financial value of the approval. Published within ten business days. Accessible for the duration of the approval and at least seven years after.

The disclosure does not affect the substantive decision. The Commissioner does not review the merits. That stays where it belongs, with the regulatory body that has the substantive expertise. The Commissioner's jurisdiction is limited to the completeness, accuracy, and timeliness of the Record.

Concessional arrangements that get daylight

Royalty reductions, tax abatements, loan guarantees, debt forgiveness, deferred payment arrangements. Each is a way for the Crown to confer financial advantage on a specific party: negotiated, not bid, often with a defensible rationale. None is inherently corrupt.

What they have in common is invisibility. A royalty reduction worth $40 million to a specific company doesn't show up where a $40 million procurement contract would. There is no common public register.

Bill 2 changes that. Every concessional arrangement above a threshold gets a **Concessional Arrangement Disclosure**: recipient, ISCs, contribution history, other state benefits received, estimated financial value, and the reasons for the concession, including why this recipient was selected and what public interest the arrangement serves. Published on a government website within thirty days of execution and tabled in the Legislative Assembly.

Arrangements available to everyone meeting objective criteria (a tax credit available to all qualifying businesses, a grant program with published eligibility) are excluded.

Ministerial individual exemptions

Every Minister has authority, under various statutes, to grant individual exemptions from rules of general application. The authority exists for legitimate reasons. It is also a route for individualized benefit that bypasses competition.

Bill 2 requires an **Individual Exemption Disclosure** for every ministerial exemption above a value threshold. The Disclosure names the recipient, identifies ISCs, discloses contribution history, names the rule being exempted, gives reasons, estimates value, and provides aggregate data on the same Minister's exemption pattern over the previous twenty-four months under the same statutory authority.

The pattern matters as much as the individual case. A Minister who has granted thirty individual exemptions in two years under a statute that contemplated rare exceptions is operating differently from a Minister who has granted three. Both might be defensible. Both should be visible.

> **Applied to the Turkish Tylenol procurement.** Disclosure obligations under §6 would have applied if the decision was characterized as exempting a specific party from a rule of general application; the timing exemption at §6(4) defers publication until after the emergency expires, preserving the executive's ability to act quickly. The provision that would have actually required reasoning *at the moment* the decision was made is the duty to document at Bill 1 §14A — it has no emergency carve-out. Together, the duty to document plus the eventual disclosure would have required a written, contemporaneous record of why this supplier, why this amount, why these terms. The decision could still have been right. We would have been able to see it. *Scenario analysis, not prediction.*

The Enforcement Equity Report

If there is one provision in either bill that is genuinely new in Canadian provincial practice, this is it.

The Auditor General prepares an annual report examining whether similarly-situated parties are receiving similar enforcement treatment from regulatory bodies, administrative tribunals, and enforcement agencies. The question the report asks: when a regulator has investigative or

enforcement choices, is the pattern of those choices defensible against the underlying conduct, or does it correlate with characteristics of the parties (industry sector, size, political contributions, recent receipt of state benefit) that shouldn't be driving enforcement?

This is the corruption hiding inside technically-correct decisions. A regulator that vigorously inspects one company while leaving its competitor's violations unaddressed has made a policy decision. If the inspection pattern correlates with contributions, that correlation matters. The pattern is visible only if somebody is looking.

Two Alberta oil-and-gas operators, similar production volumes, similar geology, similar regulatory histories. One has multiple significant violations referred for prosecution over five years. The other has the same number of equivalent violations resolved with administrative warnings. There may be a defensible reason: maybe one was repeatedly uncooperative and the other cooperative. Maybe one is a large corporation with sophisticated counsel, and the other is a small operator the regulator chose to handle through education. Both are possible explanations. Neither is corruption.

But if the second operator's ISCs are recent contributors to the governing party and the first's are not, the explanation has to be on the record. The Enforcement Equity Report makes that record. It does not accuse anyone of corruption. It surfaces the pattern, with a methodology that can be examined, and lets the political process, the press, and the Commissioner act on it.

The Auditor General, not the Ethics Commissioner, owns the report. Statistical analysis of enforcement patterns is the Auditor General's competence, not the Ethics Commissioner's.

The Auditor General also keeps a communications log. Every Enforcement Equity Report includes a record of all communications received about scope, methodology, selection, or findings, from any Minister, Deputy Minister, senior official, or Crown entity. The log characterizes each communication as informational, advisory, or directive. A nil return is required when no communications occurred. The log forecloses one of the standard ways an inconvenient report gets pre-emptively softened.

The first report covers a small number of bodies; coverage expands to all provincial regulators, tribunals, and enforcement agencies within five years (Bill 2 §7).

This is the hardest provision in the package to administer, and the most consequential. Right now, we don't even know enough to have the methodological argument.

Part VI — The Honest Limits

A regime designed to bind whoever holds power has to survive motivated subversion by whoever holds power.

What could go wrong

Constitutional vulnerability. Three provisions face material exposure: the Commissioner's regulation-making authority at §28, Assembly enforcement of large penalties against sitting Members at §22(5)(b), and the political-contribution cross-reference at §15. None is fatal. A pre-tabling constitutional opinion is non-negotiable. The drafter designed within constraints; counsel will say whether that worked.

Sanctions enforcement against sitting Members. Parliamentary privilege limits what courts can do to discipline sitting MLAs. The bill respects that ceiling by routing penalties against sitting Members through Certificates of Malfeasance and Assembly process. Section 16(4A) prevents censure-only resolutions from satisfying the Assembly's obligation when a Certificate involves a financial penalty. The Assembly must act substantively, pass a two-thirds resolution closing the Certificate with written reasons, or exhaust the sixty-sitting-day clock. A hostile majority with a two-thirds vote can still close a Certificate substantively. That's the cost of operating within parliamentary privilege.

Appointment capture. A two-thirds threshold is a substantial barrier; it is not a guarantee. A government with two-thirds of the Assembly, which has happened in Alberta, can appoint its preferred candidate. The seven-year non-renewable term, the eligibility bar on recent partisans, and the Chief Justice fallback at 120 days all raise the cost. None eliminates the risk.

Resource starvation. The regime can be defunded. The budget floor at §24(6) requires a recorded vote and a written consequences statement before estimates fall below the prior-year-CPI-adjusted floor. It does not prevent cuts; a government that accepts the political cost can still starve the office. The floor forces that cost into the open.

Coordinated capture. The most serious failure mode is sustained coordinated capture across the Commissioner, the Auditor General, and a hostile Assembly majority. Sufficient political will, applied across multiple election cycles, can defeat any structural design — Hungary's Orbán government and several U.S. states have demonstrated as much. No legislation can prevent this. It can raise the cost, generate records that survive the attempt, and distribute power so capturing every institution is itself a visible operation.

The full failure-mode analysis is in Appendix E.

What it costs

The combined regime costs an estimated **$5 million per year at steady state**, achieved by year five. Year-one capital is approximately $1.7 million for the technology build. Year-one operational spending is approximately $1.5 million during partial-year operations. The full breakdown (FTE allocations, technology and infrastructure, training, peer comparisons) is in Appendix C.

Five million dollars per year is roughly one one-hundredth of one percent of the provincial budget. Each of the three Part I cases ran ten to twenty times the regime's annual operating cost. Whether the regime would have prevented any of them is a counterfactual no accounting can resolve; Appendix C

describes which provisions would have engaged at which decision points without claiming what they would have changed.

The structural claim is more modest: a regime of this kind creates conditions under which decisions of this size face scrutiny at the point they are made, rather than years later through buybacks, leaked documents, and Auditor General reports. Some treat the cost as a deductible — a predictable annual premium against unpredictable exposure to the kind of events Part I describes. Whether that's good value is a judgment for the reader.

The $5 million is the drafter's estimate, not a Treasury Board validation. Treasury Board validation is one of the items below.

What hasn't been done yet

Four items, each before tabling.

Constitutional opinion. The three provisions identified above need a pre-tabling opinion from administrative law counsel, addressing the *Vaid* parliamentary privilege framework, *Wigglesworth / Guindon* on administrative penalty, *Harper* on §2(b) and political-contribution disclosure, and the structural-constitution questions raised by giving an officer of the legislature regulation-making authority.

Indigenous co-development. I drafted §21A without formal consultation. The carve-out is a placeholder. Legislation affecting Indigenous peoples has to be co-developed with First Nations governments, Métis settlements, and the Métis Nation of Alberta. The duty under *Haida Nation* attaches to the development of legislation, not only its application. I know this. I did not have access to do that work. Anyone moving the bill forward must do it.

Independent fiscal validation. The $5 million figure is consistent with peer Canadian oversight regimes on a per-capita basis, slightly higher because of broader scope. It needs Treasury Board analysis or equivalent.

Legislative drafting review. Section numbers referencing existing Alberta statutes need a legislative drafter's verification. Internal consistency across the two bills needs another pass by someone trained in legislative drafting craft. This brief is one citizen's serious attempt, not the equivalent of a legislative counsel's office product.

Part VII — The Invitation

If something in the package is worth supporting, the support has to be public and specific. *I want this provision because of these reasons.* General endorsement is worth less than a particular sentence put in front of a particular MLA.

If none of it is worth supporting, that is a position worth taking publicly. A no with reasoning beats a no without.

If you have an MLA, ask them, of any party, whether they would support this. Get an answer on the record. A no should come with a specific objection, not a general dismissal. The response is information.

The package isn't finished. Constitutional review, Indigenous co-development, fiscal validation, legislative drafting review: each named in Part VI. Several require external work I cannot do alone.

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A draft email to your MLA

If you would like to ask your MLA about this directly and don't know where to start, here is a draft. Replace the bracketed parts and send. If you change nothing else, you have asked the question.

> Dear [MLA's name],
>
> I'm a constituent in [your riding]. I recently read a drafted policy package called *What Accountable Government Looks Like*: two bills, the Honest Government Act and the Open Books Act, drafted by a private citizen and released under Creative Commons. The package is at [URL].
>
> I'm writing to ask whether you would support legislation along these lines, regardless of which party is in government. The drafted bills are designed to apply equally to whichever party holds power.
>
> Three specific provisions I would like your view on:
>
> 1. A duty to document decisions that are subject to disclosure, so that the documentary record exists at the time decisions are made (Bill 1, §14A).
> 2. A Beneficiary Disclosure Statement for legislation that benefits a small number of specifically identifiable parties (Bill 2, §3).
> 3. An annual Auditor General report on whether enforcement reaches similarly-situated parties similarly (Bill 2, §7).
>
> A yes would tell me you are willing to support the substance of these provisions. A no, with a specific reason, would tell me what I need to know to weigh your view against others. A general dismissal would tell me something too.
>
> Thank you.
>
> Sincerely, [Your name]

The bills were drafted to be used.

Appendix A — Bill 1: The Honest Government Act

Full drafted text. Released under CC-BY-SA 4.0.

Preamble

WHEREAS the people of Alberta are entitled to government that is transparent in its decisions, accountable for its conduct, and free from undue influence;

WHEREAS public confidence in democratic institutions depends more on visible integrity than on severe enforcement, and the primary remedy for failures of public trust is sunshine — the obligation to disclose, to explain, and to answer to the Legislative Assembly;

WHEREAS oversight mechanisms serve the public interest only where they remain politically independent of the officials they oversee, and such independence is preserved by separating the power to investigate from the power to impose electoral or punitive consequences, and by introducing verifiable randomness into the selection of matters for proactive review;

WHEREAS a functioning accountability regime requires graduated responses proportionate to the conduct, with correction preferred to punishment, with consequences calibrated so the poor do not face ruin and the wealthy cannot purchase immunity, and with good-faith actors protected from penalty;

WHEREAS the consequences under this Act apply equally to natural persons and to entities, such that no form of legal organization provides insulation from accountability;

WHEREAS the administration of this Act must operate within realistic budgetary constraints, using risk-based triage, self-certification with audit, and cost recovery;

WHEREAS this Act is intended to fill gaps in existing accountability mechanisms rather than to replace or duplicate the functions of the courts, criminal justice authorities, the Chief Electoral Officer, or the Legislative Assembly;

WHEREAS accountability regimes must not impose disproportionate burden on volunteer civic participants, line public-service workers, small businesses, or non-profit organizations whose conduct does not implicate the corruption risks this Act is designed to address;

AND WHEREAS it is the intent of the Legislature that this Act be interpreted liberally in favour of transparency, moderately in the application of coercive measures, protectively of good-faith actors, proportionately to the capacity and role of those subject to it, and always subject to procedural fairness;

HIS MAJESTY, by and with the advice and consent of the Legislative Assembly of Alberta, enacts as follows:

Short Title

1. This Act may be cited as the *Honest Government Act*.

Part 1 — Interpretation

2. In this Act:

(a) "annual compensation" means, in relation to a natural person, all remuneration received by the person in the preceding calendar year from all sources attributable to the person's public office, employment, or professional activity, including salary, bonuses, director's fees, consulting fees, and pension entitlements.

(b) "annual revenue" means, in relation to an entity, the revenue of the entity from all sources attributable to operations in Alberta for the preceding fiscal year, as reported in audited financial statements or tax filings.

(c) "beneficial ownership" means ultimate ownership or control of an entity, asset, or transaction, whether held directly or indirectly through one or more entities, trusts, nominees, or arrangements.

(d) "Certificate of Malfeasance" means a Certificate issued by the Commissioner under §9.

(e) "closely-held entity" means a partnership, limited liability partnership, private corporation, or other entity in which the owners, shareholders, or partners are also the primary operators, and whose ownership is not publicly traded.

(f) "Commissioner" means the Ethics Commissioner appointed under the *Conflicts of Interest Act*, except where context requires reference to another officer of the Legislature.

(g) "Compliance Order" means a written order issued by the Commissioner under §8.

(h) "declined-but-substantiated violation" means conduct found by the Commissioner to constitute a violation of this Act but disposed of without formal penalty under §25(6) on cost-proportionality grounds.

(i) "disgorgement" means the return to the Crown or to an identified victim of any financial or material benefit obtained through conduct contrary to this Act or a statute within the Commissioner's jurisdiction.

(j) "entity" means a corporation, partnership, limited partnership, limited liability partnership, cooperative, society, trust, sole proprietorship, joint venture, or other legal person or association of persons, whether incorporated or unincorporated, and includes a non-profit organization.

(k) "journalist" means a person who contributes regularly and directly to the gathering, production, writing, or dissemination of information intended for public consumption through any medium, subject to editorial oversight or established journalistic standards.

(l) "law enforcement authority" means the Royal Canadian Mounted Police, a municipal police service, the Alberta Serious Incident Response Team, or any other police or investigative body with jurisdiction over the conduct in question.

(m) "net assets" means the value of a person's or entity's assets less liabilities, as declared under the *Conflicts of Interest Act*, reported in audited financial statements, or otherwise verified under this Act.

(n) "parliamentary session" has the meaning given under Alberta legislative convention.

(o) "person" means a natural person or an entity, except where context requires reference specifically to a natural person.

(p) "public agency" has the meaning given in the *Alberta Public Agencies Governance Act*.

(q) "Public Report of Findings" means a written report issued by the Commissioner under §7.

(r) "randomness beacon" means a publicly accessible source of verifiable random values, including the randomness beacon operated by the National Institute of Standards and Technology or an equivalent internationally recognized source.

(s) "related transactions" means transactions involving the same counterparty, the same beneficial owner, or entities under common control or common beneficial ownership as determined under §25(10), occurring within a 36-month period.

(t) "reprisal" means any measure taken against an employee that adversely affects the employee's employment or working conditions because the employee made a protected disclosure, cooperated with an investigation, or is reasonably believed by the employer to have done or to intend to do either. It includes dismissal, demotion, discipline, transfer, reassignment, reduction of hours, withholding of benefits or opportunities, and the creation of a hostile work environment.

(u) "senior official" means: (i) a Deputy Minister or Associate Deputy Minister; (ii) an Assistant Deputy Minister; (iii) a Chief of Staff or Principal Secretary to a Minister or the Premier; (iv) a senior political staff member reporting directly to a Minister or the Premier, holding a position designated by regulation; and (v) the head of a public agency.

(v) "significant part of duties" means, in relation to in-house lobbying, lobbying activities amounting to 20 percent or more of the employee's working time in any calendar quarter, except where the employer is a non-profit organization with annual revenue below the threshold prescribed by regulation, in which case the percentage threshold is as prescribed by regulation; or a position description, performance expectation, or regular reporting obligation that contemplates lobbying as a recurring function.

(w) "family member" means a spouse, common-law partner, or dependent child of the individual, and does not include adult children, parents, or siblings unless they are also an individual with significant control of the same entity.

Part 2 — Amendments to the *Lobbyists Act*, RSA 2000, c L-20.5

3. Section 1(1)(h) is amended:

(a) by striking out subclause (i) and substituting:

> "(i) any person, whether paid or unpaid, retained by a client to communicate with a public office holder on behalf of the client, regardless of time spent (a 'consultant lobbyist');"

(b) by striking out subclause (ii) and substituting:

> "(ii) any employee of an organization or entity for whom communication with a public office holder constitutes a significant part of duties, as defined in the *Honest Government Act* (an 'in-house lobbyist');"

(c) by adding:

> "(iii) For greater certainty, communications by individual citizens, volunteer advocates, and members of community organizations not retained or employed to lobby, whose activities do not meet the 'significant part of duties' test, are not captured by this Act."

4. Section 6 is amended by adding:

> **(4)** A designated office holder who engages in a prescribed communication with a lobbyist shall, within 10 business days, file a transparency return in the form required by the Registrar.
>
> **(5)** "Prescribed communication" means any communication relating to the development of a Bill, regulation, program, or the awarding of a contract or grant above the threshold prescribed by regulation.

5. The following is added after section 18:

> **18.1** No person shall receive a payment for lobbying that is in whole or in part contingent on the outcome of a lobbying activity.

Part 3 — The Escalation Framework, Oversight Officer Independence, and Amendments to the *Conflicts of Interest Act*, RSA 2000, c C-23 and the *Auditor General Act*, RSA 2000, c A-46

GENERAL PRINCIPLES AND TRIAGE AUTHORITY

6. In exercising the powers under this Part, the Commissioner shall:

(a) respect the principle that this Act complements and does not replace the work of the courts, criminal justice authorities, the Chief Electoral Officer, and the Legislative Assembly; where another institution is better positioned, prefer referral over administrative substitution;

(b) refer matters that may disclose criminal conduct to the appropriate law enforcement authority without prejudice to the Commissioner's own proceedings;

(c) reserve the Certificate of Malfeasance for conduct that is persistent, incurable, or of such severity that lesser measures would be inadequate;

(d) prefer correction to punishment where correction is possible and adequate;

(e) apply the least restrictive measure consistent with the conduct and the public interest;

(f) in every proceeding, consider whether disgorgement of quantified benefit under §7, §8, or §9 is warranted, and address disgorgement explicitly;

(g) prioritize investigation and enforcement based on materiality, public interest, and resource availability, and for that purpose may establish by published guideline a materiality threshold below which conduct is disposed of by note in the quarterly compliance report; dispose of related matters through consolidated public report; and, by regulation under §28(4), designate low-risk conduct categories for handling through standing compliance protocols rather than individual investigation.

TIER 1 — PUBLIC REPORT OF FINDINGS

7(1) Where, following investigation with notice and opportunity to respond, the Commissioner finds that a Member, former Member, senior official, former senior official, or entity has engaged in conduct contrary to the *Conflicts of Interest Act* or another statute within the Commissioner's jurisdiction, and the conduct meets the materiality threshold, the Commissioner shall issue a Public Report of Findings.

(2) A Public Report of Findings shall identify the person; describe the conduct investigated; set out the factual findings and reasons; state whether the Commissioner is proceeding to Tier 2 or Tier 3 or closing the matter; inform the person of review rights under Part 8 and the good-faith defense under §26; and, where the conduct involves a quantifiable benefit, address disgorgement explicitly, stating the quantified value, the proposed recipient, and any enforcement recommendation.

(3) Conduct below the materiality threshold may be disposed of by note in the quarterly compliance report, identifying the person, describing the conduct, and giving reasons for disposition without formal report.

(4) The Commissioner shall table a Public Report of Findings forthwith in the Legislative Assembly, or deliver it to the Speaker for tabling on the first sitting day if the Assembly is not sitting, and shall publish it to the Commissioner's website.

TIER 2 — COMPLIANCE ORDER

8(1) Where conduct identified in a Public Report of Findings is correctable, the Commissioner may issue a Compliance Order directing specific corrective action within 60 to 90 days.

(2) Corrective action may include divestment of a conflicting interest; recusal from future decisions; disgorgement of the full quantified benefit, with less-than-full disgorgement requiring written reasons and, where the amount forgiven exceeds the threshold prescribed by regulation, Auditor General consultation with reasons published; correction of disclosure; in the case of an entity, governance, compliance, or monitoring reforms; or such other specific action as the Commissioner considers necessary.

(3) A Compliance Order shall be published in the quarterly compliance report.

(4) Upon timely and substantial compliance, the matter is closed and shall not proceed to Tier 3 on the same conduct, unless the conduct is later found more extensive, further similar conduct occurs within 24 months, or the person materially misrepresents compliance.

TIER 3 — CERTIFICATE OF MALFEASANCE

9(1) The Commissioner shall issue a Certificate of Malfeasance where a Compliance Order has not been complied with, or where the conduct is of such nature or severity that correction is not possible or inadequate, including conduct that, if substantiated, could constitute an offence under Canadian criminal law; intentional deception of the Commissioner or a public body; repeat conduct following a prior Public Report within 24 months; related transactions above the aggregate Tier 3 threshold prescribed by regulation; or single transactions above the Tier 3 threshold prescribed by regulation.

(2) A Certificate of Malfeasance shall identify the person; state the financial value and nature of the benefit; set out the findings and reasons for Tier 3 escalation; specify any disgorgement, repayment, restitution, or further sanction recommended, with reasons if less than full disgorgement is recommended; and inform the person of review rights and the good-faith defense.

(3) The Commissioner shall table a Certificate forthwith in the Legislative Assembly, or deliver it to the Speaker for tabling on the first sitting day.

POST-EMPLOYMENT RESTRICTIONS

10. Section 29 of the *Conflicts of Interest Act* is amended:

(a) in subsection (1), by striking out "12 months" and substituting "18 months";

(b) by adding:

> **(3)** No former Minister or senior official shall, for 18 months following termination of service, accept employment with or a board seat at a private-sector entity that received a discretionary provincial contract or grant above the threshold prescribed by regulation during the official's tenure, where the official had direct or indirect decision-making authority over the contract or grant.
>
> **(3.1)** "Private-sector entity" includes any entity under common control or common beneficial ownership (as determined under §25(10) of the *Honest Government Act*) with a recipient.
>
> **(4)** Subsection (3) does not apply to arms-length public entities (including Alberta Health Services, public post-secondary institutions, school boards, and municipalities); non-profit organizations receiving operational funding under an established program of general application, where the former official had no decision-making role regarding the specific grant; or employment with no connection to the contract or grant in question.
>
> **(5)** Breach results in repayment of transition allowances or severance, in an amount proportionate to the remaining restriction period, subject to review under Part 8.

11. Section 31 is amended by adding:

> **(3)** The Commissioner shall not grant a waiver for any restriction related to procurement, appointments to public agencies, or financial grants above the threshold prescribed by regulation.

11A. Section 15 of the *Conflicts of Interest Act* is amended:

(a) by striking out subsection (1) and substituting:

> **(1)** The Ethics Commissioner shall be appointed by Order in Council on the recommendation of the Lieutenant Governor in Council, following:
>
> (i) an open, merit-based competition administered by the Select Standing Committee on Legislative Offices, with the position publicly advertised and the selection criteria publicly posted before the competition opens;
>
> (ii) recommendation of a candidate by the Committee, passed by not fewer than two-thirds of Committee members present and voting, with written reasons for the recommendation published; and
>
> (iii) approval by resolution of the Legislative Assembly, passed by not fewer than two-thirds of all Members present and voting.

(b) by striking out subsection (2) and substituting:

> **(2)** The Ethics Commissioner holds office for a term of 7 years and is not eligible for reappointment.

(c) by adding after subsection (2):

> **(2.1)** No person is eligible to be appointed Ethics Commissioner who has, within 7 years immediately preceding the appointment, held elected office in any federal, provincial, or municipal jurisdiction in Canada; or held executive office — including the positions of president, vice-president, leader, deputy leader, executive director, campaign director, or equivalent — in any registered political party.
>
> **(2.2)** The Select Standing Committee on Legislative Offices shall publish the selection criteria, the names of all applicants who consent to public identification, and a summary of the Committee's reasons for its recommendation, to the extent consistent with applicant privacy and the integrity of the selection process.

(d) by striking out subsection (3) and substituting:

> **(3)** The Ethics Commissioner may be removed from office for cause only, on:
>
> (i) a report of the Select Standing Committee on Legislative Offices recommending removal, with written reasons; and
>
> (ii) a resolution of the Legislative Assembly passed by not fewer than two-thirds of all Members present and voting.

(e) by adding after subsection (3):

> **(4)** Where the office of Ethics Commissioner is or becomes vacant and no appointment has been made under subsection (1) within 120 days of the vacancy, the Chief Justice of the Court of King's Bench of Alberta shall appoint a qualified individual to serve as acting Ethics Commissioner. The acting Commissioner serves until an appointment is made under subsection (1) and has all the powers and duties of the Ethics Commissioner during that period. An individual appointed under this subsection must meet the eligibility requirements in subsection (2.1). The Chief Justice shall publish written reasons for the appointment. Service as acting Commissioner does not count against the term limit in subsection (2) and does not affect eligibility for formal appointment under subsection (1).

11B. The provisions of the *Auditor General Act*, RSA 2000, c A-46, governing the appointment, eligibility, term, and removal of the Auditor General are amended as follows [specific section numbers require verification against current statutory text before tabling]:

(a) The Auditor General shall be appointed by Order in Council on the recommendation of the Lieutenant Governor in Council, following:

> (i) an open, merit-based competition administered by the Standing Committee on Public Accounts, with the position publicly advertised and the selection criteria publicly posted before the competition opens;
>
> (ii) recommendation of a candidate by the Committee, passed by not fewer than two-thirds of Committee members present and voting, with written reasons for the recommendation published; and
>
> (iii) approval by resolution of the Legislative Assembly, passed by not fewer than two-thirds of all Members present and voting.

(b) No person is eligible to be appointed Auditor General who has, within 7 years immediately preceding the appointment, held elected office in any federal, provincial, or municipal jurisdiction in Canada; or held executive office — including the positions of president, vice-president, leader, deputy leader, executive director, campaign director, or equivalent — in any registered political party. The Standing Committee on Public Accounts shall publish the selection criteria, the names of all applicants who consent to public identification, and a summary of the Committee's reasons for its recommendation, to the extent consistent with applicant privacy and the integrity of the selection process.

(c) The Auditor General may be removed from office for cause only, on:

> (i) a report of the Standing Committee on Public Accounts recommending removal, with written reasons; and
>
> (ii) a resolution of the Legislative Assembly passed by not fewer than two-thirds of all Members present and voting.

(d) Where the office of Auditor General is or becomes vacant and no appointment has been made under paragraph (a) within 120 days of the vacancy, the Chief Justice of the Court of King's Bench of Alberta shall appoint a qualified individual to serve as acting Auditor General. The acting Auditor General serves until an appointment is made under paragraph (a) and has all the powers and duties of the Auditor General during that period. An individual appointed under this paragraph must meet the eligibility requirements in paragraph (b). The Chief Justice shall publish written reasons for the appointment. Service as acting Auditor General does not count against any statutory term limit and does not affect eligibility for formal appointment under paragraph (a).

Part 4 — Amendments to the *Access to Information Act*

12. Section 4 is amended by adding:

> **(1.1)** This Act shall be interpreted according to a presumption of disclosure. Where a public body relies on a discretionary exception, the public body bears the burden of demonstrating, on a balance of probabilities, that the public interest in withholding outweighs the public interest in disclosure.

13. Section 15 [Cabinet Confidences] is amended by adding:

> **(3)** Subsection (1) does not apply to factual, statistical, operational, or background data provided to the Executive Council, except where disclosure would reveal the substance of Cabinet deliberations; Treasury Board Decision Summaries recording a final decision, which shall be proactively disclosed within 180 days of execution, subject to subsection (4); or Ministerial Mandate Letters, which shall be proactively disclosed at the conclusion of the parliamentary session in which they are issued or 18 months after issuance, whichever is earlier, subject to subsection (4).
>
> **(4)** A public body may withhold such a record where disclosure would prejudice an ongoing procurement until concluded; reveal solicitor-client privileged legal advice; compromise an active law enforcement investigation; or endanger national security or public safety. Such a decision is subject to review by the Information and Privacy Commissioner and appeal under Part 8 of the *Honest Government Act*.
>
> **(5)** Where a Ministerial Mandate Letter is withheld from proactive disclosure under subsection (3) on the grounds of an exception in subsection (4), the withholding shall be recorded within 30 days in a public register maintained by the Information and Privacy Commissioner, identifying: (a) the Minister to whom the mandate letter was issued; (b) a description of the subject matter of the letter sufficient to inform the public of its general nature, as assessed by the Information and Privacy Commissioner — who may require greater particularity on application by any person; (c) the date the letter was issued and the date of the withholding determination; and (d) the exception claimed under subsection (4) and the reasons therefor. The register shall remain publicly accessible for not less than 7 years.

14. The following is added after section 92:

93(1) Where the Information and Privacy Commissioner finds that a Deputy Minister or head of a public body has willfully and repeatedly delayed record production without reasonable justification, failed to correct after written warning, and cannot establish the good-faith defense under §26 of the *Honest Government Act*, the Commissioner shall, in sequence, identify the public body and the Deputy Minister or head of the public body in the quarterly compliance report; if non-compliance persists 90 days after publication, issue a Compliance Order directing corrective action within 60 days; and if non-compliance persists, impose an administrative penalty under §25 of that Act.

(2) Before imposing a penalty, the Commissioner shall provide written notice of intent with the proposed amount and calculation; afford at least 14 days to respond, including opportunity to raise the good-faith defense; and issue written reasons.

(3) A penalty under this section is stayed pending any review, appeal, or court confirmation under Part 8 of the *Honest Government Act*.

(4) No penalty shall be imposed on an employee for good-faith application of a statutory exception, lawful redaction of third-party personal information protected under the *Protection of Privacy Act*, exercise of a duty to consult third parties, or on line records officers below the Deputy Minister level unless individually subject to a Compliance Order or Certificate.

14A. The following is added after section 93:

94(1) Duty to document. A public body shall create and maintain records sufficient to document:

(a) decisions relating to procurement, appointment, regulatory approval, concessional arrangement, ministerial individual exemption, or other matter subject to disclosure under this Act or the *Honest Government Act*;

(b) substantive communications between a public office holder and a registered lobbyist or person engaged in lobbying activity, whether in person, by telephone, by text message, by electronic mail, or by any other means;

(c) substantive communications within the Executive Council or Treasury Board that reflect final decisions or the factual bases relied upon in arriving at final decisions, subject to the exceptions in section 15.

(2) Standard of adequacy. The Information and Privacy Commissioner shall, by regulation, establish standards for the adequacy of documentation required under subsection (1), including minimum content for decision records; requirements for timely creation; retention periods; and protocols for transitory records. Standards under this subsection shall recognize that informal operational communications are not captured by subsection (1) unless they record a decision or a factual basis for a decision.

(3) Consequences of failure. Willful or repeated failure to document a decision or communication required under subsection (1), where the failure is not justified by a statutory exception, is conduct subject to section 93 of this Act and proceedings under the *Honest Government Act*, subject to the good-faith defense under §26 of that Act.

(4) Relationship to other records obligations. This section is in addition to, and not in lieu of, obligations under any other statute establishing records-creation or records-retention requirements.

Part 5 — Amendments to the *Financial Administration Act*, RSA 2000, c F-12

15. The following is added after section 82:

82.1(1) No public body shall award a contract above the threshold prescribed by regulation unless the bidder has provided a return identifying every individual with significant control (ISC) of the bidding entity, in the form and scope prescribed.

(1A) Simplified track for small bidders. A bidder whose annual revenue in the preceding fiscal year is below the small-bidder threshold prescribed by regulation may satisfy the requirement under subsection (1) by filing a simplified ISC declaration with the Registrar on an annual basis, in a form prescribed by regulation that is materially less detailed than the full return under subsection (1), and referencing the declaration in each bid submitted during the year. The simplified declaration is subject to subsections (2) through (7) with necessary modifications, and to audit under subsection (4). Any material change during the year in ISC identity or in the contribution history of any ISC shall be disclosed by amended declaration within 30 days. Processing fees under §29(2) of the *Honest Government Act* for small-bidder declarations shall not exceed the small-bidder fee cap prescribed by regulation, which shall be materially lower than the cap applicable under subsection (1).

(2) For contracts above the cross-reference threshold prescribed by regulation, the awarding public body shall, as part of procurement, cross-reference the ISC return against the contributions registry under the *Election Finances and Contributions Disclosure Act*, RSA 2000, c E-2, and certify to its chief financial officer that no ISC has personally, within the preceding 48 months, made a contribution above the match threshold prescribed by regulation to any party or constituency association, or held executive office in a registered party; or such a match has been identified and referred to the Ethics Commissioner. Family member contributions where the family member is not themselves an ISC are not captured by this cross-reference.

(2A) The cross-reference under subsection (2) shall be conducted by the Registrar as a hash comparison against the contributions registry. The Registrar shall return only a match/no-match indicator to the awarding public body. Where no match above the contribution threshold is indicated, no contribution history is disclosed at any level. Where a match is indicated, the Registrar shall confirm the specific match to the Commissioner; the Commissioner may access the contribution history for the sole purpose of the subsection (2) review. Records accessed under this subsection are confidential under §25(9) and shall not be published except as required by a Certificate or court confirmation under §22(5).

(3) Where a match is referred, the Commissioner shall conduct initial review within 10 business days. If no substantive conflict, the award may proceed. If a potential substantive conflict is identified, the award is stayed for a further 20 business days for full investigation, after which the Commissioner shall clear, condition, or recommend setting aside the award.

(4) The Commissioner shall audit a statistically valid sample of certifications annually, and shall conduct random full reviews under §27 of the *Honest Government Act*. A failure to refer a match that should have been referred may subject the certifying officer to proceedings under Part 3 of that Act, subject to the good-faith defense.

(5) Records shall be maintained for not less than 7 years and made available to the Commissioner on request.

(6) Nothing in this section prevents any person or entity from bidding on provincial contracts; this section establishes procedural transparency, not exclusion from eligibility.

(7) Unlimited-lookback disclosure. For contracts above the full-disclosure threshold, the bidder shall disclose any contribution above the match threshold made at any time by any ISC to any Alberta political party, constituency association, or candidate, without temporal limit. This disclosure is for transparency only and does not trigger automatic review unless the contribution falls within the 48-month match window.

(8) Accountability as procurement condition. A bidder for a contract above the full-disclosure threshold is deemed to have acknowledged, by submitting a bid, that compliance with this section and section 82.2 is a condition of contracting with the Crown, in the same manner as other compliance conditions attached to provincial procurement.

15A. The following is added after section 82.1:

82.2(1) Identity consistency — natural persons. For the purpose of returning and maintaining ISC information under section 82.1, every natural person who is an individual with significant control of a bidding entity shall verify their identity through the identity verification platform designated by the Minister by regulation, which as of commencement is the MyAlberta Digital Identity platform. The platform shall issue a persistent unique identifier for each verified individual; the Registrar shall retain only that identifier, and the underlying identity credential shall not be retained by the Registrar.

(2) Fallback identification — natural persons. Where a natural person ISC does not have access to the platform under subsection (1), the Registrar shall accept, in the following order, as the basis for identity hashing:

(a) an Alberta driver's licence or Alberta Identification Card — the number shall be hashed on receipt and the plaintext discarded;

(b) a Social Insurance Number, for Canadian residents without provincial photo identification;

(c) a foreign persistent national identification number prescribed by regulation, together with the country of jurisdiction, under sworn declaration — Commissioner verification of identity is required above the contract threshold prescribed by regulation; or

(d) date of birth, country of citizenship, and such further combination of identifiers as the Commissioner prescribes by regulation — notarized verification is required above the contract threshold prescribed by regulation for identity combinations under this paragraph.

A passport number shall not be used as a persistent identity basis for the purposes of this section.

(3) Entity identification. Every entity that is a bidder or through which beneficial ownership is held shall be identified by:

(a) its Alberta corporate registry number, where registered in Alberta;

(b) its Canada Revenue Agency Business Number, for federally registered entities; or

(c) its foreign corporate registry number and jurisdiction of incorporation, for entities incorporated outside Canada — Commissioner verification is required above the contract threshold prescribed by regulation.

The entity track and the natural person ISC track are maintained as separate hash streams, linked only through the ISC return that connects entity identifiers to their natural person ISC identifiers.

(4) Name consistency and automated matching. The Registrar shall maintain automated cross-registry matching with a similarity threshold prescribed by the Commissioner by regulation, across ISC returns. Where the automated system identifies a potential match between returns using different name spellings, transliterations, or legal name variations for what appears to be the same individual, the Registrar shall issue a name consistency notice to the person. The person shall, within 30 days, confirm the match or provide documentation establishing that the returns relate to different individuals. Timely correction of an inadvertent variation does not constitute a finding of fragmentation and does not attract consequences under subsection (5).

(5) Consequences of identity fragmentation. Where the Commissioner determines, on a balance of probabilities, that a natural person has deliberately represented themselves under different names, identifiers, or identity combinations across two or more ISC returns in order to evade cross-matching, the following escalating consequences apply:

(i) *First finding:* the Commissioner shall issue a correction order requiring the person to consolidate all returns under a single consistent identity; impose an administrative fee under §25 with necessary modifications; and flag the person for 12-month enhanced scrutiny review of all ISC returns in which the person appears.

(ii) *Second finding within 5 years:* the Commissioner shall impose an administrative penalty under §25; and suspend the procurement eligibility of every entity in which the person is an ISC for 24 months across all provincial contracts, subject to review under Part 8.

(iii) *Third finding, or a finding of deliberate systematic identity fragmentation:* the Commissioner shall impose the maximum administrative penalty available under §25; permanently ban the person from serving as an ISC for any entity bidding on provincial contracts; and refer the matter for criminal investigation under §6(b). Entity-level consequences under subsection (6) apply.

(6) Entity-level reach. A procurement suspension under subsection (5)(ii) or a permanent ban under subsection (5)(iii) applies to all entities in which the person is or was an ISC at the time of the finding, and to entities where the Commissioner determines the person has beneficial ownership within the meaning of §25(10). Entity-level application is subject to the Commissioner's written assessment of materiality and does not automatically extend to entities where the person's interest or influence is de minimis.

(7) Good-faith defense. The good-faith defense under §26 applies to proceedings under subsection (5). For greater certainty, cultural naming practices, recent legal name changes, documentation inconsistencies in immigration or civil records, and transliteration variations in official documents are not evidence of deliberate fragmentation, and a person who responds promptly to a name consistency notice under subsection (4) is not subject to the consequences under subsection (5).

Part 6 — Amendments to the *Recall Act*, SA 2021, c R-5.7

16. Section 5 is amended by adding:

(4) Where the Ethics Commissioner tables a Certificate of Malfeasance regarding a sitting Member, the Legislative Assembly shall, within 30 sitting days, deal with the Certificate by resolution in one or more of the following ways: referral to the appropriate law enforcement authority for investigation (simple majority); expulsion (two-thirds majority); referral to the Chief Electoral Officer for recall (simple majority); or censure (simple majority). Resolutions under this subsection are not mutually exclusive.

(4A) Where a Certificate tabled under subsection (4) incorporates a financial penalty determination under §22(5)(b) exceeding the threshold prescribed by regulation, the following requirements apply:

(a) A resolution consisting solely of censure under subsection (4)(iv) does not satisfy the Assembly's obligation under this section.

(b) The Certificate remains open until: (i) the Assembly passes a resolution under subsection (4)(i), (ii), or (iii); (ii) the Assembly passes a closing resolution under paragraph (c); or (iii) 60 sitting days have elapsed from the date of tabling, in which case subsection (5) applies.

(c) The Assembly may close a Certificate incorporating a financial penalty determination by resolution passed by not fewer than two-thirds of all Members present and voting, with written reasons explaining why the conduct does not, on the facts found by the Commissioner, warrant a response under subsection (4)(i), (ii), or (iii). Such a resolution shall be published in the Votes and Proceedings with the names of Members voting for and against, and shall be delivered to the Commissioner for publication on the Commissioner's website.

(d) The Assembly may pass a censure resolution under subsection (4)(iv) and thereafter proceed to a resolution under paragraph (b) within the applicable period; a censure resolution does not restart the clock under this subsection.

(4B) Subsection (4A) does not apply where the Certificate has been set aside in whole or in part by the Commissioner on reconsideration or by a court on review such that no financial penalty determination remains outstanding.

(5) If the Assembly has not dealt with the Certificate within 30 sitting days, the matter is deemed referred to the appropriate law enforcement authority for investigation. Deemed referral does not constitute a referral for recall.

(6) On an explicit recall referral, the Chief Electoral Officer shall issue a recall petition, waive the notice of intent and initial signature requirement, and deem the petition period commenced on the date of referral. The petition period is held in abeyance if the Member files review under Part 8 of the *Honest Government Act* until the application is withdrawn, dismissed with appeals exhausted, or the Certificate is upheld in whole or in part sufficient to sustain a finding of malfeasance. A Certificate set aside on review terminates proceedings, and signatures collected shall not be used for any purpose.

(7) Backstop on law enforcement decline. Where a law enforcement authority receives a referral under subsection (4) or a deemed referral under subsection (5) and declines to investigate or closes the matter without investigation, the authority shall notify the Speaker in writing with reasons, subject to any legal constraint on disclosure of investigative reasoning. On receipt, the Speaker shall cause the Certificate to be retabled with the authority's notice. The Assembly shall, within 15 sitting days of retabling, deal with the Certificate by resolution under subsection (4), with a recorded vote, and the rules of subsection (6) apply to any such resolution.

Part 7 — Amendments to the *Public Interest Disclosure (Whistleblower Protection) Act* and the *Alberta Public Agencies Governance Act*

17. Section 3 of the *Public Interest Disclosure (Whistleblower Protection) Act* is amended in the definition of "wrongdoing" by adding:

> **(f)** a serious ethical breach involving a conflict of interest, procurement impropriety, the awarding of a contract, grant, or appointment in contravention of statute or established policy, or the directed suppression, alteration, or withholding of factual information provided to a public body or the Executive Council, where not authorized by statute, required by solicitor-client privilege, or undertaken to protect third-party personal information under the *Protection of Privacy Act*.

18. Section 24 is amended by adding:

> **(4)** In proceedings under this section, once an employee establishes that a protected disclosure was made and an adverse employment action followed within 24 months, the burden shifts to the employer to demonstrate, on a balance of probabilities, that the adverse action was taken for reasons unrelated to the disclosure.
>
> **(5)** Primary liability for damages rests with the employer or public body.
>
> **(6)** An individual who directs, authorizes, or personally carries out a reprisal is personally liable, jointly and severally with the employer, where the tribunal finds the individual acted in bad faith or with knowledge that the action was a reprisal.
>
> **(7)** Personal liability under subsection (6) is capped at the lesser of six months of the individual's annual compensation or the amount prescribed by regulation. It is not indemnifiable by the Crown, a public body, or any insurance arrangement funded in whole or in part by public money.

18A. The following preservation order authority is added to the *Public Interest Disclosure (Whistleblower Protection) Act*:

(1) Where a protected disclosure has been made or the Commissioner has commenced an investigation into wrongdoing involving the employment of any person, the Commissioner may issue a preservation order to any person or entity, directing that:

> (a) specified records, documents, electronic files, correspondence, or other information be preserved in their current form and not altered, deleted, moved, or transferred without the Commissioner's written consent; and
>
> (b) the employment status, compensation, duties, and working conditions of any employee who is or may be a complainant, disclosing employee, or witness in the proceedings not be altered pending the Commissioner's final determination, except in the ordinary course of operations demonstrably unrelated to the investigation.

(2) A preservation order under subsection (1)(b) operates as a status quo order, not a reinstatement order. It prevents the initiation of adverse employment action during the investigation period. It does not reverse adverse employment action taken before the order was issued, unless the Commissioner has reasonable grounds, on an ex parte review of available evidence, to conclude the prior action was a reprisal, in which case the order may include a direction for temporary reinstatement pending full determination.

(3) A preservation order remains in effect for 90 days and may be renewed by the Commissioner for further 90-day periods until the Commissioner's final determination, to a maximum total period of 18 months, or until a court varies or sets aside the order on review under subsection (4), whichever is earlier.

(4) A preservation order is subject to expedited review by the Court of King's Bench on application by the person or entity subject to the order. The Court shall schedule a hearing within 10 business days of filing. Review is limited to whether the Commissioner had reasonable grounds to issue the order; the Court shall not

conduct a full merits review of the underlying investigation at this stage.

(5) Breach of a preservation order is conduct within the jurisdiction of the Commissioner under this Act, subject to the escalation framework in Part 3. Willful breach — including the destruction, alteration, or concealment of records after receipt of a preservation order — may give rise to a Certificate of Malfeasance without the requirement for prior Public Report or Compliance Order under that framework.

(6) The Commissioner shall, as a matter of practice, issue a preservation order under subsection (1)(a) at the commencement of any investigation where evidence relevant to the investigation is or may be under the control of a party to the proceedings or an affiliated entity, unless the Commissioner has specific written reasons for concluding that the order is premature or would compromise the investigation.

19. The following is added after section 31:

> **32(1)** An employee may disclose wrongdoing directly to a Member of the Legislative Assembly or a journalist, without loss of protection, where the wrongdoing presents imminent risk to public health, public safety, or the integrity of public funds such that delay would defeat the purpose of disclosure; the employee has reasonable grounds to believe internal disclosure will result in destruction, alteration, or concealment of evidence; a prior protected disclosure has resulted in or reasonably apprehended reprisal; or the Commissioner has declined to investigate or failed to commence investigation within 60 days.
>
> **(2)** A disclosure made in good faith is protected for all purposes of this Act, provided the employee discloses only information reasonably necessary and does not disclose solicitor-client privileged information or information causing clear and substantial harm to an identifiable third party unconnected to the wrongdoing.

20. Section 9 of the *Alberta Public Agencies Governance Act* is amended by adding:

> **(4)** Every Order in Council appointing an individual to a paid senior position at a public agency (board chair, chief executive officer, or senior executive) shall be accompanied by a published justification stating the selection criteria; the appointee's qualifications; and whether the appointee has, within 48 months preceding appointment, made contributions above the threshold prescribed by regulation, or held executive office in a registered political party.
>
> **(5)** "Paid senior position" does not include volunteer appointments with no remuneration or per diem stipend only, or advisory committee or council appointments without executive authority. For volunteer appointments, the Minister shall disclose in the quarterly appointments bulletin only those appointees meeting the contribution threshold prescribed by regulation, or who have held executive office in a registered political party within 24 months.
>
> **(6)** All other Orders in Council appointing individuals to public agencies shall be reported in a consolidated quarterly appointments bulletin identifying the appointee, the agency, the nature of the position, and any applicable disclosures.
>
> **(7)** The justification shall be published on a government website within 10 business days and shall remain accessible for the duration of the appointment and at least 7 years after.
>
> **(8)** This section applies prospectively only.

Part 8 — Common Procedural Provisions

GENERAL APPLICATION

21. This Part applies to all determinations made under this Act or under any statute as amended by this Act, including Public Reports of Findings, Compliance Orders, Certificates of Malfeasance, administrative penalties, post-employment findings, disgorgement orders, beneficial ownership determinations, and stays of contract award, except where expressly excluded.

FIRST NATIONS, MÉTIS, AND INUIT GOVERNANCE

21A(1) In this section, "Indigenous government" means a First Nations government, a Métis government, or an Inuit government that is recognized under federal law, under a self-government agreement, under the *Metis Settlements Act*, or under an agreement with the Government of Canada or a province of Canada, and includes a band council constituted under the *Indian Act* (Canada), a Métis Settlement, and the Métis Nation of Alberta.

(2) Nothing in this Act applies to the internal governance of an Indigenous government, including the conduct of its elected officials, employees, or agents in the discharge of their governance functions.

(3) Where a determination, investigation, audit, or other action under this Act would affect an Indigenous government, or an entity materially owned or controlled by an Indigenous government as defined by regulation, the Commissioner shall, before commencing the action, consult with the affected Indigenous government in good faith on the subject matter, scope, and procedural conduct of the action, and shall accommodate the outcome of that consultation to the extent reasonably possible without defeating the purposes of this Act.

(4) For greater certainty, this Act applies to contracts, grants, regulatory approvals, and other provincial decisions involving entities described in subsection (3) as it applies to any other person or entity, subject to consultation and accommodation under that subsection.

(5) This Act shall not be interpreted so as to limit, abrogate, or derogate from the constitutional rights of Indigenous peoples of Canada recognized and affirmed under section 35 of the *Constitution Act, 1982*, or from any treaty right.

(6) Nothing in this section limits the jurisdiction of the courts or administrative tribunals to adjudicate matters involving constitutional rights, treaty rights, or the duty to consult.

WRIT PERIOD

21B(1) During a provincial general election or by-election, from the day the election writ is issued to the day the writ is returned:

> (a) The Commissioner shall not commence a new investigation under this Act.
>
> (b) Investigations commenced before the issue of the writ continue in all respects, including the collection of evidence, the conduct of hearings, and the preparation of Reports, Orders, and Certificates.
>
> (c) Public Reports of Findings, Compliance Orders, and Certificates of Malfeasance arising from investigations in progress at the issue of the writ shall be issued on their normal timetable and shall not be delayed or accelerated on account of the writ period. The Commissioner shall not time the release of any Report, Order, or Certificate to coincide with electoral events.
>
> (d) A Certificate of Malfeasance issued during a writ period shall be delivered to the Speaker for tabling on the first sitting day following the return of the writ.

(2) Subsection (1)(a) does not prevent: (a) the receipt and registration of complaints during a writ period; (b) the continuation of random audit work in progress at the issue of the writ; or (c) administrative and operational functions of the Commissioner office not involving the commencement of a new investigation.

(3) For greater certainty, where the writ is issued while a complaint is pending and no investigation has yet been formally commenced, the Commissioner shall hold the complaint and commence investigation after the return of the writ, unless the writ is returned without an election having been held, in which case investigation may commence immediately.

REVIEW AND APPEAL

22(1) A person aggrieved by a determination may apply to the Commissioner for reconsideration within 30 days.

(2) The Commissioner shall conduct reconsideration based on the original record, any further submissions of the applicant, and any submissions the Commissioner determines necessary in the interests of fairness. A written decision with reasons shall issue within 60 days.

(3) A person aggrieved by a reconsideration decision may apply to the Court of King's Bench for judicial review within 30 days. The standard of review is correctness on questions of procedural fairness and jurisdiction, and reasonableness on questions of fact and mixed fact and law.

(4) Filing an application under this section stays the operation of the determination until the application is resolved, except as expressly provided.

(5) Court confirmation for large penalties — non-Members.

(5)(a) Where a determination includes an administrative penalty exceeding the threshold prescribed by regulation against a respondent who is not a sitting Member of the Legislative Assembly, the Commissioner shall not proceed to collection until the penalty has been confirmed by the Court of King's Bench on application. On application, the Court shall review for procedural fairness, jurisdictional compliance, and reasonableness; afford the person opportunity to be heard and to raise the good-faith defense; and confirm, vary, or set aside the penalty. The Court may substitute its own determination where the Commissioner's determination is not reasonable. The person subject to the penalty may consolidate reconsideration, judicial review, and court confirmation proceedings into a single merits hearing, in which case the Court may conduct full merits review notwithstanding the standard-of-review framework in subsection (3). Pending confirmation, no collection, garnishment, execution, or enforcement action may be taken, and the stay under subsection (4) applies. The Chief Justice may designate a rotation of judges or a specialized panel to manage confirmation volume.

(5)(b) Assembly process for sitting Members. Where a determination includes an administrative penalty exceeding the threshold prescribed by regulation against a respondent who is a sitting Member of the Legislative Assembly, the Commissioner shall incorporate the penalty determination into a Certificate of Malfeasance under §9 and table it in the Legislative Assembly. The penalty shall be enforced exclusively through the Assembly process under §16; court confirmation under subsection (5)(a) is not available for penalties against sitting Members. This subsection does not limit the Commissioner's jurisdiction to investigate a Member's conduct or to issue Certificates of Malfeasance; it addresses only the enforcement mechanism for large monetary penalties. Nothing in this subsection is to be read as waiving parliamentary privilege with respect to the conduct of Members in the exercise of their legislative functions.

(6) Constitutional and executive privilege preserved. Nothing in this section limits the respondent's ability to raise Cabinet confidence, executive privilege, or interference with a core executive function as grounds in any reconsideration, judicial review, or court confirmation proceeding; the Commissioner and the Court shall consider such grounds within the framework of reasonableness review.

PROTECTION AGAINST PROCEEDINGS FOR DELAY

22A(1) Where a person or entity commences a judicial review application, constitutional challenge, injunction application, or other court proceeding in connection with a determination, investigation, or action of the Commissioner under this Act (a "challenge"), and the Commissioner has reasonable grounds to believe the challenge was brought primarily to cause delay, impose litigation costs, or frustrate the purposes of this Act rather than to obtain genuine legal relief, the Commissioner may apply to the Court of King's Bench for an expedited hearing and relief under this section.

(2) On application under subsection (1), the Court shall, on an expedited basis within 20 business days of filing, determine whether the challenge has a reasonable prospect of success on the merits. In making this determination, the Court shall consider:

> (a) whether the legal grounds raised are novel and serious, or substantially the same as grounds previously raised and rejected in proceedings involving similar Commissioner determinations;
>
> (b) whether the timing of the challenge correlates with critical enforcement steps, including imminent collection, imminent tabling of a Certificate, or an approaching limitation period; and
>
> (c) whether the relief sought, if granted, would have a practical effect on the respondent's legal obligations disproportionate to the genuine legal question raised.

(3) Where the Court determines that a challenge has no reasonable prospect of success on the merits, the Court shall:

> (a) dismiss the challenge;
>
> (b) award costs to the Commissioner on a solicitor-client basis; and
>
> (c) where the Court finds the challenge was brought in bad faith, impose a further sanction calibrated to the capacity of the applicant under §25 with necessary modifications.

(4) In any proceeding under this Act or relating to a determination under this Act, costs shall be awarded presumptively to the Commissioner on a solicitor-client basis where the challenge fails. A court may depart from this presumption only where the challenge raised a genuine, novel, and serious legal question of public importance not previously adjudicated, stating written reasons for departure.

(5) The stay of enforcement under §22(4) applies to final collection, garnishment, and execution only. No stay arising under §22(4) or any court proceeding shall apply to:

> (a) the Commissioner's obligation to publish a Report, Certificate, or compliance record under this Act;
>
> (b) any requirement to produce, preserve, or disclose records in an ongoing investigation; or
>
> (c) the Commissioner's authority to conduct the underlying investigation while proceedings regarding a determination from that investigation are pending.

(6) Where an applicant has not taken any steps to prosecute a challenge within 60 days of filing, the Commissioner may apply to the Court for dismissal for delay. The Court shall schedule a hearing on such application within 10 business days. Costs on dismissal for delay are presumptively awarded to the Commissioner on a solicitor-client basis under subsection (4).

(7) The Commissioner may, on application to the Court, seek an order requiring security for costs before a challenge may continue, where the Commissioner establishes on a balance of probabilities that the challenge was brought primarily for delay and that the Commissioner would suffer material financial prejudice in the absence of such security.

QUARTERLY COMPLIANCE REPORT

23(1) The Commissioners responsible for the statutes affected by this Act shall jointly publish a quarterly public report identifying Certificates issued during the period, with the Assembly's response; administrative penalties imposed, with the basis of calculation and any court confirmation; individuals and entities subject to Compliance Orders, including disgorgement; public bodies in persistent non-compliance with disclosure obligations (with identification at the Deputy Minister level, not line records officers unless individually subject to order); declined-but-substantiated violations under §25(6), aggregated by category, and identification of persons, entities, or beneficial owners crossing the accumulation threshold; beneficial ownership determinations; random audit results in aggregate; below-threshold dispositions; systemic obstacles; and recommendations to the Legislative Assembly.

(2) The report shall be tabled in the Legislative Assembly, published on each Commissioner's website, and made available in plain-language summary form.

RESOURCING AND BUDGET VISIBILITY

24(1) The Legislature affirms its intent that the Commissioner offices be resourced commensurate with the expanded mandate.

(2) The Commissioners shall, within 90 days of commencement, jointly submit to Treasury Board a resource plan.

(3) The Commissioners shall report annually to the Legislative Assembly on administration of this Act, including caseload by category and tier; resource adequacy, with an explicit statement of whether current caseload exceeds current capacity and the operational consequences of any shortfall; aggregate administrative cost; fee revenue collected under §29; declined-violation patterns; random audit results; beneficial ownership determinations; and any systemic obstacles.

(4) Monthly resource adequacy notice. In addition to the annual report under subsection (3), the Commissioner shall publish a monthly resource adequacy notice on a date the Commissioner designates at the beginning of each calendar year by public notice, which date shall not be changed except on 90 days' advance public notice. The Commissioner shall prescribe the form of the notice, which shall include at minimum: (a) current caseload by category; (b) current funded capacity by function; (c) whether caseload or mandatory program obligations exceed funded capacity in any category, with the operational consequence of any shortfall stated plainly; (d) status of each technology and infrastructure build required under this Act, including whether capital appropriations have been received and whether builds are on schedule. Where the notice identifies that caseload exceeds funded capacity or that a required infrastructure build has not received appropriation within 12 months of commencement of the relevant provision, the Commissioner shall simultaneously deliver the notice to the Speaker for tabling at the next sitting day.

(5) Cooperation register. The annual report under subsection (3) shall include a cooperation register identifying: (a) each request made by the Commissioner or Auditor General to the Lieutenant Governor in Council for threshold-setting or regulation-making under §28(1) through §28(4) in the preceding year; (b) whether a regulation responsive to the request was made within 90 days; (c) if a regulation was made, whether the Commissioner and Auditor General assess it as consistent with the purposes of this Act, with reasons; and (d) if no responsive regulation was made within 90 days, the operational consequence and the Commissioners' joint assessment of the effect on the operative scope of the relevant provisions.

(6) Budget floor. The annual main estimates submitted to the Legislative Assembly shall include an appropriation for the Commissioner office not less than the greater of:

> (a) the appropriation approved for the Commissioner office in the immediately preceding fiscal year, adjusted for the change in the Alberta Consumer Price Index, all items, as described in §28(1); and
>
> (b) the minimum operational funding level identified in the most recent resource plan under subsection (2) and confirmed in the most recent monthly resource adequacy notice under subsection (4).

Where the proposed estimates include an appropriation below the floor established by this subsection, the President of the Treasury Board shall, prior to or contemporaneously with the tabling of the estimates, table in the Legislative Assembly a written statement identifying: (i) the amount of the proposed reduction and the resulting shortfall below the floor; (ii) each operational function or program that will be reduced or suspended as a result, assessed against the most recent monthly resource adequacy notice under subsection (4); and (iii) the Commissioner's written response to the proposed reduction, obtained by the President of the Treasury Board not less than 14 days before tabling. Any provision in the estimates reducing the Commissioner office's appropriation below the floor shall be voted on separately and by recorded vote in the Committee of Supply.

(7) Constitutional qualification. Subsection (6) does not limit the constitutional authority of the Legislative Assembly to determine appropriations. It operates as a procedural requirement — mandatory disclosure of operational consequences and a separate recorded vote — not as a substantive constraint on legislative authority. An appropriation below the floor adopted in compliance with subsection (6) is valid and effective.

PROPORTIONAL PENALTY FRAMEWORK

25(1) This section applies to all administrative penalties under this Act, to natural persons and entities equally.

(2) Penalties shall be calibrated to the capacity of the person or entity subject to them, such that they are neither ruinous to those of limited means nor rendered trivial by the wealth, income, or revenue of those of substantial capacity; be administered at a cost proportionate to the public interest served; and not be evadable through systematic trivial violations.

(3) Natural person penalties shall consist of a base amount equal to a percentage of annual compensation, tiered by violation count; an asset-based enhancement equal to a percentage of net assets above the asset threshold, tiered by violation count; and a minimum floor scaled to Alberta minimum wage. Specific percentages, thresholds, and floor values are prescribed by regulation. The minimum floor shall not apply to persons whose annual compensation is below the junior staff threshold prescribed by regulation; for such persons, the base percentage applies alone, with asset enhancement only where net assets exceed the asset threshold.

(4) Entity penalties shall consist of a base amount equal to a percentage of annual revenue, tiered by violation count; an asset-based enhancement equal to a percentage of net assets above the entity asset threshold, tiered by violation count; and a minimum floor scaled by violation tier. For closely-held entities, the net assets calculation shall include the personal net assets of operator-owners, aggregated and prorated by ownership interest. Director and officer personal liability attaches, jointly and severally with the entity, where the tribunal finds the director or officer knew of the conduct, had authority to prevent or remedy it, and failed to exercise that authority. Unpaid non-profit directors are exempt from personal liability unless direct personal involvement in the conduct is established. Specific percentages, thresholds, and floor values are prescribed by regulation.

(5) Collection. Penalties on natural persons shall be collected by deduction from compensation, pension, investment income, or other periodic income over a period not exceeding the maximum prescribed by regulation, unless the person elects earlier payment. No penalty shall be demanded as a lump sum where such demand would cause undue hardship. Entity penalties may be collected by any lawful Crown civil process.

(6) Cost proportionality and decline tracking. The Commissioner shall not pursue a penalty where the reasonably anticipated cost of imposition, collection, and defence exceeds the penalty amount, unless the public interest in deterrence clearly warrants the expenditure (with written reasons) or the person or entity has accumulated declined-but-substantiated violations above the accumulation threshold prescribed by regulation. The Commissioner shall maintain a register of declined-but-substantiated violations identifying the person or entity, the conduct, the value at issue, and the date; shall give written notice of each entry with warning of the accumulation consequence; and shall aggregate declines by beneficial owner (per subsection (10)) and by director or officer identity, not only by legal person. On reaching the accumulation threshold, the cost-proportionality exemption ceases to apply; the next determined violation is treated as a third-tier violation under subsection (3) or (4) with maximum asset-based enhancement, subject to a Compliance Order or Certificate of Malfeasance as appropriate. The Commissioner shall notify the person or entity one violation in advance of the threshold being reached.

(7) Non-indemnification. A penalty under this Act shall not be indemnified by the Crown, a public body, or any insurance arrangement funded in whole or in part by public money. For director and officer personal liability, non-indemnification applies to indemnification by the Crown or public bodies but does not prohibit indemnification by the entity itself where permitted by applicable corporate law.

(8) Relationship to other remedies. A penalty under this section is in addition to, and not in lieu of, disgorgement under §7, §8, or §9; severance repayment under §10(5); restitution or compensation ordered by any court or tribunal; and any penalty, fine, or forfeiture imposed under the criminal law following referral under §6(b), §9(1), or §16.

(9) Verification of means. The Commissioner may rely on disclosure filings under the *Conflicts of Interest Act* and the *Public Service Act*; audited financial statements and tax filings; information obtained in investigation; information provided in response to written notice; beneficial ownership determinations under subsection (10); and such other information as is reasonably necessary. Where verification of net assets is impractical or disproportionately expensive, the Commissioner may calculate the asset-based enhancement under subsection (3) or (4) based on the person's or entity's gross income as reported under the *Income Tax Act* (Canada) for the preceding three years, as a verifiable proxy for capacity. Information obtained for this purpose is confidential and shall not be disclosed except as necessary to impose, collect, confirm, or enforce the penalty; in aggregate or anonymized form in reports under §23 or §24; or as required by law. The Commissioner shall collect personal and financial information only to the extent reasonably necessary for the determination at issue, and shall not retain such information beyond the period required for that determination.

(9A) Self-declaration cascade. The Commissioner shall determine penalty capacity in the following order:

(a) public disclosure filings under the *Conflicts of Interest Act*;

(b) self-declaration by the respondent under oath, to be provided within 14 days of written notice that capacity is in issue;

(c) audited financial statements or tax filings, where self-declaration is challenged by the Commissioner on reasonable grounds; and

(d) net asset verification through investigation only where (a) through (c) are insufficient and the magnitude of the anticipated penalty justifies the investigative intrusion.

(9B) Destruction of financial information. Financial information collected under subsection (9) or (9A) shall be destroyed no later than the later of: (a) 90 days after the penalty has been collected or the proceeding has otherwise concluded; or (b) the expiry of any applicable appeal period. The Commissioner shall provide written

confirmation of destruction to the respondent. This subsection does not require destruction of aggregate or anonymized data, information publicly available from other sources, or information the subject of an ongoing proceeding.

(10) Beneficial ownership determinations. The Commissioner may, on reasonable grounds and following investigation, determine that two or more entities or persons are under common beneficial ownership for purposes including aggregating related transactions; aggregating declined-but-substantiated violations; determining the scope of post-employment restrictions under §10(3.1); applying the unlimited-lookback disclosure under §15(7); and any other determination under this Act where beneficial ownership is relevant. A determination is prima facie true, and the person or entity challenging it bears the onus of disproof on a balance of probabilities. The Commissioner may consider corporate, partnership, and trust records; ISC returns; patterns of financial flow, control, or benefit; nominee arrangements; shared directors, officers, signatories, or addresses; and any other relevant information. A determination is subject to reconsideration and review under Part 8.

GOOD-FAITH DEFENSE

26(1) A person or entity is not subject to penalty, disgorgement, or other consequence under this Act where:

(a) the conduct was undertaken in good faith;

(b) the person or entity acted on reasonable reliance on one or more of: written or reliably documented professional advice from qualified legal or ethics counsel; statutory interpretation consistent with published judicial or administrative authority; published guidance from the Commissioner, the Auditor General, or another authorized public body; or documented practice in the relevant field, office, or sector that has not been criticized by the Commissioner, the Auditor General, or the Information and Privacy Commissioner in any published report within the preceding 60 months; and

(c) the person or entity did not know, and could not reasonably have been expected to know, that the conduct contravened this Act.

(2) In any proceeding, the person or entity is presumed to have acted in good faith. The burden of establishing bad faith rests on the Commissioner on a balance of probabilities.

(3) Where the defense is successfully raised, no penalty, disgorgement, or punitive consequence shall be imposed; the Commissioner may issue a Public Report of Findings identifying the conduct and the good-faith basis for guidance and future compliance; the Commissioner may recommend revised guidance; and a Compliance Order may be issued to correct the conduct on a prospective basis, but shall not require repayment, disgorgement, or penalty.

(4) The defense does not apply to conduct involving intentional deception of the Commissioner or a public body; conduct where the person or entity ignored specific prior advice from the Commissioner regarding the same or substantially similar conduct; conduct constituting willful blindness to a clear requirement of this Act; conduct where the person or entity, or any other person or entity, has been the subject of a Public Report of Findings involving substantially similar conduct within 24 months; or conduct by a Deputy Minister or head of a public body involving redaction or record-production delay under the *Access to Information Act*, where the Information and Privacy Commissioner has, in any published ruling within the preceding 36 months, determined that the same public body's practices were excessive or unjustified in substantially similar circumstances.

(5) Disclosure of advice relied upon. Where the defense under this section is raised on the basis of professional advice, the person or entity shall disclose to the Commissioner: (a) the written advice relied upon, including the scope of the mandate given to counsel, the facts provided to counsel, and any conflicting advice received from

any source; and (b) all other written legal opinions obtained at any time that addressed whether the same conduct, or conduct substantially similar to it, would be permissible under this Act, the *Conflicts of Interest Act*, the *Lobbyists Act*, or any other statute within the Commissioner's jurisdiction — regardless of whether those opinions were relied upon or reached contrary conclusions. Disclosure under paragraph (b) is limited to opinions directly addressing the permissibility of the conduct in question; it does not require disclosure of general legal advice unrelated to that conduct. Failure to disclose is grounds for the Commissioner to reject the defense. Where a person or entity obtained multiple opinions on the same question, discarded opinions reaching contrary conclusions, and relied on a permissive minority opinion, the Commissioner may treat that pattern as evidence of willful blindness within the meaning of §26(4)(c). Disclosure under this subsection constitutes a limited waiver of solicitor-client privilege for purposes of the defense only and does not waive privilege for other purposes; the Commissioner shall treat such disclosures as confidential under §25(9) and shall not use them in any other proceeding except as necessary to evaluate or contest the defense.

RANDOM AUDIT PROGRAM

27(1) Purpose. The random audit program reduces the political surface of Commissioner investigation decisions through verifiable randomness; creates universal deterrent effect through non-zero probability of audit; detects patterns not captured by complaint-triggered investigation; and generates population-level data on compliance.

(2) Annual program — tiered structure. The Commissioner shall conduct a random audit program annually with a sample size between 2 and 5 percent of the audit population in each stratum, using a publicly verifiable source of randomness for selection (either a recognized randomness beacon or a transparent algorithm applied to publicly-verifiable data published by a source independent of the Commissioner and the Government of Alberta). Stratified populations include sitting Members and former Members who held office within 48 months; senior officials; individuals in paid senior positions at public agencies; contracts awarded under §15 above the contract threshold within 48 months; and Orders in Council making appointments at or above the threshold in §20 within 48 months. The Commissioner shall publish in advance the methodology, random seed, resulting selection list (subject to privacy protections), and any population exclusions with reasons. Audits proceed through the following tiers:

(a) *Tier 0 — Automated compliance check.* An automated system cross-references available disclosures against relevant registries. Where no discrepancy above the screening threshold prescribed by regulation is identified, the matter closes at Tier 0 with a closure note. No personal or financial records are accessed and no human review occurs at Tier 0.

(b) *Tier 1 — Documentary review.* Where Tier 0 identifies a discrepancy above the screening threshold, a Commissioner officer conducts a structured documentary review. Documentary review is limited to records already in the Commissioner's possession or records the person or entity is required to maintain under this Act.

(c) *Tier 2 — Active investigation.* Commences only where Tier 1 identifies specific indicators of non-compliance, subject to a materiality assessment under §6(g). Tier 2 investigation may involve the collection of additional records, interviews, and use of the Commissioner's investigative powers. The procedural rights under subsection (4) apply in full from commencement of Tier 2.

(3) Scope. A random audit is a structured compliance review, not a forensic investigation. It may include retrospective review within 48 months. Excluded from scope are matters previously resolved by Public Report, Compliance Order, or Certificate; solicitor-client privileged information; third-party personal information under the *Protection of Privacy Act*; Cabinet confidences not excepted under §13; and matters subject to active law enforcement investigation to the extent disclosure would prejudice it. Audits commence through documentary review; deeper investigation triggers only on specific screening indicators identified in published protocols.

(4) Procedural rights. The person or entity selected has the right to be informed of selection, methodology, and scope before commencement. Findings are subject to the same notice, response, escalation, and appeal framework as complaint-triggered investigation, including the good-faith defense and Part 8 review. Random selection alone does not constitute an adverse finding; a selection producing no findings results in a closure note. The good-faith defense applies in full.

(5) Integrity. The Commissioner shall not use random selection as a pretext for targeted investigation; selection methodology must be verifiable as random and stratified, and any deviation from published methodology must be reported to the Legislative Assembly. Closure where random audit identifies no conduct warranting formal response shall be final and shall not support subsequent adverse inference.

(6) Reporting. Aggregate results are reported in the quarterly compliance report and the annual report; individual matters follow the standard escalation framework.

(6A) Clean-file destruction. Where a random audit closes at Tier 0 or Tier 1 without escalation to Tier 2, the Commissioner shall, within 90 days of closure:

(a) destroy all personal and financial records accessed or collected during the audit that are not otherwise required to be retained under this Act;

(b) provide written confirmation of destruction to the person or entity subject to the audit; and

(c) retain only aggregate compliance data and the closure note — the closure note shall not identify the audited person or entity in any public report.

Part 9 — Calibration, Administration, and Commencement

THRESHOLD AND REGULATION-MAKING AUTHORITY

28(1) Initial values and indexation. Where this Act refers to a threshold, floor, ceiling, or other dollar value prescribed by regulation, the Lieutenant Governor in Council shall establish by regulation an initial value consistent with the purposes of this Act within 90 days of the coming into force of the provision to which the threshold applies. Where the Lieutenant Governor in Council has not established an initial value within the 90-day period, the Commissioner, jointly with the Auditor General, may by regulation establish an initial value, subject to subsection (5). Thresholds established under this subsection shall be adjusted annually on April 1 in accordance with the change in the Alberta Consumer Price Index, all items, for the preceding calendar year, as published by Statistics Canada or a successor agency. The Commissioner shall publish adjusted values not later than March 1 of each year and table them in the Legislative Assembly; adjusted values take effect on the April 1 following publication.

(2) Phased introduction. Regulations under subsection (1) may, for the first 24 months after the coming into force of each relevant provision, establish higher thresholds than those intended for long-term operation. The Commissioner, jointly with the Auditor General, may extend such initial thresholds for a further period not exceeding 24 months where their joint report demonstrates that administrative capacity has not yet been established. Any extension shall be reported to the Legislative Assembly with reasons and is subject to subsection (5).

(3) Sector- and transaction-specific thresholds. Where this Act refers to a threshold for a specific sector of provincial procurement, a specific category of transactions (including sole-source contracts, emergency procurement, and discretionary grants), or a specific category of appointment, the Commissioner, jointly with the Auditor General, may by regulation establish such a threshold, supported by evidence of elevated corruption risk. Regulations under this subsection are subject to subsection (5).

(4) Operational matters. The Commissioner, jointly with the Auditor General where relevant, may by regulation make provision for operational matters necessary for the effective administration of this Act, including the junior staff compensation threshold under §25(3); the non-profit revenue cutoff and lobbying duties percentage threshold under §2(v); the small-bidder threshold under §15(1A) and the corresponding small-bidder fee cap; the materiality threshold for Indigenous government ownership or control under §21A(3); centralized compliance services to support small ministries and public agencies, funded through main estimates; protocols for random audit intensity scaling; the form and content of simplified ISC disclosure and the consolidated quarterly appointments bulletin; the method of determining clean compliance history for the purposes of any processing fee credit; tier percentages, floor amounts, collection periods, and accumulation thresholds referenced in §25; and such other operational matters as are necessary. Regulations under this subsection are subject to subsection (5).

(5) Assembly oversight. Regulations under subsections (1) through (4) shall be laid before the Legislative Assembly within 15 sitting days of being made. The Assembly may, by resolution within 30 sitting days of tabling, disallow any such regulation in whole or in part; a regulation disallowed is void from the date of the resolution, and a regulation not disallowed within 30 sitting days is confirmed. The Assembly may at any time, by resolution, amend or disallow any regulation made under this section whether previously confirmed or not; the Commissioner shall give effect to such a resolution within 30 days of its passage. The Commissioner shall report annually to the Assembly on the use of regulation-making authority under this section, with the report referred on tabling to the appropriate standing committee.

(6) Substantive regulations. Regulations under this Act other than those described in subsections (1) through (4), and in particular regulations designating positions under §2(u)(iv) or otherwise affecting private rights not addressed elsewhere, shall be made by the Lieutenant Governor in Council, and shall be laid before the Legislative Assembly within 15 sitting days of being made.

(7) Threshold adequacy. The Commissioner shall include in the annual report under §24(3) an assessment of whether each threshold prescribed by regulation under this section is consistent with the purposes of this Act, with reasons. Where the Commissioner determines, with reasons published, that a threshold prescribed by the Lieutenant Governor in Council would substantially defeat the operative effect of one or more provisions of this Act, the Commissioner may, jointly with the Auditor General, make a regulation establishing an alternative threshold for that provision. A regulation under this subsection is subject to the Assembly oversight provisions in subsection (5). A regulation made under this subsection prevails over a conflicting regulation of the Lieutenant Governor in Council to the extent of the conflict, unless and until disallowed under subsection (5). A disallowance of a regulation made under this subsection shall be recorded in the cooperation register under §24(5), with the operational consequence of the disallowance stated plainly.

COST RECOVERY

29(1) The Registrar of Lobbyists may charge registration and filing fees in amounts established by regulation.

(2) A public body may recover the administrative cost of ISC return processing from the bidding entity in an amount established by regulation and included as a disclosed line item in procurement documentation. Total processing fees charged to any single bidder across all bids in any fiscal year shall not exceed the cap prescribed by regulation. A bidder with the prescribed period or more of clean compliance history is eligible for a processing fee credit as prescribed by regulation.

(3) Fees collected under this section shall be used to offset the administrative cost of this Act and shall be reported in the annual report under §24.

(4) False complaint fee. Where the Commissioner finds, in writing with reasons, that a complaint was frivolous, vexatious, or made in bad faith, including as part of a pattern of such complaints from the same complainant or from complainants acting in concert, the Commissioner may require the complainant to pay a fee to offset the administrative cost of responding to the complaint. The fee shall be calibrated proportionately to the complainant's capacity under §25(3) or §25(4) with necessary modifications; shall not be imposed on complainants making a single complaint that is found unfounded on the merits without a further finding of bad faith; shall be subject to review and appeal under Part 8; and shall be collected by the processes available for administrative penalties. A fee under this subsection shall not be imposed on a journalist acting in the course of journalism, on a whistleblower protected under the *Public Interest Disclosure (Whistleblower Protection) Act*, or on an individual citizen making a first complaint regarding a matter of personal experience.

PERSONAL INFORMATION RETENTION

29A(1) Personal information held under this Act shall be destroyed no later than 10 years from the date of its creation, unless:

(a) retention is required by ongoing proceedings, court order, or statutory obligation;

(b) the information is in a form that is already in the public domain; or

(c) the information has been anonymized or aggregated such that it can no longer be attributed to an identifiable individual.

(2) The Commissioner shall publish an annual retention schedule identifying the categories of personal information held, the applicable retention period for each category, and the destruction method. The retention schedule shall be tabled in the Legislative Assembly.

(3) Where personal information subject to this section is used in a public Report, Certificate, or compliance record, the record itself is subject to the applicable retention period for official records, but underlying personal information not incorporated into the public record shall be destroyed on the schedule applicable to personal information in general.

STATUTORY REVIEW

30(1) Within 5 years of commencement, the Minister responsible for the administration of this Act shall cause a comprehensive review of the operation of the Act to be conducted.

(2) The review shall assess the Act's effectiveness against its stated purposes; administrative cost relative to public interest served; the proportional penalty framework (including equity of application, deterrent effect at the tail, efficacy of decline-tracking, and whether junior staff and unpaid non-profit director protections achieve their intended purposes); the good-faith defense (including frequency of successful invocation and any evidence of abuse); the random audit program; beneficial ownership determinations; disgorgement orders; the privacy impact of the regime (including whether disclosures are proportionate to the accountability purpose served and whether the retention, destruction, and data minimization provisions under §25(9), §25(9B), §27(6A), and §29A are operating as intended); and any unintended consequences, procedural obstacles, or gaps in coverage. The Minister shall consult with the Commissioners, public bodies, and affected members of the public, and shall report findings with any recommendations for amendment to the Legislative Assembly. In addition, the Commissioner shall, within 12 months of commencement, publish a Privacy Impact Assessment in accordance with standards established by the Information and Privacy Commissioner of Alberta, assessing the collection, use, and disclosure of personal information under this Act.

TRANSITIONAL PROVISIONS

31(1) Obligations for proactive disclosure under §13(3) apply only to records executed or issued on or after the commencement of Part 4.

(2) Section 20 (Alberta Public Agencies Governance Act amendments) applies only to appointments made on or after commencement.

(3) Part 6 (Recall Act amendments) applies only to Certificates issued on or after commencement.

(4) During the 180-day phase-in period following Royal Assent, the Commissioners may issue interim guidance and may, on application, grant time-limited extensions to public bodies demonstrating good-faith efforts toward compliance.

(5) Identity platform dependency. Where the identity verification platform designated under §15A(1) does not support the issuance of persistent cross-application identifiers as distinct from session-specific credentials, the Commissioner shall publish a written notice to that effect and the fallback chain under §15A(2) shall apply until the platform capability is confirmed in writing by the Minister responsible for Service Alberta. This subsection ceases to have effect on the publication of that confirmation.

COMMENCEMENT

32(1) The following provisions come into force on Royal Assent: §1 (Short Title); Part 1 (Interpretation); §§17, 18, 19 (Public Interest Disclosure amendments); Part 8 (Common Procedural Provisions); and §26 (Good-Faith Defense).

(2) The following provisions come into force 180 days after Royal Assent: Parts 2, 3, 4, 5, and 7; §23 (Quarterly Compliance Report), with the first report due at the close of the first full fiscal quarter following commencement; §§24, 25, 28, 29 (Resourcing, Proportional Penalty Framework, Threshold and Regulation-Making Authority, Cost Recovery); and §§30, 31 (Statutory Review, Transitional Provisions).

(3) Section 27 (Random Audit Program) comes into force 365 days after Royal Assent, with the first audit conducted in the first full fiscal year following commencement.

(4) Except as otherwise provided in this section, this Act comes into force on Royal Assent.

Appendix B — Bill 2: The Open Books Act

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Companion to Bill 1, the Honest Government Act

Preamble

WHEREAS the largest transfers of value from the Crown to private parties occur not through competitive procurement or open public contracting, but through legislative exceptions, regulatory approvals, concessional fiscal arrangements, and ministerial individual exemptions — decisions made in settings where competitive pressure and public scrutiny are weakest;

WHEREAS public confidence in democratic institutions depends on transparency in the conferral of state advantage, and on visible equity in the application of state enforcement power;

WHEREAS the accountability regime established by the *Honest Government Act* addresses the conduct of Ministers and officials but does not directly address the systemic conferral of privilege through legislation, regulation, and administrative discretion;

WHEREAS a legislature that grants special advantage to a named party, a regulator that approves a major project, a Minister who reduces royalties or forgives debt, and an enforcement body that applies the law differentially across comparable parties are each points at which private benefit flows from public authority, and each should be accompanied by disclosure sufficient to support public accountability;

AND WHEREAS this Act is intended to complement the *Honest Government Act* by extending transparency obligations to decision-making contexts where the executive, the regulatory state, or the legislature itself confers advantage on specific parties;

HIS MAJESTY, by and with the advice and consent of the Legislative Assembly of Alberta, enacts as follows:

Short Title

1. This Act may be cited as the *Open Books Act*.

Part 1 — Interpretation

2. In this Act:

(a) "Commissioner" has the meaning given in the Honest Government Act.

(b) "concessional arrangement" means any arrangement by which the Crown, a public body, or a Crown corporation confers financial advantage on a specific party by reducing, forgiving, deferring, guaranteeing, or otherwise altering an obligation that party would otherwise owe, and includes royalty reductions, tax abatements, tax credits granted on an individual basis, loan guarantees, debt forgiveness, deferred payment arrangements, and other fiscal concessions, but does not include arrangements available to all parties meeting objective criteria established by statute or regulation of general application.

(c) "contribution threshold" means the threshold for contribution disclosure prescribed by regulation under §28 of the Honest Government Act.

(d) "ISC" (individual with significant control) has the meaning given in section 15 of the *Financial Administration Act* as amended by the Honest Government Act.

(e) "ministerial individual exemption" means any decision by a Minister, or by an official acting on the delegated authority of a Minister, to grant a specific person or entity an exemption from, variation of, or relief from a requirement that would otherwise apply under a statute, regulation, or administrative policy of general application.

(f) "named-party legislation" means any Bill introduced in the Legislative Assembly — whether a private Bill, a public Bill, or an amendment to a Bill — that confers benefit:

(i) on one or more specifically named parties;

(ii) on a class of parties so narrowly defined that the class effectively identifies five or fewer specific parties; or

(iii) on a class of parties where, based on publicly available information at the time of introduction, a substantial majority of the benefit is reasonably expected to flow to five or fewer identifiable parties and the estimated financial value of that benefit to those parties exceeds the threshold prescribed by regulation under §28 of the *Honest Government Act*;

but does not include:

(iv) legislation available to all parties meeting objective criteria established by statute or regulation of general application, where the criteria are not designed to identify specific parties;

(v) legislation whose primary stated purpose is the construction, improvement, or operation of public infrastructure, the delivery of a public service, or the implementation of a public benefit program, where any benefit to specific identifiable parties is incidental to and not the primary object of the legislation;

(vi) legislation implementing the terms of a treaty, court order, arbitration award, settlement agreement, or constitutional obligation to which the Crown or the Government of Alberta is a party; or

(vii) transitional or administrative legislation that identifies specific parties solely to modify, repeal, or give effect to an obligation or entitlement those parties already hold under existing law.

(g) "regulatory approval" means a decision by a regulatory body, tribunal, board, commission, agency, or delegated authority under the law of Alberta to approve, license, permit, authorize, or exempt a specific project, transaction, facility, or activity of a specific person or entity.

(h) "regulatory body" means any body, board, commission, tribunal, agency, or other authority established under the law of Alberta with power to grant regulatory approvals, and includes the Alberta Energy Regulator, the Alberta Utilities Commission, the Land and Property Rights Tribunal, and any successor or analogous body.

(i) Other definitions from the Honest Government Act apply to this Act with necessary modifications.

Part 2 — Disclosure Accompanying Named-Party Legislation

3(1) Any named-party legislation introduced in the Legislative Assembly shall be accompanied, at the time of introduction, by a **Beneficiary Disclosure Statement** filed by the sponsoring Minister or Member, in the form prescribed by regulation.

(2) The Beneficiary Disclosure Statement shall identify every person or entity that is expected to benefit directly from the legislation; for each beneficiary entity, every individual with significant control; for each beneficiary (whether natural person or ISC), contributions to any Alberta political party, constituency association, or candidate made within the preceding 48 months where such contributions exceed the contribution threshold; for each beneficiary that is an entity, any discretionary provincial contract, grant, regulatory approval, concessional arrangement, or ministerial individual exemption received within the preceding 48 months; a quantified estimate of the financial value of the benefit conferred by the legislation on each beneficiary, to the extent reasonably ascertainable; and, for public Bills with narrow application, an explanation of why the benefit is conferred through legislation of narrow application rather than through legislation of general application.

(3) The Beneficiary Disclosure Statement shall be tabled at First Reading and published on the Legislative Assembly's website within 5 business days of filing.

(4) No Bill subject to this section shall proceed past Second Reading without a complete Beneficiary Disclosure Statement on the record.

(5) A Member may, at any reading, move that a Beneficiary Disclosure Statement be revised to correct material omissions or inaccuracies. Such a motion is debatable and amendable.

(6) Where the Speaker determines, on application by any Member or on the Speaker's own motion, that a Bill falls within the definition of named-party legislation in §2(f), the Speaker shall direct the sponsor to file a Beneficiary Disclosure Statement. Sponsors may apply to the Speaker for advance ruling on whether a proposed Bill falls within the definition.

(7) Nothing in this section requires disclosure of information subject to solicitor-client privilege, national security, or active law enforcement investigation. Where partial disclosure is provided on such grounds, the sponsor shall state the reasons for partial disclosure and make the complete Statement available to the Speaker in confidence.

Part 3 — Disclosure Accompanying Regulatory Approvals

4(1) Where a regulatory body grants a regulatory approval in respect of a project, transaction, facility, or activity whose estimated value exceeds the threshold prescribed by regulation, the regulatory body shall publish, within 10 business days of the approval, a **Proponent Disclosure Record** in the form prescribed by regulation.

(2) The Proponent Disclosure Record shall identify the proponent entity; every individual with significant control of the proponent entity; for each ISC, contributions to any Alberta political party, constituency association, or candidate made within the preceding 48 months where such contributions exceed the contribution threshold; for the proponent entity, any discretionary provincial contract, grant, regulatory

approval, concessional arrangement, or ministerial individual exemption received within the preceding 48 months; any entity under common control or common beneficial ownership with the proponent, as determined under §25(10) of the Honest Government Act, together with the same disclosure for such entities; and the estimated financial value of the regulatory approval to the proponent.

(3) The Proponent Disclosure Record shall be published on the regulatory body's website and shall remain accessible for the duration of the approval's effect and for not less than 7 years thereafter.

(4) Where the proponent is a publicly-traded entity, ISC disclosure may be satisfied by reference to the proponent's disclosure under applicable securities legislation, provided the securities disclosure meets or exceeds the requirements of this section.

(5) This section does not affect the substantive criteria governing regulatory approvals and does not empower the Commissioner to review the merits of an approval. The Commissioner's jurisdiction under this section is limited to the completeness, accuracy, and timeliness of the Proponent Disclosure Record.

(6) Where the regulatory body determines that full disclosure under this section would reveal information subject to solicitor-client privilege, national security, active law enforcement investigation, or legitimate commercial confidence not otherwise subject to public disclosure under applicable law, the body may publish a partial Record with reasons, and shall deliver the complete Record to the Speaker in confidence.

Part 4 — Disclosure Accompanying Crown Concessional Arrangements

5(1) Where the Crown, a public body, or a Crown corporation enters into a concessional arrangement with a specific party whose estimated value to the party exceeds the threshold prescribed by regulation, the authorizing Minister shall publish, within 30 days of execution, a **Concessional Arrangement Disclosure** in the form prescribed by regulation.

(2) The Concessional Arrangement Disclosure shall identify the recipient party; every individual with significant control of a recipient entity; for each ISC, contributions within the preceding 48 months exceeding the contribution threshold; for the recipient, any other discretionary provincial contract, grant, regulatory approval, concessional arrangement, or ministerial individual exemption received within the preceding 48 months; the estimated financial value of the concession to the recipient, including assumptions and methodology; the reasons for the concession, including why the recipient was selected, why the concession was granted on the terms specified, and what public interest the concession serves; and any other concessional arrangement under this Part entered into by the same Minister within the preceding 24 months.

(3) The Concessional Arrangement Disclosure shall be tabled in the Legislative Assembly forthwith, or delivered to the Speaker for tabling on the first sitting day thereafter, and published on a government website.

(4) Concessional arrangements meeting the definition in §2(b) but available to all parties meeting objective statutory criteria of general application are not subject to this section.

(5) Where the authorizing Minister determines that full disclosure would reveal information subject to solicitor-client privilege, national security, active law enforcement investigation, or commercially sensitive information the disclosure of which would cause material harm to the recipient unrelated to the matters this Act is designed to illuminate, the Minister may publish a partial Disclosure with reasons, and shall deliver the complete Disclosure to the Speaker in confidence.

Part 5 — Disclosure of Ministerial Individual Exemptions

6(1) Every ministerial individual exemption whose estimated value to the recipient exceeds the threshold prescribed by regulation shall be accompanied by an **Individual Exemption Disclosure** in the form prescribed by regulation.

(2) The Individual Exemption Disclosure shall identify the recipient; every individual with significant control where the recipient is an entity; for each ISC, contributions within the preceding 48 months exceeding the contribution threshold; the statute or regulation from which exemption is granted and the specific requirement exempted; the reasons for granting the exemption, including the public interest served; the estimated value of the exemption to the recipient; and aggregate data on prior ministerial individual exemptions granted by the same Minister within the preceding 24 months under the same statutory authority, including the total number, total estimated value, and any patterns in recipient characteristics.

(3) The Individual Exemption Disclosure shall be published on a government website within 30 days of the exemption and shall remain accessible for the duration of the exemption and for not less than 7 years thereafter.

(4) Ministerial individual exemptions granted under emergency authority in circumstances requiring urgent action may be published within 30 days of the expiration of the emergency circumstances, with the Minister required to table a report to the Legislative Assembly within 10 sitting days of such publication explaining the circumstances.

Part 6 — Enforcement Equity Reporting

7(1) The Auditor General, in collaboration with the Ethics Commissioner, shall prepare and publish annually an **Enforcement Equity Report** examining the enforcement activity of provincial regulatory bodies, administrative tribunals, and enforcement agencies.

(2) The Enforcement Equity Report shall, for each regulatory body, tribunal, or enforcement agency examined, identify patterns in enforcement action across comparably-situated parties, including whether similarly-situated parties have been subject to similar enforcement outcomes; whether enforcement intensity correlates with any observable characteristic of parties including industry sector, size, political affiliation of ISCs or senior officers, recent contributions to Alberta political parties, or recent receipt of discretionary state benefit; any statistically significant disparities in enforcement outcomes that cannot be adequately explained by differences in the underlying conduct; and any patterns warranting further investigation under the Honest Government Act or referral to the appropriate law enforcement authority.

(3) The Auditor General shall have access to the enforcement records and decision data of regulatory bodies, tribunals, and enforcement agencies sufficient to prepare the Report, subject to solicitor-client privilege, active law enforcement investigation constraints, and protection of third-party personal information under the *Protection of Privacy Act*.

(4) The Report shall be tabled in the Legislative Assembly and published on the Auditor General's website. Patterns identified as warranting further investigation may be referred to the Ethics Commissioner for proceedings under the Honest Government Act.

(5) Regulatory bodies, tribunals, and enforcement agencies shall provide the Auditor General with such information and cooperation as is reasonably necessary to prepare the Report. A failure to cooperate is conduct within the jurisdiction of the Ethics Commissioner under the Honest Government Act.

(6) The Report is a statistical and analytical document. Findings of pattern do not constitute findings against specific individuals or entities; such findings arise, if at all, through proceedings under the Honest Government Act or through referral to other competent authority.

(7) Phased implementation. The first Enforcement Equity Report shall examine no fewer than three regulatory bodies, tribunals, or enforcement agencies, selected by the Auditor General based on elevated risk, transaction volume, or public-interest significance. Subsequent annual Reports shall expand coverage, achieving comprehensive examination of all provincial regulatory bodies, tribunals, and enforcement agencies within 5 years of the first Report. The Auditor General shall publish the selection methodology and the intended phase-in schedule at the time of the first Report.

(8) Communications log. Each Enforcement Equity Report shall include a complete log of all communications received by the Auditor General from any Minister, Deputy Minister, senior official, or entity of the Crown regarding the scope, methodology, selection of bodies examined, or findings of the Report, identifying the date, sender, and substance of each communication. The log shall be complete regardless of whether communications were formal or informal, written or oral. The Auditor General shall characterize each logged communication as informational, advisory, or directive, with reasons, and that characterization shall be included in the log. The obligation to log applies to communications received at any time during the preparation of the Report, including in the period following delivery of draft findings. A nil return — confirming no such communications were received — is required where no communications occurred.

Part 7 — Enforcement and Common Provisions

8(1) Cross-reference to Honest Government Act. The following provisions of the Honest Government Act apply to conduct within the jurisdiction of the Commissioner under this Act, with necessary modifications, as if enacted in this Act:

(a) the escalation framework in Part 3 (Public Report of Findings, Compliance Order, Certificate of Malfeasance); (b) the proportional penalty framework in §25, including the decline-tracking mechanism in §25(6) and the beneficial ownership determination authority in §25(10); (c) the good-faith defense in §26; (d) the review and appeal provisions in Part 8; (e) the quarterly compliance report obligation in §23, extended to include matters arising under this Act; (f) the resourcing and budget visibility provisions in §24; (g) the threshold and regulation-making authority in §28; (h) the cost recovery provisions in §29.

(2) Coordination with other statutes. Nothing in this Act limits the application of the *Access to Information Act*, the *Conflicts of Interest Act*, the *Financial Administration Act*, or any other statute. Disclosure obligations under this Act are in addition to, and not in lieu of, disclosure obligations under any other statute.

(3) Complaints and investigation. A person may file a complaint with the Commissioner alleging non-compliance with this Act. The Commissioner may investigate on complaint, on audit under §27 of the Honest Government Act (Random Audit Program, extended by this subsection to include obligations under this Act), or on the Commissioner's own initiative on reasonable grounds.

(4) Institutional deference. This Act is intended to complement and not replace the work of the courts, criminal justice authorities, regulatory bodies, the Auditor General, and the Legislative Assembly. Nothing in this Act empowers the Commissioner to substitute administrative judgment for the substantive decisions of regulatory bodies, the Legislative Assembly, or Ministers acting within their lawful authority. The Commissioner's jurisdiction under this Act is limited to the transparency of those decisions, not their substance.

8A. Annual named-party compliance assessment. The Commissioner shall include in the annual report under §24(3) of the *Honest Government Act* an assessment of compliance with Part 2 of this Act, identifying: (a) every Bill introduced in the Legislative Assembly in the preceding year for which a Beneficiary Disclosure Statement was filed, with a note on whether the Statement was materially complete; (b) every Bill the Commissioner assesses as meeting the definition of named-party legislation under §2(f) for which no Beneficiary Disclosure Statement was filed, with the Commissioner's reasons for that assessment; and (c) any pattern of non-filing across the preceding three years. The assessment under paragraph (b) is the Commissioner's administrative opinion regarding the application of §2(f) to the named Bill; it does not constitute a ruling on a matter of parliamentary procedure and is without prejudice to any determination made by the Speaker. The Commissioner's assessment shall be tabled in the Legislative Assembly and published on the Commissioner's website.

8B. Common provisions for published disclosures. The following apply to every Beneficiary Disclosure Statement, Proponent Disclosure Record, Concessional Arrangement Disclosure, and Individual Exemption Disclosure (each a "published disclosure" for the purposes of this section):

(1) Enforcement. Failure to publish a required disclosure, or material inaccuracy in a published disclosure, is conduct within the jurisdiction of the Ethics Commissioner under the *Honest Government Act* and may give rise to proceedings under Parts 3 and 8 of that Act.

(2) Right of correction. Any person whose personal information is included in a published disclosure may, within 60 days of publication, apply to the Commissioner to correct a material inaccuracy. The Commissioner shall determine the application within 30 days and, if warranted, direct that a correction notice be published alongside the original disclosure. The original disclosure shall not be removed; the correction notice shall be prominently linked and shall identify the nature of the inaccuracy and the corrected information.

Part 8 — Statutory Review and Commencement

STATUTORY REVIEW

9. Within 5 years of commencement, the Minister responsible for the administration of this Act shall cause a comprehensive review of the operation of the Act to be conducted jointly with the review required under §30 of the Honest Government Act. The review shall assess the effectiveness of Parts 2 through 6 in illuminating systemic advantage conferred through legislation, regulation, concessional arrangement, and enforcement disparity; the administrative cost of the Act relative to the public interest served; the adequacy of the Enforcement Equity Report as a tool for identifying patterns warranting further investigation; any unintended

consequences or gaps; and consult with the Commissioners, the Auditor General, public bodies, regulatory bodies, and affected members of the public, reporting findings with any recommendations for amendment to the Legislative Assembly.

COMMENCEMENT

10(1) The following provisions come into force 180 days after Royal Assent: §1 (Short Title); Part 1 (Interpretation); Parts 2, 3, 4, and 5 (Named-Party Legislation, Regulatory Approvals, Concessional Arrangements, and Ministerial Individual Exemptions); and Part 7 (Enforcement and Common Provisions).

(2) Part 6 (Enforcement Equity Reporting) comes into force 365 days after Royal Assent. The first Enforcement Equity Report shall be published no later than 18 months after Royal Assent, covering the enforcement activity of the preceding fiscal year.

(3) During the 180-day phase-in period, the Commissioner and the Auditor General may issue interim guidance. The Commissioner may, on application, grant time-limited extensions to regulatory bodies and public bodies demonstrating good-faith efforts toward compliance.

(4) Obligations under Parts 2 through 5 apply only to named-party legislation introduced, regulatory approvals granted, concessional arrangements entered into, and ministerial individual exemptions made on or after the commencement of those respective Parts.

(5) Except as otherwise provided, this Act comes into force on Royal Assent.

Appendix C — costing.md: Cost analysis, FTE breakdown, and scenario detail

Source companion document. The aggregate $5M figure is a drafter's estimate, not Treasury Board analysis.

Companion document to the drafted legislation.

Sources and confidence

The figures in this document fall into three categories.

Empirically verified are the scandal cost figures (DynaLIFE, Turkish acetaminophen, Canadian Energy Centre) — drawn from CBC, Globe and Mail, Auditor General reports, and government documents, with sources retrievable through public reporting in 2023 to 2025.

Drafter's estimate is the $5 million annual steady-state cost figure. The breakdown by FTE, technology, and operational category is the drafter's best assessment based on per-FTE loaded cost estimates from Alberta government salary scales, comparison to peer Canadian oversight offices, and projection of caseload requirements. It has not been validated by Treasury Board officials, fiscal analysts, or operational experts in any of the affected offices. A serious tabling of these bills would require independent fiscal validation; the figure here is a starting point for that conversation, not its conclusion.

Counterfactual estimates are the scenario savings figures for what the regime might have changed in the three example cases. These are inherently speculative — they describe what the drafter believes a working regime would have done at decision points where political and operational pressure was running in another direction. The confidence labels (high, moderate) reflect the drafter's judgment about how directly the regime's structural provisions match the failure mode in each case. Reasonable analysts could disagree.

Peer jurisdiction budget figures are drawn from publicly available annual reports and federal Treasury Board records. Where a specific dollar figure is given, it is the most recent fiscal year for which information was readily available; budget figures change annually and the comparison is approximate rather than precise.

Summary

The combined regime under Bill 1 (Honest Government Act) and Bill 2 (Open Books Act) is estimated by the drafter to cost roughly **$5 million per year at steady state**, achieved by year five of operation. First-year setup costs run higher due to technology build and ramp-up staffing — approximately $3 million in operational spend plus $1.7 million in one-time capital. The capital figure includes the privacy architecture additions in v1.15: the blind hash cross-reference under §15(2A), MyAlberta Digital Identity integration under §15A, the cross-registry similarity matching engine, and the Tier 0 automated compliance check infrastructure under §27(2). The steady-state operating estimate absorbs these additions through partially offsetting reductions in routine audit labour, given that Tier 0 audits closing without discrepancy require no human review.

Against this, scenario analysis of three recent Alberta cases — DynaLIFE, Turkish Tylenol, and the Canadian Energy Centre — suggests that, under conservative counterfactual assumptions, the regime might have changed outcomes by amounts that would substantially exceed its operating cost. The "might have" matters: the analysis describes structural conditions the regime creates, not guaranteed outcomes.

The $5 million figure is in the same range as comparable Canadian oversight bodies on a population-adjusted basis, though somewhat higher per-capita than peer provincial regimes — a difference attributable to the proposed regime's broader scope.

Cost breakdown

Personnel (steady state)

The regime distributes new staffing across four independent offices.

Ethics Commissioner office: 8 to 10 new FTE. Investigative capacity for the escalation framework (Public Report, Compliance Order, Certificate of Malfeasance), triage and intake, procurement review when ISC cross-reference hits trigger referral, beneficial ownership determinations under §25(10), random audit program operation, decline register maintenance, quarterly compliance reporting, and good-faith defense review. Estimated annual cost at a fully-loaded rate of $150,000 to $180,000 per FTE: $1.2 to $1.8 million.

Auditor General office: 2 to 3 new FTE. Dedicated to the Enforcement Equity Report under Bill 2 §7. Statistical and analytical work examining enforcement patterns across regulatory bodies, tribunals, and enforcement agencies. Phase-in structure means lower year-one cost. Steady-state: $350,000 to $540,000 annual.

Information and Privacy Commissioner office: 1 to 2 new FTE. Adjudication of the penalty framework added under Bill 1 §14 for Deputy Ministers and heads of public bodies who fail to produce records. Duty-to-document standards under §14A(2) require regulation-making and enforcement

guidance. Annual: $180,000 to $360,000.

Chief Electoral Officer office: 0.5 to 1 new FTE. Handling recall petition processing when the Legislative Assembly refers a Certificate of Malfeasance for recall under §16 amendments to the Recall Act. Estimated utilization is low but continuous. Annual: $75,000 to $180,000.

Total personnel at steady state: $1.8 to $2.9 million.

Technology and infrastructure

ISC registry and cross-reference system (capital build, year one): $700,000 to $1.3 million. Infrastructure to receive ISC returns from bidders, cross-reference against the EFCDA contributions registry, flag matches, and route to Commissioner review. Includes the simplified small-bidder track interface, the blind hash architecture under §15(2A) (which keeps contribution history invisible until a confirmed match), MyAlberta Digital Identity integration under §15A(1), and the cross-registry similarity matching engine under §15A(4) for identity consistency. The MADI integration and similarity matching add roughly $200,000 to $300,000 to the build relative to a basic ISC registry; this is the cost of designing the system to avoid unnecessary collection of personal information.

ISC system operational cost: $180,000 to $350,000 annually for hosting, security, updates, user support, and operation of the name-consistency notice workflow under §15A(4).

Randomness beacon integration (capital): $50,000 one-time. Using the NIST beacon or equivalent requires integration code and verification workflow. Low ongoing cost.

Tiered random audit operations: $80,000 to $180,000 annually for stratified sampling infrastructure, audit workflow management, and published methodology. The tiered structure under §27(2) — Tier 0 fully automated, Tier 1 documentary, Tier 2 investigation on indicators only — concentrates analyst time on cases that surface a discrepancy and reduces routine audit labour relative to a uniformly manual program. Year-one capital for the Tier 0 automated cross-reference system: $150,000 to $250,000.

Records management and destruction workflow for Commissioner office: $180,000 to $350,000 annually. Investigation files, privileged communications, confidential disclosures under §26(5) good-faith defense waiver, sensitive beneficial ownership determinations, and the destruction workflows required by §25(9B) (financial information destroyed within 90 days of penalty resolution), §27(6A) (clean-file destruction within 90 days of audit close at Tier 0 or Tier 1), and §29A (10-year retention maximum with annual published schedule). Includes attestation and confirmation-of-destruction obligations to data subjects.

Regulatory approval disclosure platform (Bill 2 Part 3): $200,000 to $400,000 capital. Standardized publication format for Proponent Disclosure Records. Shared across regulatory bodies.

Concessional arrangement and ministerial exemption disclosure (Bill 2 Parts 4 and 5): $100,000 to $200,000 capital. Publication infrastructure.

Total technology:

- First-year capital: $1.2 to $2 million (includes MADI integration, blind hash architecture, similarity matching engine, and Tier 0 automated compliance check)
- Ongoing annual: $450,000 to $800,000

Court confirmation and legal support

Commissioner legal support: $200,000 to $400,000 annually. Assisting with court confirmation proceedings for large penalties under §22(5)(a) (non-Member respondents), defending beneficial ownership determinations, responding to judicial review applications.

Dedicated Court of King's Bench time (cost-shared with respondents): approximately $100,000 to $200,000 in provincial overhead. The Chief Justice may designate a rotation or panel under §22(5). Actual court cost is low but real.

Total legal: $300,000 to $600,000 annually.

Training, guidance, and public materials

Ministerial and senior staff training: $150,000 to $250,000 annually. Required given the substantive new obligations on Ministers, Deputy Ministers, and designated office holders. Contributes to good-faith defense availability by establishing what reasonable conduct looks like.

Public-facing guidance: $100,000 to $200,000 annually. Plain-language materials for bidders, whistleblowers, public servants, and journalists understanding their rights and obligations.

Regulatory drafting support: $100,000 annually. Joint Commissioner and Auditor General work on threshold regulations and operational details under §28(3) and §28(4).

Total training/guidance: $350,000 to $550,000 annually.

Phase-in costs

Year 1: Royal Assent, 180-day commencement. Partial-year operations (about $1.5 million) plus one-time capital ($1.7 million, reflecting the v1.15 privacy architecture additions). Total year-one spend: approximately $3.2 million.

Year 2: Full operation of ATIA, COIA, and FAA amendments. Personnel ramp-up continues. Approximately $3.5 to $4 million.

Year 3: Random audit program begins (§27 commences 365 days after Royal Assent, first audit in first full fiscal year following). Approximately $4 to $4.5 million.

Year 4: Enforcement Equity Report begins covering three regulatory bodies per the phase-in under Bill 2 §7(7). Approximately $4.5 million.

Year 5 and beyond: Comprehensive coverage of regulatory bodies phases in. Steady state of $5 million reached.

Fee recovery

§29 Cost Recovery provisions offset some operational cost. Registrar of Lobbyists registration fees, ISC return processing fees (capped at $500 per bidder per year under §29(2), with clean-compliance credit), and false complaint fees (§29(4)) together likely recover $300,000 to $600,000 annually at steady state — reducing net public cost to approximately $4.5 million.

Scenario analysis

For each of three recent Alberta cases, the analysis identifies which provisions of the bills would have engaged, at what stage, and with what likely outcome. These are counterfactuals, not guarantees — the bills do not automatically prevent every bad decision. They create the conditions under which such decisions face scrutiny at the point of decision rather than years later through FOIP requests or buyback payments.

DynaLIFE lab services

Costs to taxpayers: $31.5 million in cash plus approximately $66 million in assumed liabilities for the 2023 buyback. The Auditor General's November 2025 report estimated total taxpayer cost at approximately $109 million when sunk costs from the broader privatization effort are included. The AG report identified destruction of evidence and obstruction of his investigation by AHS and the province.

Provisions engaged under the proposed regime:

- Bill 1 §15 (ISC disclosure for contracts above threshold): DynaLIFE would file ISC returns. Cross-reference against EFCDA contributions registry under §15(2) would flag any ISC political contributions above the match threshold within 48 months of the contract award.
- Bill 2 Part 4 (concessional arrangements): Any guarantees, exit clauses, or buyback commitments constituting a concessional arrangement to DynaLIFE would require a Concessional Arrangement Disclosure within 30 days of execution, including reasons.
- Bill 1 §14A (duty to document): The AG explicitly identified destruction of evidence and minimal records of key decision-making. §14A would have required documentation of the procurement decisions and the basis for them.

Counterfactual: The bills do not prevent the lab privatization. They create pressure at the contract-signing stage and at each subsequent decision point. Public disclosure of decision rationale at the time of decision creates political cost for any decision that lacks substantive justification.

The provisions clearly engage at relevant decision points. Whether transparency at those points would have changed political behaviour is a counterfactual this analysis declines to put a number on.

Turkish children's Tylenol

Costs to taxpayers: Approximately $80 million for the Atabay procurement deal — $70 million for product, $10 million for shipping, waste disposal, and administration. Health Canada ultimately approved only 1.5 million bottles (approximately $21 million worth) for distribution. Most of the supply remains in storage. The province has discussed sending unused stock to Ukraine.

Provisions engaged under the proposed regime:

- Bill 2 Part 5 (ministerial individual exemptions): The procurement was authorized by ministerial order on December 1, 2022, bypassing normal procurement processes. Ministerial Individual Exemption Disclosure required within 30 days (or 30 days after emergency ends), including reasons, estimated value, and pattern of exemptions over the preceding 24 months.
- Bill 1 §27 (random audit program): Non-zero probability of selection for audit given high dollar value and sole-source nature.
- Bill 1 §14A (duty to document): Procurement decisions, including emergency decisions, must be documented. The factual basis for the decision, including usage assumptions and concentration specifications, becomes a required record.
- Bill 1 §15 (ISC disclosure): MHCare Medical, the Canadian intermediary that brokered the deal, would file ISC returns subject to §15(2) cross-reference.

Counterfactual: The emergency nature of the purchase is real and the bills accommodate emergency action. What changes is that the decision rationale becomes public within 30 days of the emergency ending, with the Minister responsible answerable for the specific decisions made — minimum order of 5 million bottles, $14 per bottle premium pricing, lower-concentration formulation requiring additional pharmacist education. Documented questions become answerable at the time the decision is made rather than years later.

The provisions clearly engage. Whether disclosure pressure under emergency conditions would have changed the procurement structure is a counterfactual this analysis declines to put a number on.

Canadian Energy Centre

Costs to taxpayers: Initial annual budget of $30 million when launched in late 2019. Reduced to roughly $12 million from 2020 onward in response to COVID-related budget cuts. The agency operated through June 2024 when it was wound down and its functions moved to the Intergovernmental Relations Ministry. Lifetime taxpayer cost is estimated at $50 to $100 million depending on what is counted, including a $22 million media campaign contract in 2022-23. Premier Kenney's press secretary explicitly stated at the time of incorporation that the private corporation structure was chosen to keep the agency outside Freedom of Information reach.

Provisions engaged under the proposed regime:

- Bill 1 §13 (Cabinet confidences amendment): Factual, statistical, and operational data provided to Cabinet cannot be withheld under Cabinet confidence. Treasury Board decision summaries recording final decisions must be proactively disclosed within 180 days. Ministerial mandate letters must be disclosed at the end of the parliamentary session or within 18 months.
- Bill 2 Part 4 (concessional arrangements): Initial funding and any ongoing concessional funding to the CEC would require Concessional Arrangement Disclosure with reasons.
- Bill 2 Part 6 (enforcement equity): Operations of the CEC scrutinized under the Auditor General's enforcement equity framework.

Counterfactual: This is the case where the proposed regime most directly addresses the failure mode. The private corporation structure designed to avoid FOIP would no longer work, because §13 pierces the Cabinet-confidence and private-corporation veils for factual and operational data. Public access to the CEC's activities, budget, and communications outputs becomes legally enforceable. Whether public scrutiny would have constrained budget growth or changed the agency's mandate is harder to predict — public scrutiny doesn't always produce restraint.

The §13 amendment is a direct structural response to the precise mechanism that made the CEC's FOIP-avoidance possible. Whether public scrutiny would have constrained budget growth, changed the agency's mandate, or prevented its creation in that form is a counterfactual this analysis declines to put a number on.

Aggregate scenario analysis

Three example cases, showing the scale of what the regime is designed to illuminate:

CASE	ESTIMATED COST TO TAXPAYERS	ANNUAL COST OF PROPOSED REGIME
DynaLIFE	up to $109M (AG estimate)	~$5M
Turkish Tylenol	$80M	~$5M
Canadian Energy Centre (lifetime)	estimated $50–100M	~$5M

Each of these single events cost taxpayers 10 to 20 times the proposed regime's annual operating cost. Whether the regime would have prevented any of them is a counterfactual question this analysis declines to answer with false precision. The honest claim is structural: a regime of this kind creates conditions under which decisions of this size face scrutiny at the point they are made, rather than years later through buybacks, FOIP requests, or leaked documents.

Five-year regime cost: approximately $25 million cumulative (year-one ramp-up plus four years of steady state). Whether that cost is justified depends on how one values the structural conditions the regime creates — a question for the reader, not for drafter assertion.

Comparison to peer jurisdictions

The figures below are approximate, drawn from publicly available annual reports and Treasury Board records. They should be read as orders of magnitude rather than precise comparisons; budgets vary year over year and the offices have different mandates that make direct comparison imperfect.

Ontario Integrity Commissioner: roughly $5 to $7 million annual operating budget for an office covering a population of approximately 15 million. The Ontario office has seven distinct mandates including lobbyist registration, member and public servant ethics, expense review, and whistleblower protection — a broader scope than most other provincial offices.

Office of the Commissioner of Lobbying (federal): in the range of $4 to $6 million annual budget for a national population of approximately 40 million. Mandate is narrower than the Alberta proposal — limited to lobbying registration and code of conduct.

Conflict of Interest and Ethics Commissioner (federal): in the range of $7 to $9 million annual. Covers federal office holder ethics. Has been operating with a vacancy in the principal commissioner role for extended periods, which complicates comparison.

Public Sector Integrity Commissioner (federal): approximately $5 to $6 million annual budget. Currently operating in declared crisis with 161 files on hold and a request to roughly double the budget pending. The office has not had a budget increase since its 2007 creation despite significant caseload growth.

BC Office of the Conflict of Interest Commissioner: approximately $2 to $3 million annual for a population of approximately 5 million. Narrower scope than the Alberta proposal.

Saskatchewan Conflict of Interest Commissioner: approximately $400,000 to $600,000 annual for a population of approximately 1.2 million. Very narrow mandate.

On a rough per-capita basis, Ontario's per-person oversight spending appears to be in the range of $0.30 to $0.45. Federal ethics and lobbying oversight combined is roughly $0.30 to $0.40 per person. The Alberta proposal at $5 million for 4.7 million people works out to approximately $1.00 to $1.10 per person — somewhat higher than peer per-capita rates.

The higher per-capita figure reflects the regime's substantive expansion beyond existing Canadian oversight practice: proportional penalty framework, random audit program with verifiable randomness, beneficial ownership determination, enforcement equity reporting, named-party

legislation disclosure, concessional arrangement disclosure, and duty to document. Each is an addition to traditional ethics oversight scope. Whether the broader scope justifies the higher per-capita cost is a question external review should address; the case is not closed by drafter assertion.

Risk factors and uncertainties

Caseload volume. The Commissioner office caseload is estimate-based. Actual complaints, referrals, and audit findings could exceed projections, requiring additional resourcing. §24 (Resourcing and Budget Visibility) requires annual reports on whether caseload exceeds capacity, with operational consequences named.

Technology build cost. The ISC registry and cross-reference system is the largest capital item. Existing Alberta government IT procurement patterns suggest $500,000 to $1 million is achievable; overruns are possible if scope expands during build.

Court confirmation volume. The number of penalties exceeding the court-confirmation threshold is unknown. §22(5) allows the Chief Justice to designate a panel to manage volume; actual demand will become clear after the first year of operation.

Phase-in extensions. §28(2) allows extension of phased-in higher thresholds for up to 24 months beyond the initial 24 months if administrative capacity has not been established. Extension triggers additional Legislative Assembly reporting. If extensions become routine, the regime is operationally undercapitalized and cost figures should be revised upward.

Regulation-making load. The Commissioner and Auditor General jointly make most operational regulations under §28(3) and §28(4). Regulatory-drafting capacity requirements are estimated at $100,000 annual; could run higher in early years.

Conclusion

The $5 million annual steady-state estimate is the drafter's midpoint of a $3 to $6 million operational range. The scenario analysis describes which provisions would have engaged in each case and at what decision points — it does not estimate what the regime would have saved. Each of the three example cases cost taxpayers 10 to 20 times the annual operating cost of the proposed regime. Whether that scale comparison justifies the cost is for the reader to judge.

Comparison to peer Canadian jurisdictions places the cost scale in the same range as comparable oversight bodies, with a higher per-capita rate explained by the regime's substantive expansion beyond traditional Canadian oversight practice.

The cost argument most likely to be made against the regime is that it constitutes "new bureaucracy." A more honest framing is that it constitutes a deliberate insurance premium — a predictable annual cost set against unpredictable scandal exposure. The deductible math is suggestive but not dispositive. A reader genuinely opposed to the regime could reasonably reject the counterfactual savings estimates while accepting the operational cost figures, and conclude the cost-benefit case is unproven.

A serious tabling of these bills would benefit from independent fiscal validation by the Treasury Board Secretariat or comparable analysis. The figures here are the drafter's best work; they are a starting point for that conversation rather than its conclusion.

Appendix D — moral-defence.md: Philosophical case and objections

Source companion document.

Companion document to the drafted legislation.

What this document is for

Every objection to accountability legislation has a version that deserves a serious answer. This document sets out those objections and answers them.

It is not a political defence of any particular government or opposition. The regime is designed to bind whoever holds power, and its moral case doesn't depend on who's currently in office. It is also not a comprehensive philosophical treatise. It's a working document for anyone who has to defend the design against skepticism — in committee testimony, media interviews, caucus meetings, or private conversations with thoughtful critics.

A note on philosophical sources

The arguments here draw on philosophical traditions including Burke's account of political office as trust, Mill's defence of publicity as a condition of legitimate authority, Rawlsian fairness reasoning, and elements of utilitarian and retributive theories of just punishment. References to these traditions are general characterizations rather than specific quotations; readers wanting to engage the source material should go to it directly rather than treating this document's framing as authoritative.

The moral case here is one drafter's attempt to articulate why a regime of this kind is defensible across multiple ways of thinking about justice and political legitimacy. It does not claim philosophical consensus on every point; it claims that the design has serious defenders within several traditions and that the most-likely objections have answers worth taking seriously.

The central claim

Accountability is not opposed to effective government. It is a condition of legitimate government.

Political power in a democracy is legitimate when the people affected by it can know what it's doing, why, and in whose interests. Every government mechanism the Crown exercises — procurement, appointment, regulation, taxation, concession — is an exercise of delegated power. Delegation requires accountability. Without the ability to know what decisions are being made and why, the public cannot perform the function on which consent of the governed depends.

This is not a radical or modern idea. It runs through Burke's reflections on the trust-based nature of political office, through J.S. Mill's defence of publicity as a check on power, and through every common-law tradition that treats public officials as fiduciaries for the public interest. What's new is the scale and specificity of delegation in the modern administrative state, and the corresponding need for accountability mechanisms that reach the actual points where power is exercised.

The Honest Government Act and the Open Books Act are mechanisms, not principles. The principle is ancient. The mechanisms are calibrated for Alberta in 2026.

"This grows the state's surveillance capacity"

The concern is not unreasonable, and it's common across the political spectrum. Accountability regimes routinely expand the state's capacity to watch people, and expansion without limits can be turned against dissidents, unpopular minorities, or political opponents.

The response has to grapple with what the regime actually watches.

The regime watches public officials and those who seek public money. It does not watch private citizens, private transactions that do not touch the Crown, or political opinions. Ministers, senior officials, Members of the Legislative Assembly, bidders for public contracts, recipients of regulatory approvals, beneficiaries of concessional arrangements — these are the subjects of the regime, and they are subjects because they exercise public power or seek public benefit.

Everyone else is explicitly protected. Citizen advocates emailing their MLA are explicitly carved out of the lobbying regime under §3. Family members of ISCs who have not themselves donated are not captured by §15(2). Small bidders get a simplified track under §15(1A). Good-faith actors are protected by §26. Indigenous governments' internal governance is carved out entirely under §21A.

The regime is narrow by design. It watches the exercise of public power, not the exercise of private life.

A corollary concern is that the regime's machinery — once built — could be turned by a hostile government against opponents. §27 (Random Audit Program using a public randomness beacon), §22 (Review and Appeal with court confirmation for large penalties), and §28(5) (Assembly disallowance of regulations) are the structural protections against this. The Commissioner cannot select audit targets by discretion. Large penalties require King's Bench confirmation. Regulations made under the Act come before the Legislative Assembly for disallowance. These are not procedural flourishes; they are the distributional safeguards that prevent the machinery from being captured.

"It will chill legitimate political and economic activity"

This concern also deserves a serious answer, because the chilling effect argument is real for any new regulatory regime.

The test is whether the regime chills conduct that ought to happen or conduct that ought not to.

Lobbying reform chills the 50-hour loophole — an arrangement by which paid lobbyists have avoided disclosure by keeping billable time under a threshold. The regime brings this into daylight. It does not chill citizen advocacy, volunteer community organizing, or public interest communication. Those are explicitly protected under §3.

Post-employment cooling-off chills the specific arrangement where a former Minister takes a board seat at a firm that won a discretionary contract during the Minister's tenure. It does not chill former Ministers from working in industries unrelated to their decision-making authority. It does not chill public servants from moving into private sector roles that don't raise conflict questions. The carve-outs under §10(4) — arms-length public entities including AHS, universities, and municipalities — are explicit about this.

ISC disclosure chills the arrangement where a bidder's controlling individual quietly donated to the governing party before the contract award. It does not chill bidding on public contracts; the Act is explicit that procedural disclosure is not exclusion. Small bidders have a simplified track. The processing fee is capped at $500 per year. The cross-reference check is automated.

The honest chilling effect argument is: "the regime will chill conduct that shouldn't be chilled." That has to be demonstrated against specific conduct, not asserted as a general concern. On the provisions as drafted, the chilled conduct is conduct that the provincial interest has reason to chill.

"This treats normal politics as corruption"

One version of this objection runs: political fundraising is lawful, political appointments are lawful, advocacy through lobbying is lawful, and the regime brands these lawful activities as suspect.

The response is that the regime doesn't brand them as anything. It requires their disclosure. Lawful activity remains lawful. The only change is that activity connected to the exercise of public power becomes visible to the public.

The implicit premise of the objection is that disclosure is punishment. It isn't. Disclosure is information. If a bidder's ISC donated to the governing party and then won a contract, both facts are lawful; the question is whether the public has an interest in knowing the connection exists. The regime answers yes. The objection answers no — and the objection has to carry the argument that the public has no interest in knowing this, which is a difficult argument to sustain in a democracy.

The stronger version of this objection is that patronage — rewarding supporters with appointments or contracts — is normal democratic politics, and that treating it as something requiring disclosure implies it is dishonest. This is worth engaging directly.

The answer is that patronage has always been controversial in democratic theory, and the traditional defence of it has rested on transparency. "The spoils system" in 19th-century American politics was defended on the grounds that voters knew what they were getting: a party that won the election would staff the administration with party loyalists. That arrangement was visible and subject to electoral judgment. What the regime requires is that modern analogues of patronage — large contracts to donors, regulatory approvals for politically-connected firms, concessions to party-adjacent beneficiaries — be similarly visible and subject to similar judgment. It doesn't criminalize the practice. It exposes it. The public then decides whether to reward or punish the practice at the next election.

Why disclosure rather than criminalization

The regime is almost entirely a disclosure and administrative-consequence regime. It does not criminalize the underlying conduct in most cases. This is a deliberate choice and worth defending.

Criminalization is a blunt instrument. It imposes procedural protections appropriate to criminal law (proof beyond reasonable doubt, presumption of innocence as trial standard, prosecutor's discretion) and consequences appropriate to criminal conviction (imprisonment, criminal record, collateral consequences). Most conduct the regime addresses is not criminal — it's questionable, irregular, or unethical rather than criminal. Criminalizing it would either fail to secure convictions under the higher standard of proof or produce convictions for conduct that doesn't warrant criminal stigma.

Disclosure is proportional. It generates information the public and political process can act on. Where the Commissioner finds conduct warranting administrative response, the response is calibrated — Public Report, Compliance Order, Certificate of Malfeasance — and escalation is only to criminal referral where the conduct meets criminal-law thresholds under §6(b) and §9(1).

The design recognizes that the existing criminal law (fraud, breach of trust, bribery, obstruction) already handles the clearly criminal cases. The accountability regime fills the gap between "nothing happens" and "criminal prosecution," with administrative responses scaled to the conduct.

Proportional penalties and justice

The proportional penalty framework under §25 generates the most persistent objection: that it treats people differently based on their wealth.

The objection rests on a conception of equality under law that requires identical treatment. The regime rests on a competing conception: that equal treatment requires proportional impact. A $10,000 fine is a modest professional-class annoyance to someone earning $500,000 a year; it is catastrophic to

someone earning $40,000. Applying the same dollar figure to both is only "equal" in the most superficial sense. In its actual effect, it is wildly unequal.

The regime scales penalties to capacity — from compensation, revenue, or assets — so that the deterrent effect is roughly constant across people of different wealth. A minister with multi-million-dollar assets who commits a serious violation faces a penalty calibrated to their actual capacity. A junior staffer who commits the same violation faces a penalty calibrated to theirs. Neither faces ruin. Neither escapes consequence.

This design has defenders within several major theories of justice. Utilitarian calculation tends to favour proportionality because it achieves more even marginal deterrence across people of different means. Rawlsian fairness-oriented accounts tend to favour it because the worst-off are not arbitrarily ruined by penalties calibrated for those of substantial means. Some retributive accounts also favour it, on the grounds that the harm done by wrongful conduct is meaningfully measured relative to the actor's capacity to understand and control the conduct, not in fixed dollars. None of this amounts to philosophical consensus — there are sophisticated defenders of strict identical-dollar equality, and the proportional design has critics from multiple traditions. The claim is more modest: proportionality is a defensible position within several traditions of justice, not an obvious truth that closes debate.

The practical protection against abuse is the court confirmation requirement for large penalties under §22(5). The Commissioner cannot impose catastrophic penalties by administrative fiat. The Court of King's Bench reviews for reasonableness and procedural fairness, with the respondent able to raise the good-faith defense and to consolidate review into a single merits hearing.

Institutional humility

The regime is narrow in scope relative to what it could have been.

It does not replace the courts. Civil damages, contract remedies, and private enforcement remain with the courts under §6(g). It does not replace criminal justice. Criminal conduct is referred out under §6(b). It does not replace the Legislative Assembly. The Assembly decides electoral consequences under §16 — the Commissioner issues the Certificate, but the Assembly decides whether to censure, expel, refer for recall, or refer to law enforcement. It does not replace the Chief Electoral Officer. It does not replace regulatory bodies. It does not create parallel substantive decision-making authority.

What it does is fill gaps. Information gaps, accountability gaps, proportionality gaps. Where existing institutions handle what they already handle, the regime defers. Where there is no existing institution handling a specific accountability function — disclosure of named-party legislation, enforcement equity reporting, proportional administrative penalty — the regime creates it.

The design is deliberately unambitious about the scope of the Commissioner. The Commissioner investigates and reports. Consequences flow through other institutions (courts, Assembly, criminal justice) or through administrative action calibrated to conduct (Compliance Order, penalty). The

Commissioner does not govern. The Commissioner accounts.

Partisan neutrality and binding whoever holds power

The clearest test of whether an accountability regime is serious is whether its designers have thought about what it does to their own side.

The regime binds whoever holds power. An NDP government in 2027 would be bound. A UCP government would be bound. Any future party that forms government is bound. The cross-reference provisions, disclosure obligations, proportional penalties, and escalation framework apply uniformly regardless of which party is in office.

This is not incidental. It is the design goal that most of the structural provisions serve. Random audit with verifiable randomness beacons prevents the Commissioner from targeting by party. Court confirmation for large penalties prevents administrative weaponization. Part 8 review and appeal rights prevent procedural abuse. Indexation under §28(1) prevents thresholds from being eroded by inflation without the Assembly noticing. Statutory review at five years under §30 ensures the regime's operation is evaluated on its merits rather than left to drift.

The test the regime has to pass is: does a government you politically agree with find its own conduct subject to this regime, and do you want that? If the answer is yes for the regime as designed, it's partisan-neutral. If the answer is "yes except for" specific provisions that would affect your side, the design isn't neutral yet.

Honest engagement with this test is what distinguishes accountability legislation from weaponized anti-corruption rhetoric. The first disciplines all power. The second disciplines only the other side.

Good-faith defense as moral architecture

§26 establishes a good-faith defense available to any person or entity facing penalty, disgorgement, or other consequence under the Act. It is not a procedural nicety. It is the essential moral architecture of the regime.

Public servants, line workers, volunteer board members, and officials acting in good faith on reasonable reliance — professional advice from qualified counsel, statutory interpretation consistent with published authority, published guidance from an oversight body, or documented practice in the relevant field — cannot be penalized for conduct they reasonably believed was permissible. The burden of establishing bad faith rests on the Commissioner.

This matters morally because accountability regimes can become instruments of capricious punishment if they allow administrative penalty for conduct that was not clearly wrong at the time it occurred. The good-faith defense is what separates a disciplined accountability regime from one that

terrorizes public service.

It is also what protects the regime from capture by those who can afford extensive legal advice. §26(5) requires that any advice relied upon for the defense be disclosed to the Commissioner, with waiver of privilege limited to that specific purpose. A Minister who obtains legal opinion-shopping cover must disclose the opinion, the scope of the mandate, the facts provided to counsel, and any conflicting advice received. The defense is available; the opinion-shopping abuse is not.

The good-faith defense is where the regime's moral commitment to fairness is most concrete. Any criticism of the regime that does not engage with §26 is not engaging with the design as drafted.

Indigenous sovereignty

§21A provides internal-governance carve-out, consultation requirement, and s.35 preservation for First Nations, Métis, and Inuit governments. The drafting is adequate as a starting point. It is not adequate as a finished product.

Legislation affecting Indigenous peoples should be co-developed, not drafted in isolation. The regime as drafted was prepared without formal consultation with First Nations, Métis settlements, or the Métis Nation of Alberta. That work needs to happen before tabling. §21A is structured to accept the revisions that consultation would produce — the materiality threshold for Indigenous government ownership is set by regulation under §28(4), consultation conduct is required to be "in good faith" with accommodation "to the extent reasonably possible," and s.35 rights and treaty rights are expressly preserved.

The moral case for the carve-out rests on two principles. First, Indigenous governments exercise sovereign authority that predates and does not depend on provincial legislation; Alberta's accountability regime does not and cannot apply to the internal governance functions of sovereign Indigenous governments. Second, entities owned or controlled by Indigenous governments participating in the Alberta economy are subject to the same procurement, regulatory, and fiscal regimes as other entities, but their participation implicates Indigenous governance interests that require consultation before the Commissioner acts.

These principles do not resolve every question the framework raises — questions about how consultation actually works in practice, what accommodation looks like, what happens when Indigenous governance interests and public accountability interests pull in different directions. Those are co-development questions. The Act creates the space for them. It does not pretend to answer them.

What this regime says about Alberta

An accountability regime is, among other things, a statement of what a political community expects from its government.

The Honest Government and Open Books Acts state that Alberta's government conduct should be explainable in public; that public money and public authority should flow through decisions accountable to the public; that power should earn legitimacy by showing its working; that the poor should not be targets of accountability and the wealthy should not be exempt from it; that good faith should be presumed and demonstrable; that Indigenous governments are sovereign; that oversight should bind whoever holds power.

Whether Albertans agree with these propositions in practice — when the provisions apply to their own preferred party as well as to the other — is the empirical question this package opens rather than answers. Polling on accountability regimes generally suggests broad support for the principles in the abstract and more variable support for specific applications. The regime as drafted is one starting point for that conversation. It is also subject to improvement, debate, and revision through the deliberation process that follows.

Accountability legislation is a mirror. What it reflects depends substantially on who looks into it.

That is the invitation.

Appendix E — red-team.md: Adversarial failure-mode analysis

Source companion document.

Companion document to the drafted legislation.

Part I — Method and Sources

1. A regime designed to bind whoever holds power has to survive motivated subversion by whoever holds power. This document traces that risk through four lenses: documented failure patterns from comparable Canadian regimes, systematic failure mode analysis organized by residual severity, motivated actor scenarios organized by actor sophistication, and a ranked residual risk register.

2. The historical cases referenced — SNC-Lavalin, the Aga Khan finding, the Alberta Ethics Commissioner decisions in Smith-Pawlowski, Hinshaw, and Redford, the McIver parliamentary privilege ruling, the federal PSIC resource crisis, and the Lobbying Act review failures — are drawn from publicly reported accounts in CBC, Globe and Mail, CTV, court rulings, and commissioner reports. Specific factual claims have been verified against contemporary reporting where possible.

3. The connections drawn between historical failure modes and proposed provisions are the drafter's analysis. Whether each provision addresses each failure mode in operation is empirically uncertain. A red-team conducted by people with different priors, different stakes, and different expertise would surface failure modes this document did not see. The invitation to that work stands.

Part II — How Comparable Regimes Have Failed

4. Findings without consequences. Federal Ethics Commissioner Mario Dion found in August 2019 that Prime Minister Trudeau contravened the Conflict of Interest Act by pressuring the Attorney General on SNC-Lavalin. The federal Act specifies no sanction for the violation. Trudeau took rhetorical responsibility and won the next election. A second Trudeau finding — the Aga Khan

vacation, December 2017 — produced the same structural outcome: a finding, a public statement, no consequence. The lesson is not about any specific government. It is that an accountability regime without specified enforcement is a publicity regime, dependent on public outrage to do its work — and public outrage is unreliable and fades.

5. Cabinet confidence as evidence block. In the SNC-Lavalin investigation, nine of twenty witnesses could not disclose information they believed relevant because of Cabinet confidence claims. Privy Council Clerk Ian Shugart denied Commissioner Dion's waiver request. The investigation proceeded with acknowledged blind spots. Cabinet confidence has historically been invoked broadly, characterized as deliberative, and accepted by courts deferring to government framing.

6. Appointment capture and vacancy weaponization. Between Mario Dion's retirement in February 2023 and the appointment of an interim commissioner in August 2023, federal ethics oversight was paused for six months. During the gap, the government appointed Martine Richard — sister-in-law of cabinet minister Dominic LeBlanc — as interim commissioner. She resigned within weeks under opposition pressure. A government that moves slowly on appointments has structural control over the rhythm of oversight.

7. Whistleblower regime collapse. The Public Servants Disclosure Protection Act came into force in 2007. Over seventeen years, eight cases reached the Tribunal; one whistleblower completed the process and lost. In October 2024, Commissioner Harriet Solloway declared crisis: 161 files on hold, two- to three-year delays, no budget increase since 2007. Legal protection on paper, structural starvation in practice.

8. Definitional games and scope narrowing. In December 2023, Alberta Ethics Commissioner Trussler closed her investigation into the dismissal of Dr. Deena Hinshaw from an AHS position without investigating Premier Smith, citing statutory scope. Opposition leader Notley identified the structural problem: "The Conflict of Interest Act is very narrow in scope." Earlier, Trussler's finding against Smith on the Pawlowski prosecution resulted in no sanctions. The pattern is Commissioners choosing narrow application consistently, regardless of available statutory language.

9. Threshold erosion through inaction. The federal Lobbying Act's 20% rule for in-house lobbyists was treated as 32 hours per month for years, allowing a large population of organizations to evade registration. The Commissioner's July 2025 reinterpretation reduced the threshold to eight hours, capturing organizations that had evaded registration for the entire life of the Act. The five-year statutory review required by that Act had not occurred since 2012. Thresholds erode systematically without mandatory, enforceable review.

Part III — Failure Mode Analysis

10. The following failure modes are analyzed in order from lowest to highest residual severity after the regime's mitigation provisions are applied. For each: the structural or historical pattern, the provisions that address it, and the residual risk that remains.

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§1 — Compliance Theatre

11. Pattern. Regulated entities meet the letter of disclosure requirements while structuring conduct to escape the spirit. Beneficial ownership disclosure routes through nominees and trusts. ISC returns identify legal contracting parties while obscuring actual control. Lobbying disclosure covers registration thresholds and no more.

12. Regime mitigation. §25(10) beneficial ownership determinations allow the Commissioner to pierce nominee structures and aggregate across related entities. §14A duty to document closes the oral-briefing-only workaround for decisions subject to disclosure. §27 random audit reaches compliance substance, not only formal completion. Bill 2 §2(f) indirect benefit prong captures legislation whose practical effect is concentrated benefit regardless of generic statutory language.

13. Residual risk. The regime depends on Commissioner willingness to investigate apparent compliance to test its substance. The Hinshaw case demonstrates that Commissioners sometimes decline that investigation. Operational regulations under §28(4) should include a "substance over form" interpretive directive and provide for targeted random audits of disclosure accuracy, not only disclosure existence.

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§2 — Good-Faith Defense as Opinion-Shopping Shield

14. Pattern. Regulated entities obtain multiple legal opinions, retain only the favourable one, and claim good-faith reliance when conduct is challenged. In the corporate regulatory literature, "no-action" letters and friendly-counsel opinions have been used as pre-authorization for conduct the client has already decided to undertake.

15. Regime mitigation. §26(5) requires disclosure of all legal opinions obtained on the same question — not only the opinion relied upon — including the scope of mandate given to counsel, facts provided, and any conflicting advice received. Obtaining and discarding contrary opinions while relying on a permissive minority opinion is designated evidence of wilful blindness under §26(4)(c). The limited privilege waiver applies only to the defense proceeding.

16. Residual risk. A respondent can solicit opinions orally and decline to retain unfavourable ones in writing. §26(5) requires disclosure of "any conflicting advice received"; the respondent controls what is "received" by controlling what is committed to writing. The Commissioner should consider requiring a sworn declaration under §26(5) that all advice received has been disclosed, with perjury exposure for false declarations.

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§3 — Random Audit Weaponization and Statistical Noise

17. Pattern. No direct Canadian precedent; the proposed random audit program is novel. International experience with statistical sampling (US IRS partisan-audit allegations in the Tea Party era) demonstrates that even genuinely random selection produces statistically anomalous results over short windows that motivated actors will frame as targeting.

18. Regime mitigation. §27 specifies a public randomness beacon (NIST or equivalent) with published methodology, selection lists, and verifiable stratification. The Commissioner cannot select audit targets by discretion. Selection is not an adverse finding; the good-faith defense applies in full to all random audit proceedings.

19. Residual risk. Over a four-year window with a 5% annual ministerial sample, the probability of all selected ministers coming from one party in a given year is non-trivial. A published variance analysis — actual selection pattern versus expected pattern, with explanation of any outlier years — added to operational regulations would give the regime's defenders an evidence base against weaponized framing. A second risk: at 2% sampling of ISC contracts, sophisticated bidders can rationally treat non-compliance as low-probability enforcement. Consider 100% audit of contracts above a high-value floor so the largest contracts cannot escape review by design.

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§4 — Mandate Erosion Through Subsequent Legislation

20. Pattern. The federal Conflict of Interest Act has operated since 2007 with no major amendment despite repeated Commissioner recommendations. The Lobbying Act review skipped from 2012 to 2025. The PSDPA review skipped from 2011 indefinitely. Subsequent governments can ignore reform recommendations; they can also narrow the mandate through riders in budget bills.

21. Regime mitigation. §28(1) automatic CPI indexation prevents threshold erosion through inflation without Assembly notice. §30 mandates statutory review at five years. §28(5) Assembly oversight on regulations provides ongoing legislative supervision of Commissioner rule-making.

22. Residual risk. Statutory review is only as good as the political will to act on findings. Budget bill riders remain available to any future Assembly majority. Consider supermajority requirements for amendments to specified core provisions — the escalation framework (§§7–9), proportional penalty framework (§25), random audit program (§27) — providing additional friction against quiet erosion without preventing legitimate reform.

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§5 — Definitional Games and Scope Narrowing

23. Pattern. The Trussler-Hinshaw declination, the Trussler-Redford clearing, and the narrow Trussler-Smith Pawlowski finding all occurred under a statute that arguably had broader language available to support wider investigation. Commissioner choices about scope, not statutory text, drove the outcomes.

24. Regime mitigation. §6(g) materiality threshold and published guidelines. §2 definitions include indirect benefit, beneficial ownership, and declined-but-substantiated violations. §27 random audit reaches conduct without a complaint trigger. Bill 2 §2(f) indirect benefit prong captures legislation whose practical effect is concentrated benefit regardless of generic statutory drafting.

25. Residual risk. A Commissioner inclined toward narrow readings will find statutory support for narrow readings regardless of drafting intent. Operational regulations under §28(4) should include an explicit interpretive principle: ambiguity in scope resolves in favour of investigation rather than declination, and the Commissioner shall publish written reasons for any declination involving a Minister or designated senior official.

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§6 — Regulatory Capture of the Commissioner Office

26. Pattern. The pool of qualified candidates for ethics commissioner positions is narrow. Most have prior career involvement with the regulatory ecosystem — government legal positions, previous oversight roles, relationships with senior officials. Cultural and cognitive capture — where the regulator comes to share the assumptions of the regulated population — operates without conscious corruption and is documented extensively in administrative law literature.

27. Regime mitigation. §27 random audit reduces dependence on Commissioner discretion for target selection. §22 court confirmation creates an external check on large-penalty outcomes. §28(5) Assembly oversight on regulations constrains unilateral Commissioner action. §11A and §11B eligibility bars prevent appointment of recent political actors.

28. Residual risk. Capture is structural rather than procedural. Post-employment cooling-off for Commissioner office senior staff — parallel to the §10(1) cooling-off for Ministers — and published prior-employment history for senior staff would add transparency to the office's professional network. An external advisory panel including academic experts, civil society representatives, and Indigenous governance leaders for annual decision review would reduce insularity without compromising Commissioner independence.

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§7 — Whistleblower Regime Collapse

29. Pattern. The PSDPA looked structurally sound in 2007. Over seventeen years it produced one completed proceeding. The failure mechanism was cultural (disclosure treated as betrayal), structural (burden of proof on the whistleblower), and operational (systematic resource starvation of the Tribunal and office).

30. Regime mitigation. §18 reverse burden shifts the proof obligation to the employer. §18A preservation orders protect evidence and employment status during investigation. §19 safe harbour for disclosure to MLAs and journalists when internal channels fail. §18(6) personal liability for managers who retaliate in bad faith, non-indemnifiable by public money.

31. Residual risk. Structural improvement is real. Cultural change is not statutory. A regime can have correct burden allocation and still produce near-zero protected outcomes if institutional culture treats disclosure as betrayal. Resource starvation produces the same de facto result as the PSDPA regardless of statutory design. Empirical outcomes should be monitored after the first three years; if reprisal findings remain near zero, the regime has not delivered on its design intent regardless of statutory language.

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§8 — Cabinet Confidence as Evidence Block

32. Pattern. In the SNC-Lavalin investigation, nine witnesses could not testify fully because of Cabinet confidence claims. The Privy Council Clerk denied the Commissioner's waiver request. Cabinet confidence has historically been invoked broadly, characterized as deliberative rather than factual, and accepted by courts.

33. Regime mitigation. §13 requires proactive disclosure of factual, statistical, and operational data provided to Cabinet; Treasury Board decision summaries within 180 days; and ministerial mandate letters within 18 months. Deliberative content remains privileged. §13(5) mandate letter non-disclosure log makes the claim of protection public even where content is withheld.

34. Residual risk. The line between factual/operational data (now disclosable) and deliberative content (still privileged) is drawn by the government characterizing the documents, subject to Commissioner and IPC review. A sophisticated executive will characterize most relevant material as deliberative. Consider a statutory presumption that disputed documents are disclosable absent a Cabinet certificate signed by the Premier personally — making the act of shielding deliberate and named rather than administrative.

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§9 — Resource Starvation

35. Pattern. The PSIC received no budget increase from 2007 to 2024 despite demonstrated caseload growth. 161 files were held. The statutory review was never triggered. The mechanism was simple: in a Westminster system, the executive controls estimates and can reduce an independent office's budget through main estimates without a named vote.

36. Regime mitigation. §24(4) monthly resource adequacy notice on a pre-announced fixed date, auto-tabled with the Speaker on starvation or infrastructure build failure. §24(6) budget floor requiring a written Treasury Board statement of operational consequences and a separate recorded vote in Committee of Supply for any reduction below the CPI-adjusted prior-year appropriation. §24(5) cooperation register tracks regulatory non-cooperation publicly.

37. Residual risk. §24(6) is a procedural requirement — transparency and recorded vote — not a spending mandate. The Legislature retains full appropriation authority. A hostile government can still cut the Commissioner's budget; the provision ensures the cut is named, its consequences are stated in writing with the Commissioner's response, and the vote is recorded rather than buried in estimates. This is structurally stronger than the PSIC model but not binding. The residual risk is a government with a compliant Assembly majority that accepts the political cost of the recorded vote.

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§10 — Appointment Capture

38. Pattern. The federal appointment gap of six months in 2023 paused oversight entirely. The Martine Richard interim appointment demonstrated that personal and political relationships can capture even the emergency appointment. A government that moves slowly, selects narrowly, or nominates politically-connected candidates systematically controls the operational character of oversight.

39. Regime mitigation. §11A (Commissioner) and §11B (Auditor General) require two-thirds of the Standing Committee plus two-thirds of the full Assembly for appointment; seven-year non-renewable terms; eligibility bar on anyone who held elected office or party executive position within seven years; Chief Justice of King's Bench vacancy fallback at 120 days; two-thirds Assembly for removal. These are the strongest appointment protections in current Canadian provincial practice.

40. Residual risk. A government that holds two-thirds of the Assembly — which has occurred in Alberta — can appoint its preferred Commissioner and Auditor General without opposition consent. The eligibility bar excludes recent political actors but not ideological sympathizers. The CJ fallback prevents vacancy weaponization but the CJ appointment is itself LGIC-controlled. The appointment architecture is substantially hardened; it is not capture-proof against a dominant majority.

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§11 — Sanctions Enforcement Gap Against Sitting Members

41. Pattern. The McIver ruling (*McIver v Alberta (Ethics Commissioner)*, 2017 ABQB 695) established that court confirmation of penalties against sitting MLAs is unavailable under parliamentary privilege. The federal SNC-Lavalin and Aga Khan findings carried no specified sanctions. The Trussler-Smith Pawlowski finding resulted in no enforcement. The structural pattern: the most politically significant targets are the targets most insulated from enforcement consequences.

42. Regime mitigation. §22(5)(b) routes penalties against sitting Members through the Assembly process under §16, explicitly accommodating the McIver privilege ruling. §16(4A) closes the censure-as-disposal gap: censure alone does not satisfy the Assembly's obligation where a Certificate incorporates a financial penalty determination above threshold. The Assembly must pass a substantive resolution, close by two-thirds supermajority with written reasons, or exhaust the 60-sitting-day clock triggering deemed law enforcement referral.

43. Residual risk. The two-thirds closing resolution is available to a dominant Assembly majority. A government holding two-thirds of the Assembly can close a Certificate against one of its own members with a supermajority vote, produce written reasons, and publish them — satisfying every procedural requirement while producing no substantive consequence. The public record contains the Certificate and the closing reasons; voters decide. No legislative provision can prevent a majority government from protecting its own members within the bounds the Constitution has drawn. This is the acknowledged hard floor.

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§12 — Constitutional Vulnerability of Core Provisions

44. Pattern. Three provisions carry material constitutional exposure that has not been externally validated. First, §28(3) and §28(4) Commissioner-direct regulation-making could be challenged as improper delegation of legislative authority to an officer of the Legislature. Federal Court precedent on officer-of-Parliament regulation-making is supportive but not dispositive in a provincial context. Second, §22(5)(b) Assembly-track enforcement for MLA penalties relies on Assembly institutional will

and does not resolve the privilege question for conduct outside the legislative chamber. Third, §15(2) ISC contribution cross-reference could face a Charter challenge as a restriction on political expression of business owners.

45. Regime mitigation. §22(6) preserves Cabinet and executive privilege as grounds in review proceedings. §22A anti-SLAPP provisions protect against challenges brought primarily for delay, with presumptive solicitor-client costs on failed challenges. The §28(7) counter-regulation is designated subject to Assembly disallowance. Review and appeal architecture under §22 provides conventional judicial oversight.

46. Residual risk. Highest-severity structural risk in the design. A successful challenge to §28(3)–(4) forces all operational regulations through Cabinet, introducing political control over the Commissioner's operational parameters. A successful privilege challenge to §22(5)(b) collapses MLA enforcement back to the existing pattern. A successful Charter challenge to §15(2) requires redesign of the contribution cross-reference architecture. Explicit severability clauses and a pre-tabling constitutional law opinion from counsel with administrative law expertise are the minimum required before this risk is acceptably managed.

Part IV — Motivated Actor Scenarios

47. The failure modes above are categorical. The scenarios below trace specific motivated actors through the regime's defenses, organized from least to most sophisticated.

§13 — Hostile Opposition

48. Strategy. Flood the Commissioner with complaint filings targeting governing-party members and donors, coordinated with media to amplify unsubstantiated allegations during investigation.

49. Available levers. First complaints are unfiltered by §29(4) fee. Investigation existence becomes public through quarterly reports. Coordinated filings from multiple actors can exhaust Commissioner triage capacity before the fee mechanism applies.

50. Defenses operating. §29(4) false complaint fee deters repeat bad-faith filers after the initial finding. Commissioner triage authority under §6(g) filters genuinely frivolous matters. §7 Public Report framing is Commissioner-controlled, not complainant-controlled.

51. Assessment. Less severe than the hostile government scenario. The regime depends on Commissioner triage discipline. Whether investigation existence should be shielded from publication to protect subjects of unsubstantiated complaints is not addressed in the current draft and warrants further policy work.

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§14 — Industry Lobbying and Regulatory Capture

52. Strategy. A regulated industry secures favourable regulatory outcomes through coordinated contributions, calibrated lobbying disclosure, nominee ISC structures, and strategic post-employment hiring of senior officials after the cooling-off period.

53. Available levers. Lobbying within disclosure thresholds. ISC structuring through out-of-province entities to escape §15(2) cross-reference. Hiring former senior officials at month 19, immediately after the §10(1) cooling-off expires. Funding academic and policy work that shapes Commissioner and Auditor General thinking under §28 regulation-making.

54. Defenses operating. §15(7) unlimited lookback for repeat violators. §25(10) beneficial ownership determinations pierce nominee structures. §10(3.1) post-employment restrictions extend to indirect benefit arrangements. §28(5) Assembly oversight constrains Commissioner regulation capture.

55. Assessment. The regime's softest long-term target. Sophisticated industry actors have decades of experience navigating oversight regimes and the resources to do so. Explicit diversity requirements for §28 consultation inputs — academic experts, civil society, Indigenous governance — would dilute industry capture of the regulation-making process itself.

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§15 — Constitutional Challenge by Motivated Respondent

56. Strategy. A respondent facing a substantial penalty challenges the regime's constitutional validity and uses the stay of enforcement under §22(4) to defer collection indefinitely while litigation proceeds.

57. Available levers. Federal Court Charter challenge. Parliamentary privilege challenge. Administrative law challenge to specific Commissioner decisions. §22(4) stay freezes enforcement during proceedings. Litigation costs fall asymmetrically on the Commissioner.

58. Defenses operating. §22A anti-SLAPP mechanism: expedited Court hearing within 20 business days, presumptive solicitor-client costs on failed challenges, stay limited to final enforcement only with no application to ongoing investigation, record production, or publication obligations. Security for costs available where challenge brought primarily for delay.

59. Assessment. §22A substantially raises the cost of litigation-as-delay. It does not make constitutional challenges unavailable; genuine legal questions remain to be tested. Pre-tabling constitutional opinion is the only way to reduce this risk before it becomes operational.

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§16 — Hostile Government Weaponization

60. Strategy. A governing party uses the regime against opposition members and donors: appoint a sympathetic Commissioner, direct investigative focus through strategic complaint filings, impose financial pressure through proportional penalties on opposition donors and former officials, and time releases to land before elections.

61. Available levers. Commissioner appointment under a 2/3 Assembly majority. Strategic complaint filings, partially constrained by §29(4). ISC cross-reference processing delays on opposition-connected contracts. Resource steering to under-resource investigations into government while over-resourcing opposition matters.

62. Defenses operating. §27 random audit is verifiable and cannot be pointed at specific targets. §11A and §11B two-thirds appointment requirements raise the cost of capture substantially. §22(5)(a) court confirmation provides judicial check on large non-Member penalties. §21B writ period prohibition prevents launching new investigations against candidates during elections.

63. Assessment. The regime substantially raises the cost of weaponization without eliminating it. A dominant majority with a captured Commissioner and compliant Assembly can still operate the regime selectively. The structural protection is that sustained coordinated capture across multiple institutions — Commissioner, Auditor General, Assembly majority — is harder to execute than capture of any single institution. The random audit's verifiable methodology is the single most important protection against this scenario.

Part V — What the Regime Gets Right

64. The failure analysis above is rigorous. Honesty also requires naming where the proposed regime substantially improves on the Canadian baseline.

(a) Sanctions specified. The federal Conflict of Interest Act specifies no sanction for violation. §25 proportional penalties and §22(5) court confirmation mean findings carry consequences tied to actual capacity.

(b) Reverse burden on reprisal. The PSDPA's failure across seventeen years demonstrates what a complainant-bears-burden regime produces. §18 shifts the burden structurally.

(c) Preservation orders. §18A closes the gap between disclosure protection — which existing regimes provide — and evidence survival, which they do not.

(d) Random audit with verifiable randomness. No current Canadian accountability regime uses public randomness beacon selection. This removes Commissioner target selection discretion and provides a documented methodology against weaponization claims.

(e) Cabinet confidence narrowed. §13 pierces the most-used evidence shield in Canadian accountability work for factual, statistical, and operational data. The SNC-Lavalin-style constraint is narrowed, not eliminated.

(f) Indirect benefit captured. Bill 2 §2(f) captures the CEC structural pattern — formally generic legislation whose substantive effect is concentrated benefit in a small identifiable class.

(g) Appointment independence hardened. §11A and §11B set two-thirds supermajority requirements, eligibility bars, and judicial vacancy fallback for both Commissioner and Auditor General — the strongest appointment architecture in current Canadian provincial practice.

(h) Anti-SLAPP protection. §22A addresses the asymmetric litigation cost vulnerability that has historically exhausted oversight offices facing well-resourced respondents.

(i) Budget floor with recorded vote. §24(6) makes funding cuts to the Commissioner office require named operational consequences, a written Commissioner response, and a separate recorded vote — not an undifferentiated line in main estimates.

These are real improvements on the documented Canadian baseline. Whether they deliver in operation depends on appointment quality, resource allocation, institutional culture, and political will. The drafter's claim is more modest than "meaningfully better": the regime addresses several gaps that have undermined comparable Canadian regimes. Whether that translates into improved outcomes is empirical and uncertain.

Part VI — Residual Risk Register

65. Ranked by severity, highest first.

(1) Constitutional vulnerability of §28(3)–(4) Commissioner rule-making, §22(5)(b) privilege question for MLA penalties, and §15(2) Charter exposure. Pre-tabling constitutional opinion is the minimum required mitigation. Explicit severability clauses should be added before tabling.

(2) Sanctions enforcement gap against sitting Members. Assembly remains final arbiter. A dominant majority can close Certificates with a two-thirds supermajority vote and published reasons. This is the McIver hard floor under the current constitutional architecture.

(3) Appointment capture under a dominant Assembly majority. §11A and §11B are substantially hardened but not capture-proof against a government holding two-thirds of the Assembly.

(4) Resource starvation. §24(6) requires transparency and recorded vote for cuts below the floor; it does not prevent cuts. A hostile government accepts the political cost of the recorded vote.

(5) Cabinet confidence — deliberative characterization. §13 narrows the shield; it does not eliminate it. A sophisticated government characterizes most relevant material as deliberative, requiring Commissioner litigation to test the line.

(6) Industry capture of §28 rule-making consultation. Operational regulations set the thresholds that determine the regime's practical scope. Industry dominance of consultation can set generous thresholds before the regime is fully operational.

(7) Statistical noise weaponization of random audit. Published variance analysis provides an evidence base for defenders; it does not prevent motivated actors from amplifying apparent disparities.

(8) Whistleblower culture gap. §18 reverse burden and §18A preservation orders are structural improvements. Cultural change — disclosure treated as legitimate rather than betrayal — is not statutory.

(9) Out-of-province beneficial ownership. The EFCDA cross-reference is blind to federal political contributions and out-of-province ownership chains. Requires federal cooperation or EFCDA extension to close.

(10) Definitional games by a narrow-reading Commissioner. The design cannot prevent a Commissioner who chooses narrow scope. Operational regulations specifying interpretive principles and requiring published reasons for ministerial-level declinations are the available mitigation.

This residual risk list is partial. People with different priors will find failure modes this document did not name. The invitation to that work stands at the Issues and Discussions tabs.

Appendix F — legislative-cross-reference.md: Mapping against existing Alberta statutes

Source companion document.

Honest Government Act & Open Books Act vs. Existing Alberta Legislation

Version: 1.0 — April 24, 2026 **Scope:** Publicly available sources only. Not a formal legal opinion. For distribution context and MLA outreach. **Limitation note:** Section citations sourced from CanLII summaries, law firm analyses, and government websites. Full statutory text should be verified at qp.alberta.ca before any formal tabling.

1. Existing Legislative Landscape

ACT	CITATION	ADMINISTERED BY	LAST MAJOR AMENDMENT
Conflicts of Interest Act	RSA 2000 c C-23	Ethics Commissioner	2017 (SA 2017 c 20)
Lobbyists Act	SA 2007 c L-20.5	Ethics Commissioner / Lobbyist Registrar	June 11, 2018
Public Interest Disclosure (Whistleblower Protection) Act	SA 2012 c P-39.5	Public Interest Commissioner	2017–18 cycle
Financial Administration Act	RSA 2000 c F-12	Treasury Board	—
Auditor General Act	RSA 2000 c A-46	Auditor General (independent officer)	—
Protection of Privacy Act	SA 2024 c P-28.5	Information and Privacy Commissioner	In force June 11, 2025 (replaced FOIP)
Access to Information Act	SA 2024 c A-1.4	Information and Privacy Commissioner	In force June 11, 2025 (replaced FOIP)
Election Finances and Contributions Disclosure Act	RSA 2000 c E-2	Elections Alberta	—
Procurement / Sole-Source Rules	Treasury Board Policy + Procurement Accountability Framework Manual (2018)	Treasury Board	2018 (policy, not statute)

2. Cross-Reference by Act

2.1 Conflicts of Interest Act (RSA 2000 c C-23)

What it currently does: - Governs MLAs, Ministers, and their staff for conflicts of interest and post-employment conduct. - Post-employment restriction for Ministers: **12 months** from last day in office (§23.1) — prohibits lobbying and employment with entities the Minister had direct and significant dealings with. - Post-employment restriction for political staff: **6 months**. - Enforcement: Ethics Commissioner can recommend penalties; for former Ministers (if not sitting as MLA at time of contravention), fines up to **$50,000** (§23.12). - Notable gap: **Commissioner cannot investigate during an election.** Enforcement pauses at the moment political pressure is highest. - Notable gap: **No beneficial ownership provisions.** Act does not look through corporate structures to beneficial owners.

What the bills add or amend:

PROVISION	TYPE	DETAIL
Post-employment extended to 18 months	**Amends** existing §23.1	Bill 1 increases from 12 → 18 months for Ministers; longer than any current Canadian provincial equivalent
Three-tier escalation (Report → Order → Certificate)	**Supplements** existing enforcement	Current act has a $50K fine ceiling and limited order powers; Bill 1 adds Compliance Orders and Certificates of Malfeasance tabled in the Assembly
Random audit program (§27 Bill 1)	**Novel addition**	No equivalent in current act; addresses selective-enforcement vulnerability
Proportional penalty framework (§25 Bill 1)	**Supplements**	Current $50K ceiling is flat; Bill 1 scales penalties to actor capacity and benefit obtained
Beneficial ownership linkage (ISC definition)	**Novel addition**	No equivalent anywhere in current act
Commissioner resourcing protections (§24 Bill 1)	**Supplements**	Current act has no resource-floor protection; resource starvation is the most common Canadian accountability failure mode

Conflict risk: See §4.1 (McIver ruling) below.

2.2 Lobbyists Act (SA 2007 c L-20.5)

What it currently does: - Requires registration of consultant lobbyists (paid external) and in-house organization lobbyists. - In-house threshold (post-2018 amendment): **50 hours/year** combined across employees, officers, directors — includes prep time for lobbying communications. - Administered jointly with Conflicts of Interest Act by the Ethics Commissioner/Lobbyist Registrar. - Penalties: up to **$100,000** for non-registration; 2-year prohibition on lobbying upon criminal conviction. - Post-employment cooling-off enforced through the Conflicts of Interest Act, not this act directly. - Notable gap: **Threshold is hours-based.** Easy to stay below 50 hours through task re-labelling or splitting lobbying activity across multiple employees.

What the bills add or amend:

PROVISION	TYPE	DETAIL
20%-of-duties threshold for in-house lobbyists	**Amends** existing threshold	Replaces hours-based (gameable) with percentage-of-duties (activity-based, harder to obscure); captures full-time in-house advocates more reliably
Post-employment cooling-off extended to 18 months	**Amends** indirectly	Bill 1 §23.1 amendment flows through to lobbying prohibition

Gap filled: The 50-hour threshold can be gamed by splitting lobbying tasks across multiple employees each below the threshold. A 20%-of-duties standard is role-based rather than time-counting, which is harder to circumvent.

2.3 Public Interest Disclosure (Whistleblower Protection) Act (SA 2012 c P-39.5)

What it currently does: - Protects public sector employees, Legislative Assembly employees, and *prescribed* service providers who disclose "wrongdoing." - **"Wrongdoing" currently limited to three categories (§3):** - (a) Contravention of federal or provincial legislation - (b) Substantial and specific danger to life, health, safety, or environment - (c) Gross mismanagement of public funds or assets - Pure ethical violations are **not covered** unless they also contravene a statute, create substantial danger, or constitute gross mismanagement. - Contractors not covered unless specifically "prescribed" — general contractors for government projects excluded. - Retaliation penalties: $25,000 (first offence), $100,000 (subsequent). - Notable gap: **Directed suppression of information** — an official told to hide inconvenient data — is not clearly covered under any of the three §3 categories unless it also constitutes a statutory breach.

What the bills add or amend:

PROVISION	TYPE	DETAIL
Expands "wrongdoing" to include serious ethical breaches	**Amends** §3	Catches ethical violations below the criminal/fraud threshold that current act misses
Expands "wrongdoing" to include directed suppression of information	**Amends** §3	Explicitly covers officials ordered to hide, distort, or suppress information — no current equivalent

Gap filled: The DynaLIFE ($109M total) and CEC examples in the package both involve conduct that may fall into the "directed suppression" gap — not necessarily illegal, but involving management choices to keep information from public view. Current act would not clearly protect a whistleblower in those scenarios.

2.4 Financial Administration Act (RSA 2000 c F-12)

What it currently does: - Governs government financial management: appropriations, procurement authority, grants, subsidies. - Sole-source contracts **$10,000 or more** disclosed quarterly — but this is **Treasury Board policy, not statute**. Policy has 12 permitted exceptions including commercial confidence that can limit disclosure. - **No beneficial ownership disclosure requirement** for contractors or grant/subsidy recipients. - Discretionary grant and subsidy authority is broadly stated; minimal statutory prescription on terms or disclosure requirements. - Notable gap: **The largest transfers of value from Crown to private parties — royalty reductions, loan guarantees, debt forgiveness — are not subject to any uniform disclosure requirement** under the FAA. Each requires its own enabling legislation; public accountability is fragmented.

What the bills add or amend:

PROVISION	TYPE	DETAIL
ISC (Individual with Significant Control) definition	**Novel addition to FAA**	No equivalent anywhere in current Alberta law; defines beneficial ownership standard for public-money recipients
Concessional Arrangement Disclosure (Bill 2 §5)	**Novel**	Requires disclosure of royalty reductions, loan guarantees, debt forgiveness, tax abatements above threshold — nothing like this exists in current FAA or any other Alberta statute
Proponent Disclosure Records for regulatory approvals (Bill 2 §4)	**Novel**	No current requirement to link political contributions to regulatory approval beneficiaries
Individual Exemption Disclosures (Bill 2 §6)	**Novel**	Ministerial exemptions from statutory requirements are currently entirely discretionary with no mandatory public disclosure

Gap filled: The absence of beneficial ownership disclosure means the Crown can direct significant public money to entities whose ultimate controllers are unknown. The bills create a consistent ISC standard across contracts, grants, approvals, and concessional arrangements.

2.5 Auditor General Act (RSA 2000 c A-46)

What it currently does: - Independent officer with broad mandate to audit government accounts and operations. - Access to government records required for audits. - Reports to the Legislative Assembly. - Mandate is primarily financial/compliance auditing — **no specific mandate for enforcement equity analysis or cross-body pattern analysis**. - Cannot review the merits of regulatory decisions (appropriate institutional deference).

What the bills add:

PROVISION	TYPE	DETAIL
Annual Enforcement Equity Report (Bill 2 §7)	**Novel mandate addition**	Annual statistical analysis of enforcement patterns across regulatory bodies; examines whether enforcement correlates with political contributions, prior state benefit, or other observable characteristics; no current equivalent in any Alberta legislation
Phased implementation over 5 years (Bill 2 §7(7))	**Operational design**	First report covers ≥3 bodies; scales to comprehensive coverage; realistic given AG resource constraints

Gap filled: Currently, enforcement disparity — e.g., large vs. small operators receiving differential scrutiny from the AER — is visible only through FOIP requests and investigative journalism. The Enforcement Equity Report creates a systematic, recurring public record.

2.6 Access to Information Act / Protection of Privacy Act (SA 2024)

What currently exists: - FOIP (RSA 2000 c F-25) was **repealed June 11, 2025** and replaced by: - **Access to Information Act** (SA 2024 c A-1.4) - **Protection of Privacy Act** (SA 2024 c P-28.5) - Commercial confidence and third-party business information remain grounds for refusing disclosure under the new framework.

Citation currency issue: - Bill 2 §7(3) correctly references "Protection of Privacy Act" — matches the current act name as of 2025. ✓ - **Any references in Bill 1 or Bill 2 to "FOIP" or "Freedom of Information and Protection of Privacy Act" should be updated to cite the Access to Information Act (SA 2024 c A-1.4) and/or Protection of Privacy Act (SA 2024 c P-28.5) before tabling.** - This is a citation maintenance issue, not a substantive gap.

2.7 Election Finances and Contributions Disclosure Act (RSA 2000 c E-2)

What it currently does: - Requires disclosure of political contributions above threshold to parties, constituency associations, and candidates. - Administered by Elections Alberta. - Creates a public contribution registry. - **No linkage between the contribution registry and government benefit recipients.** You can look up who donated to a party, but you cannot cross-reference against who received a contract, regulatory approval, royalty reduction, or named-party legislation benefit.

What the bills add:

PROVISION	TYPE	DETAIL
Contribution-benefit linkage (Bill 2 §3–§6)	**Novel — no equivalent anywhere**	Requires disclosure of contributions by beneficiaries of named-party legislation, regulatory approvals, concessional arrangements, and ministerial exemptions — creates the cross-reference the current system omits

Gap filled: Current law makes both contribution records and benefit records public, but in separate, unlinked registries. Bill 2 requires the linkage to appear in the disclosure document itself, at the time of the benefit, so the public does not need to connect them through access-to-information requests and investigative effort.

2.8 Procurement / Sole-Source Rules (Treasury Board Policy)

What currently exists: - Sole-source contracts ≥$10,000 disclosed quarterly on the Open Government Portal. - 12 permitted situations for sole-sourcing, including a commercial confidence exception. - **Policy-based only — not statutory.** Treasury Board can amend or waive without legislative process. - Required disclosures: vendor name, dates, amount, service description, and permitted situation code. - Does not cover: royalty reductions, loan guarantees, debt forgiveness, ministerial exemptions from regulatory requirements, named-party legislation.

What the bills add: - Bill 2 provides **statutory basis** for concessional arrangement, regulatory approval, and ministerial exemption disclosure — not dependent on Treasury Board policy. - No commercial confidence carve-out for the core disclosure obligation (though partial disclosure with reasons is available where legitimate commercial confidence applies under §5(6)).

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3. Material Findings

3.1 McIver Ruling — §22(5) Conflict Risk ⚠️

Case: *McIver v Alberta (Ethics Commissioner)*, 2017 ABQB 695; ruling on parliamentary privilege April 4, 2018 (Justice Ashcroft, Alberta Court of Queen's Bench).

What it held: The Ethics Commissioner's actions against MLAs fall within parliamentary privilege. Courts **do not have jurisdiction** to review Ethics Commissioner decisions involving MLA conduct, because doing so would itself violate parliamentary privilege. This applies even where the

Commissioner has already imposed a penalty — judicial review is unavailable. The court held the Charter also has no application to legislation invoking parliamentary privilege.

Relevance to Bill 1: Bill 1 §22(5) contemplates court *confirmation* of penalties against MLAs before those penalties take effect. The McIver ruling indicates this mechanism will likely fail — courts will decline jurisdiction on parliamentary privilege grounds before reaching the merits.

Options for the drafter to consider: 1. Remove §22(5) court confirmation for MLAs specifically; rely on Certificate of Malfeasance tabled in the Assembly — the Assembly itself is the competent body for MLA penalties under McIver. 2. Retain §22(5) for non-MLA respondents (Ministers who are not MLAs, senior officials, lobbyists, entities) where parliamentary privilege does not apply. 3. Seek constitutional reference on whether a statute can validly grant courts jurisdiction over MLA conduct notwithstanding privilege — this is a question McIver left open.

Current status in package: Flagged as risk #1 in red-team document. This research provides the specific case citation.

3.2 FOIP Replacement — Citation Update Needed

FOIP was repealed June 11, 2025. Any Bill references to "FOIP" or "Freedom of Information and Protection of Privacy Act" are now stale. Bill 2 §7(3) already uses the correct current name ("Protection of Privacy Act"). A full sweep of both bills for FOIP references should be done before external constitutional review or tabling.

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4. What Is Genuinely Novel (No Existing Alberta Equivalent)

PROVISION	WHERE	WHAT IT CREATES
ISC / beneficial ownership definition for public-money recipients	Bill 1, amends FAA	First beneficial ownership standard in Alberta public finance law
20%-of-duties lobbying threshold	Bill 1, amends Lobbyists Act	Activity-based threshold; harder to game than current hours-counting
Directed suppression of information as protected disclosure	Bill 1, amends PIDA	No current act covers this
Concessional Arrangement Disclosure	Bill 2 §5	Royalty reductions, loan guarantees, debt forgiveness — currently zero statutory disclosure requirement
Ministerial Individual Exemption Disclosure	Bill 2 §6	Ministerial carve-outs from regulatory requirements disclosed nowhere currently
Contribution-benefit linkage	Bill 2 §3–§6	Cross-referencing political contributions against government benefit recipients in real time
Enforcement Equity Report	Bill 2 §7	Systematic, recurring, public enforcement-pattern analysis — no equivalent in Canada
Named-party legislation Beneficiary Disclosure Statement	Bill 2 §3	First requirement in Alberta for named-party bills to carry disclosure at introduction

5. Summary Assessment

AREA	BILLS' RELATIONSHIP TO EXISTING LAW	NET EFFECT
Post-employment restrictions	Extends existing (12 → 18 months)	Strengthens
Lobbying registration threshold	Replaces hours-count with duties-percentage	Closes manipulation gap
Whistleblower "wrongdoing" scope	Expands definition	Closes ethical-violation and suppression gaps
Ethics Commissioner enforcement tools	Supplements existing fine powers	Adds order and tabling powers beyond $50K ceiling
Beneficial ownership disclosure	Novel — no existing equivalent	Creates new layer
Concessional arrangement disclosure	Novel — no existing equivalent	Creates new layer
Ministerial exemption disclosure	Novel — no existing equivalent	Creates new layer
Named-party legislation disclosure	Novel — no existing equivalent	Creates new layer
Contribution-benefit linkage	Novel — no existing equivalent	Creates new layer
Enforcement equity analysis	Novel — no existing equivalent	Creates new layer
Procurement rules (sole-source)	Upgrades policy to statutory basis	Removes Treasury Board's ability to waive
MLA penalty mechanism (§22(5))	Conflicts with McIver ruling	**Requires revision before tabling**
FOIP references	Stale — FOIP repealed June 2025	**Requires citation update before tabling**

Cross-reference prepared April 24, 2026. Sources: CanLII summaries, law firm analyses (Norton Rose Fulbright, Bennett Jones), alberta.ca, qp.alberta.ca, assembly.ab.ca, CBC News. Not a substitute for qualified legal review.

Appendix G — policy-recommendations.md: Recommended starting values for thresholds

Source companion document.

Companion document to the Honest Government and Open Books Acts.

Purpose

The bills reference many things "prescribed by regulation" — thresholds, percentages, sample sizes, materiality cutoffs, and operational parameters. None of those values are in the bills themselves. They are the parameters that make the bills operational, and they are deferred to regulation deliberately: calibration should emerge from public consultation, expert input, and phase-in experience rather than being locked into primary legislation.

This document recommends starting values. Every number below is a recommendation with rationale, not a requirement. The Commissioner, Auditor General, and Lieutenant Governor in Council would draft actual regulations under §28 after consultation. This document is the input to that drafting.

Bill 1 — Honest Government Act

Part 2 — Lobbyists Act amendments

Lobbying scope for in-house lobbyists (§2(v)). "Significant part of duties" threshold: 20% of paid working time over any 60-day period. Consistent with the federal Lobbyists Act standard and with Ontario's in-house lobbyist test.

Non-profit revenue cutoff. Non-profit organizations with annual gross revenue below $500,000 are not captured by the in-house lobbyist registration triggers. Indexed to inflation. Protects grassroots advocacy organizations while capturing professionalized non-profit lobbying operations.

Part 3 — Conflicts of Interest Act amendments

§9(1) Certificate of Malfeasance escalation triggers. Conduct qualifies for Tier 3 escalation where: financial impact to the Crown exceeds $100,000, or the conduct fits a pattern of 3 or more incidents within 60 months, or the conduct has been referred to law enforcement under §6(b), or the conduct

constitutes willful violation of a prior Compliance Order.

Arms-length public entity list for post-employment cooling-off carve-out (§10(4)). Recommended initial list: Alberta Health Services, post-secondary institutions, municipalities, school boards, public library systems, health professional regulatory colleges, Alberta Utilities Commission, Alberta Energy Regulator, Natural Resources Conservation Board, Gaming Liquor and Cannabis Commission, Law Society of Alberta. List reviewed annually; additions or removals by Commissioner regulation subject to Assembly disallowance under §28(5).

Part 4 — Access to Information Act amendments

Duty to document standards (§14A(2)). A decision subject to HGA or OBA disclosure requires a contemporaneous written record identifying the decision-maker, the date, the essential facts considered, the authority invoked, and the reasons. Oral briefings alone do not satisfy the duty; a written follow-up record created within 5 business days does. The Information and Privacy Commissioner publishes model templates for procurement decisions, emergency purchases, regulatory approvals, concessional arrangements, and ministerial exemptions.

Willful or repeated failure penalty trigger (§14A(3)). A third documented failure within 36 months, or any failure found to be willful, triggers personal penalty under the §25 proportional framework.

Part 5 — Financial Administration Act amendments

ISC disclosure threshold (§15(1)). Contracts above $75,000, indexed annually to Alberta Consumer Price Index. Covers procurement contracts, grants, loans, and service contracts. Aligns with existing procurement review thresholds while reaching the majority of discretionary-award decisions.

Contribution match threshold for Commissioner review (§15(2)). Commissioner review triggers where an ISC has made political contributions to any provincial party aggregating $25,000 over their lifetime, or $10,000 within the preceding 48 months.

Small-bidder simplified track parameters (§15(1A)). Applies to bidders with annual gross revenue below $2 million AND fewer than 25 employees. Annual declaration renews each fiscal year and is valid for all bids during that year. Simplified form requires ISC identity and a single declaration that no ISC has made political contributions exceeding the §15(2) threshold.

Processing fee cap (§29(2)). $500 per bidder per fiscal year for full disclosure; $100 for simplified track. Bidders with 36 or more months of clean compliance history receive a 50% credit on the fee.

Unlimited-lookback for repeat violators (§15(7)). Applies to ISCs with any prior Compliance Order or Certificate of Malfeasance. Lookback period extends from 48 months to the full available EFCDA registry history.

Part 6 — Recall Act amendments

Recall petition parameters. Petition requires signatures from 40% of the constituency electorate collected within 90 days, subject to Elections Alberta verification. Consistent with existing Alberta recall framework.

Part 7 — Public Interest Disclosure Act amendments

§19(1) direct-disclosure triggers. An employee may disclose directly to an MLA or journalist where any of the following is true:

1. Internal disclosure has been made and no investigation has been initiated within 60 days;
2. There is reasonable belief that internal disclosure would result in evidence destruction, retaliation, or further harm;
3. The conduct disclosed involves the head of the public body, the internal disclosure officer, or the Commissioner responsible for internal disclosure;
4. The conduct constitutes a threat to public safety or a financial emergency whose timeframe exceeds the internal process.

Part 8 — Common Procedural Provisions

§21A Indigenous government materiality threshold. Indigenous government ownership or control is material where the government holds 25% or more equity interest or voting control, or contractual arrangements confer equivalent operational control. This is a starting value. The actual threshold must be co-developed with Treaty 6, Treaty 7, and Treaty 8 signatories, the Métis Nation of Alberta, and the 8 Métis Settlements. No regulation under §21A should be finalized without that co-development.

§22(5) Court confirmation threshold. Penalties exceeding $50,000 against natural persons or $500,000 against entities require Court of King's Bench confirmation before collection.

§25 Proportional penalty tier values:

TIER	NATURAL PERSON BASE (% OF ANNUAL COMPENSATION)	NATURAL PERSON ASSET ENHANCEMENT (% OF ASSETS ABOVE THRESHOLD)	ENTITY BASE (% OF ANNUAL REVENUE)	ENTITY ASSET ENHANCEMENT (% OF ASSETS ABOVE THRESHOLD)
First violation	2%	0.5%	1%	0.25%
Second within 60 months	5%	1.5%	2.5%	0.75%
Third or more within 60 months	10%	3%	5%	1.5%

Asset threshold for asset-based enhancement. $500,000 net assets for natural persons; $2 million for entities. Indexed annually.

Minimum floor values. Natural persons: 50% of monthly Alberta minimum wage (first violation), scaling to 200% at third-tier. Entities: $2,500 first violation, scaling to $25,000 at third-tier.

Junior staff compensation threshold (§25(3)). Annual compensation of $75,000. Below this threshold, asset enhancement applies only where net assets exceed the asset threshold; otherwise the base percentage applies alone with no floor.

Accumulation threshold for decline tracking (§25(6)). 3 declined-but-substantiated violations within 36 months triggers the cost-proportionality exemption ceasing to apply.

Collection period maximum (§25(5)). 60 months for natural persons unless earlier payment elected.

§27 Random Audit Program parameters:

POPULATION	ANNUAL SAMPLE RATE	STRATIFICATION
Ministers and Deputy Ministers	5%	Unstratified
Senior officials and designated office holders	3%	By portfolio
Contracts above ISC disclosure threshold within 48 months	2%	By contract value band
ISC disclosures	1%	Random from prior fiscal year
Concessional arrangements under Bill 2 Part 4	3%	By arrangement value
Ministerial individual exemptions under Bill 2 Part 5	5%	Unstratified

Randomness beacon. NIST Randomness Beacon or equivalent public verifiable source. Commissioner publishes selection methodology annually, with the beacon input value and the stratification methodology both publicly verifiable.

Part 9 — Threshold Calibration and Administration

§28(1) Indexation. Base: Alberta Consumer Price Index, published annually. Thresholds reset annually on April 1.

§28(2) Phased introduction — year 1 to 2 threshold multipliers:

- ISC disclosure threshold: 1.5x steady-state ($112,500 in year 1 vs. $75,000 steady state, subject to indexation)
- Court confirmation threshold: 2x steady-state ($100,000 natural persons / $1 million entities, vs. $50,000 / $500,000 steady state)
- Random audit sample sizes: 50% of steady-state values
- Enforcement equity coverage: 3 regulatory bodies in year 1 only

§29(4) False complaint fee schedule. First unfounded complaint without bad-faith finding: no fee. Second unfounded complaint within 24 months: $250. Third unfounded complaint within 24 months, or first complaint with bad-faith finding: $1,000 or 1% of complainant's prior-year gross income, whichever is greater, calibrated under §25.

Bill 2 — Open Books Act

Part 2 — Named-Party Legislation Disclosure

Named-party legislation threshold. Beneficiary Disclosure Statement required where the Bill (a) names specific parties, or (b) is reasonably expected at introduction to benefit 10 or fewer identifiable entities, or (c) indirectly benefits a small class of identifiable parties under the §2(f) indirect benefit prong. The Speaker rules on threshold-crossing cases at First Reading.

Part 3 — Regulatory Approval Disclosure

Regulatory approval threshold. Proponent Disclosure Record required for: any approval with estimated capital value exceeding $25 million, any approval affecting land area exceeding 500 hectares, or any approval of a category listed by regulation regardless of value. Covers the Alberta Utilities Commission, Alberta Energy Regulator, Natural Resources Conservation Board, and additional designated bodies.

Part 4 — Concessional Arrangement Disclosure

Concessional arrangement threshold. Concessional Arrangement Disclosure required for individual arrangements where public value exceeds $100,000 over any 12-month period. Programs available to all parties meeting objective criteria are exempt. Individual deals, negotiated concessions, and single-party carve-outs require disclosure.

Part 5 — Ministerial Individual Exemption Disclosure

Ministerial exemption threshold. All individual exemptions from generally applicable rules issued by ministerial order or authorized by a Minister, regardless of dollar value, require disclosure within 30 days of issuance (or 30 days after the emergency ends, where the exemption was issued under emergency authority).

Part 6 — Enforcement Equity Reporting

Year 1 scope (§7(7) phased implementation). Alberta Energy Regulator, Alberta Utilities Commission, and Workers' Compensation Board.

Year 3 expansion. Add Gaming Liquor and Cannabis Commission, Law Society of Alberta, Alberta Health Services enforcement functions.

Year 5 comprehensive coverage. All bodies designated by regulation under §7(2).

Enforcement equity metrics. Each report publishes, at minimum:

1. Enforcement actions initiated per million dollars of regulated activity, stratified by industry participant size;
2. Average resolution time and average penalty by participant size;

3. Compliance-check frequency by participant size;
4. Appeals filed and appeals upheld by participant size.

Where a disparity between participant-size strata exceeds a statistical significance threshold prescribed by the Auditor General, the report shall flag the disparity and provide the data underlying it.

Implementation priorities

First-year regulation-making priorities, in order:

1. Threshold values under §28(1). Required before the Act can operate.
2. Disclosure format standards for Beneficiary Disclosure Statement, Proponent Disclosure Record, Concessional Arrangement Disclosure, and Ministerial Individual Exemption Disclosure.
3. ISC disclosure form and simplified small-bidder form.
4. Randomness beacon integration and audit selection methodology publication.
5. Proportional penalty tier values under §25(3) and §25(4).
6. Indigenous consultation framework under §21A. Must precede any action affecting Indigenous-owned entities. Co-developed with Treaty organizations, the Métis Nation, and the Settlements.

Second-year priorities:

7. Duty-to-document standards and IPC model templates under §14A.
8. Decline-tracking register operational rules under §25(6).
9. Enforcement equity metrics and statistical significance thresholds under §7.
10. False complaint fee assessment procedures under §29(4).

Items requiring further policy work

The following require policy development before regulations should be drafted:

Non-Alberta beneficial ownership tracking. ISC structures routing ownership to out-of-province entities whose principals donate to federal or other-provincial parties are not captured by the EFCDA-based cross-reference. Options for closing the gap include Alberta extension of EFCDA coverage to out-of-province political contributions by in-province ISCs, integration with a federal beneficial ownership registry, or expanded §25(10) beneficial ownership determination powers applied proactively.

Constitutional review of §28 Commissioner direct rule-making. The design rests on Assembly disallowance as the structural check for an officer-of-the-Legislature exercising regulation-making authority. Federal independent agencies provide precedent, but Alberta constitutional law review should precede the first substantive use of §28(3) or §28(4) authority.

Indigenous consultation methodology. §21A requires good-faith consultation with Indigenous governments before action affecting Indigenous-owned entities, and accommodation to the extent reasonably possible. What "good faith" and "reasonably possible" mean in practice must be co-developed rather than unilaterally prescribed. Starting premise: consultation means meaningful dialogue before decisions are made, not notification after the fact.

Electoral writ period treatment. Whether new investigations initiated during a writ period should be suspended until after the election, continued through the writ period, or triggered only where public safety or financial emergency thresholds are met. The Act as drafted does not address this. Recommend: investigations in progress at writ issue continue; new investigations other than those meeting emergency criteria are held until after the election.

"In the course of journalism" definition (§29(4)(a)). The false complaint fee exemption applies to journalists acting in the course of journalism. Defining this phrase requires care to include independent journalism, investigative podcasts, and citizen journalism meeting recognized standards, while excluding complaint-filing as a private harassment tactic masquerading as journalism.

Whistleblower pre-disclosure consultation. The Public Interest Disclosure Act amendments provide protection for disclosure to MLAs and journalists under §19(1) triggers. Whether employees should be entitled to consult with a lawyer or union representative before disclosure without losing protection is not addressed. Recommend: consultation with a lawyer or recognized representative organization does not forfeit whistleblower protection; the protection continues so long as the disclosure itself meets the §19(1) triggers.

Summary

The Act as drafted is operational once the priority-one regulations are in place. Priority-two regulations can be drafted during the first year of operation and promulgated at the start of year two. Items requiring further policy work should not delay the Act; they should proceed on their own timelines, with the Act's existing architecture accommodating the outcomes of that work.

The values recommended above are starting points. Every threshold is subject to revision based on phase-in experience, and every item in the "further policy work" section is an invitation for continued drafting rather than a gap in the Act itself.